



CITY OF HENDERSON

NORTH CAROLINA

FY 2024-25

APPROVED BUDGET

JUNE 2024

*Prepared by The Offices of:
The City Manager &
Finance Department*

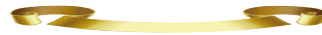
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**City of
Henderson, North Carolina**

Mayor and City Council



Melissa Elliott
Mayor

Geraldine Champion
Sara M. Coffey
Garry D. Daeke
Lamont Noel

Sam Seifert
Ola Thorpe-Cooper
Michael Venable
Tami Walker



Leadership Team

E. Terrell Blackmon
City Manager

Marcus Barrow, Police Chief
Shay Bennett, Customer Service Manager
Jamie Dittmeyer, Human Resources Director
Joey Fuqua, Finance Director
Tracey Kimbrell, City Clerk
Christy Lipscomb, Water Resources Director
Tracy Madigan, Downtown Development Manager
Lee Owen, Public Works Director
Paylor Spruill, Assistant City Manager
Timothy Twisdale, Fire Chief
Vacant, City Engineer
Vacant, IT Administrator
Kendrick Vann, Recreation & Parks Director
Corey Williams, Development Services Director

D. Rix Edwards, City Attorney



Office of the City Manager

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www.henderson.nc.gov

May 2024

The Honorable Mayor Melissa Elliott

Mayor Pro-Tem Garry Daeke
Council Member Lamont Noel
Council Member Sara Coffey
Council Member Geraldine Champion

Council Member Sam Seifert
Council Member Michael Venable
Council Member Ola Thorpe-Cooper
Council Member Tami Walker

Presentation and Consideration of the FY 2024-2025 Recommended

Budget

Ladies and Gentlemen:

In accordance with the Henderson City Charter and the Statutes of the State of North Carolina, the FY 2024-25 Recommended Budget is herewith submitted to the City Council for its review, deliberation, amendments and adjustments as deemed appropriate, and adoption prior to July 1st. The City Administration looks forward to working with the Mayor and members of City Council on the budget during the next several weeks, and helping it achieve a spending plan which addresses the needs and aspirations of both the community and municipal organization.

OVERVIEW

State law requires localities adopt and operate within a balanced budget at all times. To that end, revenues have shown some growth, but continue to be projected in a conservative manner and expenditures have been limited to operational needs. Revenues in the Enterprise Funds continue to remain stable and there have been increases in real and personal property values. FY 23 collections trended down from FY 22, but a property tax revaluation in FY 24 should positively affect the General Fund projected tax revenue.

Many projects continue towards completion and other initiatives such as the outdoor pavilion are in the final construction phase which will further our goals for downtown development. With new retail outlets and new housing developments on the horizon, the City is positioned to strengthen its economic base.

GENERAL FUND

The General Fund recommended budget for FY 2024-25 is \$25,045,795.

Revenues

- Personal property and real property tax is gaining value, and signs of new growth are taking shape. The tax rate is recommended to remain at .75 per \$100 of property value.
 - 2023 City Value (property, personal, utilities, and gap) \$848,730,733
 - 2024 City Value (as of period ending April) \$1,343,506,188
- The tax collection rate reported in our FY 23 audit fell slightly to 97.43% from the previous year of 97.57%, but due to the 2024 revaluation total City valuation is expected substantially increase as noted above.
- Revenues from sales tax and other hold harmless taxes have continued to surpass previous year's marks.
- Appropriation of \$4,000,000 of Fund Balance. This is an increase from what was recommended last year as a result of ARPA funds being exhausted and non-applicable to the FY 25 budget.
- No major changes are planned for the schedule of fees for FY 25.
- Provided that the City will eventually establish a storm-water utility fee, this will help fund much needed stormwater infrastructure projects for future budgets.

Highlights on the expenditure side of the General Fund are as follows:

- The Police Department law enforcement officers currently receive a 5.0% 401-K match as mandated by state law. Salary enhancements have been put into place in previous budgets to improve retention and longevity.
- Downtown Development Commission (DDC) - \$25,000 is proposed to pay for continued funding of downtown development incentives and grants.
- CIP initiatives including a revolving line-of-credit for redevelopment objectives and downtown code enforcement funds will be presented for Council consideration.
- Capital outlay of equipment and contract services is recommended for the Police Department, Fire Department, Information Technology, Human Resources, Public Buildings, Public Works and Recreation is illustrated below along with the City's contribution to Local Agencies and Shared Programs with the County.

Capital Outlay

- Police Department — replacement vehicles w/upfitting, radios, monitors and terminals
- Information Technology — cyber security/data storage, computer parts and VOIP phones
- Fire Department – roof, bay doors, flex space redesign, washer/dryer, rescue gear, chargers, camera and VHF equipment
- Human Resources – monitor, laptop, scanner
- Public Buildings – City Hall fence and doors
- Pubic Works - camera
- Garage – tool set, welder and band saw
- Street – chain saw and laptops
- Sanitation – backpack blowers and laptop
- Recreation – fire alarm system
- Funding of \$100,000 for Economic Development Incentive grants.
- Funding for outside local agencies such as Airport, Corbitt Museum, Crime Stoppers, Boys and Girls Club and Arts Council.
- Funding for shared programs with Vance County such as Board of Elections, Tax Office, E-911, H. Leslie Parham Library and NCDMV.

REGIONAL WATER

The Regional Water Fund Budget is proposed at \$6,270,350; a slight increase from the current year budget.

Expense highlights are as follows:

- Rate increases will be incorporated as part of the financial model for the expansion project.
- Funds in the amount of \$1,000,000 will be placed in Regional Water Reserve.
- Capital Outlay in the total amount of \$645,000 for pumps and incubator lab will be funded out of the Revenue Bond.
- ***WATER FUND***

The Water Fund budget is proposed at \$8,771,415 which is a slight increase from the past year. Highlights of the Water Fund are as follows:

- No rate increase is proposed.

Capital Outlay

- Administration – computer
- Customer Service – mobile data collector
- Water Distribution – lead detector, laptops, hydraulic trash pump

SEWER FUND

The Sewer Fund budget is proposed at \$5,517,572 which is a slight decrease from the past year. Some highlights of the expense side include funding for the following:

- No rate increase is proposed.
- \$100,000 in reserve

Capital Outlay

- Water Reclamation – submersible pump, gas detectors, boat
- Sewer Collections – laptop, core drill, manhole blower
- Sewer Collection I&I - laptop

EMPLOYEE PAY AND OTHER BENEFITS CONSIDERED IN THE FY 25 BUDGET:

Personnel - Salaries and wages continue to be a major focus for the City as we are currently engaged in a comprehensive pay study. For FY25 a \$1,500 bonus is recommended for full time staff.

Health insurance — The City maintains its association with insurance broker, Mark III, as negotiations continue to establish the FY 25 benefits.

Proposed Monthly Premium per Employee with \$5,000 deductible:

\$759.26 – With an HRA offering of \$1,500 (after \$3,500 met).

Worker's Compensation - The City has received an estimated premium for Worker's Compensation insurance rates from the League of Municipalities which represents a major decrease from FY 24 due to lower claim rates.

Debt — Other than the KLRW plant upgrade, which will increase the debt service in the future, and current long-term projects already forecasted for years to come, no other major projects have been added to our debt facility.

Combining all funds and minus inter-fund transfers, this represents a combined budget of \$44,506,562. Whereas not all needs are met, as in most budgets, I believe this budget represents responsible steps that will help the City continue to grow and reach its full potential. We must continue to work towards innovative ways to promote and energize redevelopment initiatives now to position the City to be ready for near-future business prospects and citizenship.

Again, I appreciate the opportunity to work for the City of Henderson in providing a high level of service that our citizens deserve and look forward to working with the staff in carrying out the necessary work to ensure that our goals are realized as outlined in the Strategic Plan.

I want to take this opportunity to especially thank our Finance department staff. I am extremely grateful in the team's efforts in putting this budget together as well as the cooperation of the Department Directors.

I welcome your suggestions and comments as we prepare for our Budget Hearing as well as upcoming meetings, as needed, to discuss this proposed budget.

Sincerely,

A handwritten signature in cursive script, reading "Terrell T. Blackmon".

Terrell Blackmon, City Manager
City of Henderson

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Strategic Plan



2022-2024



Elected Officials

Eddie Ellington, Mayor

Sara M. Coffey, Mayor Pro-Tem

Marion Brodie Williams

D. Michael Rainey

William Burnette

Garry D. Daeke

Melissa Elliott

Ola Thorpe-Cooper

Jason A. Spriggs

E. Terrell Blackmon, City Manager

Paylor Spruill, Assistant City Manager



Executive Summary

The purpose of this strategic plan is to provide a framework, overall direction, and specific guidance to the city staff.

The city council of the City of Henderson, with support from staff, held a strategic planning board retreat on February 24 and 25, 2022. Chris Aycock, President of The Aycock Group, was engaged to facilitate the strategic planning process and create this strategic planning document.

First, the city manager presented a report on “the state of the city.” Secondly, the department heads presented valuable information. Then the city council completed a SWOT (analysis of external opportunities and threats, and internal analysis of strengths and weaknesses).

Based on this foundation, the city council established four priorities. Priorities are not listed in order of importance.

Priority 1. Improve the perception of the city.

Priority 2. Attract and retain employees with a focus on succession planning.

Priority 3. Encourage housing stock that is diverse, safe, and affordable.

Priority 4. Promote economic development/develop and revitalize downtown.

The city council developed specific objectives for each of the four priorities to provide guidance and specific direction on how these priorities should be addressed. These are included in this strategic plan.

The city council will formally monitor this strategic plan quarterly at board meetings and update this strategic plan in 2023.

The city council of The City of Henderson values continuous improvement, investing in their staff, and actively listening to their citizens. They proudly seek to serve the needs, opportunities, and desires of the people of their great city.



The Strategic Plan

The priorities are not listed in order of importance.

Priority 1 Improve the perception of the city.

Objective 1A: The city manager will present manpower options to the city council for a specific person (internally or on contract) to coordinate the methods, and partnerships needed to remove litter (budget process, Feb.--June 2022).

Objective 1B: Collaborate with The Henderson-Vance County Chamber of Commerce on enhancing the attractiveness of the city including removing litter. The city manager and council members will meet with The Chamber of Commerce (by the end of April 2022).

Objective 1C Enhance the safety and beauty of the city.

- Increase the police presence in high crime areas. In addition, encourage the use of community watch.
- Place slow down road signs on identified streets by 6/30/23.
- Encourage youth groups, schools, churches, and others to participate in the beautification of their city.
- Partner more effectively with the Vance County Sheriff's Office.

Objective 1D: Each council member will hold quarterly ward meetings.

Objective 1E: Complete the beautification of the entry ways to the city around North Carolina Highway 39 and by Raleigh Road by 6/30/24.

Priority 2. Attract and retain employees and focus on succession planning.

Objective 2A: The city manager will evaluate the feasibility of using funds from The American Rescue Plan (ARP) for employee compensation. The city manager will present his recommendations to the city council by 6/30/22.

Objective 2B: Develop options for flexible hours, incentives, internships, open houses, and professional development plans. The manger will present options to the city council by 6/30/23.

Objective 2C: Benchmark methods other cities and counties are using to attract and retain employees and promote succession planning.



Objective 2D: Review and update the City's Human Resources policy manual by 6/30/24.

Priority 3. Encourage housing stock that is diverse, safe, and affordable.

Objective 3A: The manager will create a listing of landlords and their properties by 6/30/22.

Objective 3B: The council will establish or affirm a policy regarding landlord registration.

Objective 3C: The council will review code enforcement policies and update as needed by 12/31/22. The city will enforce the code consistently and equitably.

Objective 3D: Continue to find grants to benefit the quality of life for employees and the citizens as a whole including exploring funding options for housing through The American Rescue Plan (ARP).

Priority 4: Promote economic development/develop and revitalize downtown.

Objective 4A: Develop and revitalize downtown.

- Evaluate the possibility of new uses for current vacant buildings.
- Assess potential incentives for businesses.
- Recognize the contributions of current businesses.
- Build on current efforts to have young people be engaged and have a voice in their city government.

Objective 4B: Support the S-Line Project.

Objective 4C: Explore options for the use of shell buildings and the use of incentives.

Objective 4D: The manager will provide recommendations on the feasibility of the city buying identified properties by 6/30/2022.



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Citizens of Henderson

Mayor Melissa Elliott

**Sara M. Coffey
Garry D. Daeke
Lamont Noel
Sam Seifert**

**Tami Walker
Geraldine Champion
Michael Venable
Ola Thorpe-Cooper**

**City Clerk
Tracey Kimbrell**

**City Manager
Terrell Blackmon**

**City Attorney
D. Rix Edwards**

**Executive Assistant
Cindy Norwood**

**Assistant City Manager
Paylor Spruill**

Information Technology

**Human Resources
Jamie Dittmeyer**

**Water Resources
Director
Christy Lipscomb**

**Customer Service
Manager
Shay Bennett**

**Development
Services Director
Corey Williams**

**Regional Water
Steve Gupton**

**Water Reclamation
Brandon Elliott**

**Engineering
Vacant**

**Police Chief
Marcus Barrow**

**Fire Chief
Tim Twisdale**

**Recreation & Parks,
Youth Services Dir.
Kendrick Vann**

**Finance Director
Joey Fuqua**

**Public Works
Director
Lee Owen**

**Assistant Police
Chief
Vance Johnson**

**Deputy Fire Chief
Joel Bartholomew**

**Recreation &
Parks Assist Dir.
Shantel Hargrove**

**Deputy Finance Dir.
Lisa Boyd**

**Downtown
Development Mgr.
Tracy Madigan**

**Asst. Public Works
Dir. Utility Division
Joey Long**

**Asst. Public Works
Dir. Street Division
William Bailey**



134 Rose Avenue
Henderson, NC 27536

Classification Schedule revised 7/1/23

Grade	Classification	Salary Range	Grade	Classification	Salary Range
6	Parking Enforcement Agent /Custodian	\$31,200 - \$35,063	17	Park Maintenance Supervisor Planner Plant Maintenance Supervisor Public Works Supervisor Recreation and Parks Facility Supv Recreation Program Supv Senior Instrumentation Tech Street Maintenance Supv Youth Services Program Coord Zoning Administrator	\$38,913 - \$58,370
7	No position assigned	\$31,200 - \$36,702	18	Chief Treatment Plant Operator Construction Inspector Engineering Technician Laboratory Supervisor	\$40,784 - \$61,176
8	Hydrant Maintenance Technician Maintenance Worker Meter Reader Parks Maintenance Worker Street Maintenance Worker	\$31,200 - \$38,424	19	City Clerk Community Dev Manager Downtown Development Manager GIS Analyst	\$42,747 - \$64,121
9	Parks Maintenance Crew Leader Plant Maintenance Worker Solid Waste Equipment Operator Utility Maintenance Mechanic	\$31,200 - \$40,233	20	Distribution & Collection Sys Supv Information Technology Admin Laboratory Supervisor	\$44,809 - \$67,214
10	Customer Services Representative Fleet Service Technician Public Works Crew Leader Receptionist/Office Assistant Senior Street Maintenance Worker Street Sign Technician	\$31,200 - \$42,134	21	Youth Services Outreach Admin Youth Services Program Mgr	\$46,974 - \$70,461
11	Administrative Support Specialist Police Records Clerk Pol Records Clerk/Court Liaison	\$31,200 - \$44,126	22	Asst Public Works Director Recreation & Parks Assistant Dir	\$49,249 - \$73,874
12	Accounting Technician Accounts Payable Specialist Human Resources Technician Treatment Plant Operator Plant Maintenance Mechanic Utility Billing Specialist	\$31,200 - \$46,221	23	Assistant to City Manager Public Services Ops Mgr	\$51,636 - \$77,454
13	Admin Services Support Specialist Athletic Program Specialist Grounds Maint Crew Leader Instrumentation Control Tech Asst Laboratory Technician Payroll Specialist Program Specialist Street Maintenance Crew Leader Youth Services Outreach Specialist	\$32,280 - \$48,420	24	No position assigned	\$54,143 - \$81,215
14	Executive Assistant Fleet Maintenance Mechanic Senior Administrative Support Specialist Senior Plant Maintenance Mechanic Utility Locator Utility Maintenance Crew Leader	\$33,818 - \$50,727	25	Assistant Finance Director	\$56,775 - \$85,163
15	Code Compliance Inspector Instrument Technician Laboratory Analyst Planning Technician	\$35,434 - \$53,151	26	Treatment Plant Director	\$59,540 - \$89,310
16	Accountant Police Records Supervisor	\$37,131 - \$55,697	27	Customer Service Manager Human Resources Director Deputy Finance Director	\$62,441 - \$93,662
17	Administrative Services Officer Aquatics Program Supervisor Athletics Program Supervisor Community Center Supervisor Fleet Maintenance Supervisor GIS Technician	\$38,913 - \$58,370	28	City Engineer Development Services Director Finance Director Parks and Recreation Director Public Works Director Regional Water Director	\$65,488 - \$98,232
			31	Assistant City Manager	\$75,574 - \$113,361
			32	No position assigned	\$79,279 - \$118,919

Public Safety Schedule (Police) revised 7/1/23

Grade	<u>Classification</u>	<u>Salary Range</u>		Grade	<u>Classification</u>	<u>Salary Range</u>
PS13	N/A	\$34,380 - \$51,570		PS21	Police Officer II	\$51,330 - \$75,117
PS14	Police Cadet Property & Evidence Tech/Crime Scene Invest	\$36,925 - \$54,036		PS22	Senior Police Officer	\$53,897 - \$78,873
PS15	N/A	\$37,750 - \$56,625		PS23	N/A	\$55,211 - \$82,817
PS16	N/A	\$39,563 - \$59,345		PS24	Police Sergeant	\$59,421 - \$86,958
PS17	N/A	\$41,466 - \$62,199		PS25	Police Lieutenant	\$62,393 - \$91,307
PS18	N/A	\$43,749 - \$65,624		PS26	N/A	\$63,915 - \$95,871
PS19	N/A	\$45,562 - \$68,343		PS29	Police Captain	\$74,872 - \$109,568
PS20	Police Officer I	\$48,959 - \$71,648		PS31	Assistant Police Chief	\$82,359 - \$120,524
				PS33	Police Chief	\$90,595 - \$132,576

Changes to pay schedule effective April 2023, approved by Council.

Public Safety Schedule (Fire) revised 7/1/23

<u>Grade</u>	<u>Classification</u>	<u>Salary Range</u>		<u>Grade</u>	<u>Classification</u>	<u>Salary Range</u>
PS13	Firefighter/Hyd Mnt Tech	\$34,380 - \$51,570		PS21	N/A	\$50,078 - \$75,117
PS14	Firefighter	\$36,024 - \$54,036		PS22	N/A	\$52,582 - \$78,873
PS15	Senior Firefighter	\$37,750 - \$56,625		PS23	Assistant Fire Chief Fire Battalion Chief	\$55,211 - \$82,817
PS16	Master Firefighter	\$39,563 - \$59,345		PS24	N/A	\$57,972 - \$86,958
PS17	N/A	\$41,466 - \$62,199		PS25	N/A	\$60,871 - \$91,306
PS18	Fire Engineer Fire & Safety Educator	\$43,749 - \$65,624		PS26	Deputy Fire Chief	\$63,915 - \$95,871
PS19	N/A	\$45,562 - \$68,343		27	N/A	\$62,441 - \$93,662
PS20	Fire Captain	\$47,765- \$71,648		28	Fire Chief	\$65,488 - \$98,232

City of Henderson Authorized Positions

City of Henderson Authorized Positions												
<u>POSITIONS BY FUND</u>	<u>Recommended</u>											
	FY 19-20		FY 20-21		FY 21-22		FY 22-23		FY 23-24		FY 24-25	
	Full-time	Part-time	Full-time	Part-time	Full-time	Part-time	Full-time	Part-time	Full-time	Part-time	Full-time	Authorized but Unfunded Part-time
General Fund												
Governing Body	1	0	1	0	1	0	1	0	1	0	1	0
Admin - City Attorney	0	0	0	0	0	1	0	1	0	1	0	1
Administration	3	0	4	0	3	0	3	0	3	0	3	2
Human Resources	3	0	3	0	2	0	2	0	2	0	2	0
Finance	5	0	5	0	5	0	5	0	4	0	5	0
Information Services	0	0	1	0	1	0	1	0	0	0	0	0
Downtown Development	0	0	1	0	1	0	1	0	1	0	1	0
Development Services	5	0	5	0	5	0	5	0	6	0	6	1
Police	57	8	57	8	56	7	57	7	57	6	57	0
Fire	36	20	36	15	42	20	42	20	42	19	41	0
Public Services/Administration	2	0	2	0	2	0	2	0	2	0	2	0
Garage	3	0	3	0	3	0	3	0	3	0	3	1
Street	13	1	13	1	12	1	13	1	13	1	13	0
Sanitation	5	7	5	6	5	7	5	6	5	6	5	0
Recreation	10	29	10	29	10	29	10	26	10	26	10	1
Youth Services	3	0	3	0	3	0	3	0	3	0	3	0
Aycock Aquatics Center	2	16	2	16	2	16	2	22	2	22	2	0
Total General Fund Employees	148	81	151	75	153	81	155	83	154	81	154	5
Water Fund												
Administration	1	0	1	0	1	0	1	0	1	0	1	0
Engineering	4	1	4	1	4	1	4	1	4	1	4	0
Customer Service	10	1	10	1	11	1	11	1	11	1	11	0
Water Distribution	10	0	10	0	10	0	12	0	12	0	12	0
Total Water Fund Employees	25	2	25	2	26	2	28	2	28	2	28	0
Sewer Fund												
Water Reclamation Facility	16	0	16	0	16	0	16	0	16	0	16	0
Sewer Collection	5	0	5	0	5	0	5	0	5	0	5	0
Sewer Collection I&I	3	0	3	0	3	0	3	0	3	0	3	0
Total Sewer Fund Employees	24	0	24	0	24	0	24	0	24	0	24	0
Regional Water												
Regional Water	13	0	14	0	13	0	13	0	13	0	13	0
Total Regional Water Employees	13	0	14	0	13	0	13	0	13	0	13	0
TOTAL EMPLOYEES	210	83	214	77	216	83	220	85	219	83	219	5

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BUDGET GUIDE

The FY 2024-25 Budget has been prepared in a reader friendly, program-oriented budget format. The following summary provides information on how the reader might best understand the budget by first explaining the format of the budget.

The budget describes recommended City services and revenue sources proposed for the fiscal year beginning 1 July 2024 and ending 30 June 2025. Adopting an annual budget is one of the most important tasks the Mayor and City Council undertake each year. Indeed, it is the single most important policy document that the Mayor and Council will approve. It is through the adoption and implementation of the budget that the interests and values of our community are translated into plans for and the service delivery of programs, projects, services, and resources intended to benefit the citizens of Henderson.

- This book is divided into sections.
- Read the Budget Calendar found on *page BG-8*. All budget work sessions are open to the public and the public is cordially invited to attend.
- Read the Budget Process and Accounting Policies beginning on *page BG-2*.
- This document provides information on the overall budget and identifies major policy recommendations and shifts in policy direction found within the budget document.
- Read the Program Narratives for each budget division. These narratives will provide the reader with information about the division's purpose and budget highlights.
- Read the Glossary found in *Appendix A*. The Glossary provides definitions for various words and phrases used within the budget that may not be generally understood by the lay reader.
- If you have any questions about the budget, please feel free to contact the City Manager at (252) 430-5701.

BUDGET ADOPTION

The City of Henderson's annual operating budget is adopted by ordinance in accordance with the North Carolina Local Government Budget and Fiscal Control Act (LGBFCA) which states that estimated revenues and appropriated fund balances equal appropriations. The budget is developed on a cash basis, including only expenditures and revenues expected to be realized during the fiscal year. State statute also sets the fiscal year as beginning July 1 and ending June 30: therefore, the City Council must adopt a budget prior to July 1st of each year.

ACCOUNTING POLICIES

Summary

The accounting policies of the City of Henderson conform to generally accepted accounting principles (GAAP) as applicable to government units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles. The following is a summary of the more significant accounting policies:

Reporting Entity

The City of Henderson is a Municipal Corporation governed by an elected mayor and an eight-member council.

ACCOUNTING POLICIES (CONT.)

Fund Accounting

The accounts of the City are organized and operate on the basis of funds and account groups. A fund is an independent fiscal and accounting entity with a self-balancing set of accounts comprised of assets, liabilities, fund equity, revenues, and expenditures or expenses, as appropriate. Fund accounting segregates funds according to their intended purpose and is used to aid management in demonstrating compliance with finance-related legal and contractual provisions. The minimum number of funds is maintained consistent with legal and managerial requirements. The account groups are not funds but are a reporting device used to account for certain assets and liabilities of the governmental funds that are not recorded directly in those funds. The City uses the following fund categories:

Governmental Funds

Governmental Funds are used to account for the City's governmental functions. Governmental funds include the following fund types:

General Fund - The General Fund is the general operating fund of the City. It is used to account for all financial resources except those required to be accounted for in another fund. The primary revenue sources are ad valorem taxes and State-shared revenues. The primary expenditures are for public safety, streets, sanitation, parks and recreation, and general government services.

Powell Bill Fund - The Powell Bill Fund serves as a transfer account for expenditures incurred with Powell Bill Street allocations for accounting purposes.

Grant Revenue Funds – The Grant Revenue Funds are used to account for the proceeds of specific revenue sources (other than special assessments, expendable trusts, or major capital projects) that are legally restricted to expenditures for specified purposes.

Capital Projects Funds - Capital Projects Funds account for financial resources to be used for the acquisition and construction of major capital facilities (other than those financed by proprietary funds and trust funds). The City has two Capital Projects funds within its governmental fund types, the General Capital Projects Fund, and the Powell Bill Capital Projects Fund.

Proprietary Funds

Enterprise Fund - The Enterprise Fund is used to account for operations (a) that are financed and operated in a manner similar to private business enterprises - where the intent of the governing body is that the costs (expenses, including depreciation) of providing goods and services to the general public on a continuing basis be financed or recovered primarily through user charges; or (b) where the governing body has decided that periodic determination of revenues earned, expenses incurred, and/or net income is appropriate for capital maintenance, public policy, management control, accountability, or other purposes. The Enterprise Fund includes the Water Fund, Regional Water System Fund, Sewer Fund, Capital Reserve Utilities Fund, Capital Reserve Regional Fund, and Water, Sewer, and Regional Water Capital Project Funds.

Fiduciary Fund

Pension Trust Fund - The Pension Trust Fund accounts for the Law Enforcement Officers' Special Separation Allowance enacted by the State Legislature and effective January 1, 1987.

BASIS OF BUDGETING

In accordance with the North Carolina General Statutes, the City is required to budget and account for its funds on the modified accrual basis of accounting. Under this method, revenues are recognized in the accounting period in which they become available. Expenditures are recognized in the accounting period in which the goods and services are received (except for unmatured interest on general long-term debt, which is recognized when due). The City's accounting records for general governmental operations are reported on the modified accrual basis. Enterprise and pension trust operations are reported on the accrual basis.

The General Statutes also provide for balanced project ordinances for the life of the projects, including both capital and grant activities, which are expected to extend beyond the end of the fiscal year. The budgeted appropriations for capital and grant projects do not lapse until the completion of the project, while appropriations for funds that adopt annual budgets lapse at the end of the fiscal year.

In keeping with state law, the budget is prepared and accounted for on a modified accrual basis for the general fund, enterprise funds, and the Powell Bill fund. All other funds, including capital project and grant funds adopt multi-year budgets.

In keeping with Generally Accepted Accounting Principles (GAAP), financial statements for proprietary funds are prepared on a full accrual basis. A reconciliation of the full accrual basis to modified accrual basis (budgetary basis) is included in the annual financial statements for enterprise funds.

Budget Structure

Fund Accounting, required for governmental units, is the style of accounting used to segregate and account for restricted resources. The City of Henderson develops its source and use of funds estimates contained in the annual budget in a manner that follows general accepted accounting principles (GAAP). The budget is organized on the basis of funds, each of which is considered a separate budgetary and accounting entity. Governmental resources are accounted for in individual funds based upon the purposes for which they are to be spent.

The primary focuses of most budget documents are the revenue and expenditure appropriations. The City's operating expenditures are organized into the following hierarchy: Funds, Departments, Categories and Line Items. To better understand the budget documents, the terms in the City's financial structure should be understood.

FUNDS

The budget is organized on the basis of funds, each of which is considered a separate budgetary and accounting entity. Government resources are allocated to, and accounted for, in individual funds based upon the purposes for which they are to be spent.

- A. OPERATING BUDGET - The City of Henderson's annual budget is adopted as required by the North Carolina General Statutes. The annual budget is divided into twelve separate funds as indicated below:

Governmental Funds

10: General Fund - handles the general operations of the City such as administration, police protection, fire services, planning/zoning, recreational programs, street maintenance, sanitation services and Elmwood Cemetery operations. Resources are provided primarily through ad valorem taxes and intergovernmental revenues and are expended for services which are not compatible with a user fee financing method.

11: Powell Bill Fund - serves as a transfer account to properly account for expenditures incurred with Powell Bill Street Allocations. This annual State allocation is restricted to street, sidewalk and right-of-way maintenance, resurfacing and the purchase of equipment directly related to streets and right-of-ways. Transfers are made monthly to the General Fund or Capital Improvement Project Fund for the expenses incurred for these specific uses.

Enterprise Funds

30: Water Enterprise Fund - accounts for the provision of water services to utility customers and the revenue associated with the distribution of this water service. This enterprise fund is operated in a manner similar to private business enterprise. This fund is fully self-supporting by user charges for its service.

31: Sewer Enterprise Fund - provides for the activities necessary to furnish sewer treatment, sanitary sewer collection and inflow and infiltration of sewer. This enterprise fund is operated in a manner similar to private business enterprise. This fund is fully self-supporting by user charges for its service.

64: Regional Water System Fund - accounts for all revenue and expenditure sources to the City's Kerr Lake Regional Water System which is under the control of Henderson (60%), Oxford (20%) and Warren County (20%). The City of Henderson as the majority and controlling partner operates the system which serves over 40,000 customers for the joint use and benefit of all three entities and their respective service areas.

Capital Reserve Funds

70: Capital Reserve Utilities Fund - provides for the accumulation of revenues for future expansion and/or construction of water and sewer system and related improvements.

72: Capital Reserve General Fund - provides for the accumulation of revenues for future large capital equipment purchases and/or construction of facilities normally funded through General Fund resources including infrastructure components such as streets, sidewalks, storm drainage systems, public buildings, etc.

73: Capital Reserve Economic Development Fund - provides for a small reserve for economic development grant matches and incentives. It has no fund balance since the fund is just now being established.

78: *Capital Reserve Regional Water Fund* - consolidates three Regional Capital Reserve Funds into one. 75: Capital Reserve Regional Water COE, 76: Capital Reserve Regional Water 20 MGD and 77: Capital Reserve Regional General.

79: *Capital Reserve Rate Stabilization Fund* - was established in March 2012 for the purpose of reserving money for rate stability while performing potential upgrades in the water and sewer systems.

FUNDS CONTINUED

- B. **CAPITAL IMPROVEMENT PROJECTS FUND BUDGETS** - The Capital Improvement Projects fund budgets account for financial resources to be used for the acquisition and construction of major capital facilities (other than those financed by proprietary funds and trust funds). The City has two Capital Projects Funds within its governmental fund type (General and Powell Bill), and three Capital Projects Funds within its proprietary fund type (Water, Sewer & Regional Water). Capital Improvement Projects Fund projects are not considered to be part of the annual budget process since these projects remain “open” for the life of the project.

Governmental Funds

41: *General Capital Improvement Projects Fund* - accounts for the costs of general projects currently in the planning and/or construction stage.

42: *Powell Bill Capital Improvement Projects Fund* - accounts for the costs of Powell Bill projects currently in the planning and/or constructions stage.

Proprietary Funds

43: *Water Capital Improvements Projects Fund* - accounts for the costs of water projects currently in the planning and/or construction stage.

44: *Sewer Capital Improvements Projects Fund* - accounts for the costs of sewer projects currently in the planning and/or construction stage.

46: *Regional Water Improvements Projects Fund* - accounts for the costs of Regional Water projects currently in the planning and/or construction stage.

- C. **GRANT PROJECT FUNDS** - Grant Project Funds are projects that are set up by project ordinances that are funded in full or in part by Federal or State funds and have more than one year duration.

EXPENDITURE CLASSIFICATION

Departments are divisions of a fund that are responsible for performing specific government functions within their area of accountability. The departments represent the highest level of summarization used in the City's budget structure. Each department is divided by department budget as noted below:

Fund Department

- A. **General Fund:** Governing Body, City Attorney, Administration, Human Resources, Finance, Development Services, Henderson-Vance Downtown Development, Public Buildings, Bennett

Perry House, IT Services, Police, Fire, Admin/Public Works, Garage, Cemetery, Street, Sanitation, Recreation, Recreation/Youth Services, Aycock Aquatics Center, Non-Departmental, Vance County Shared Programs, Contribution to Local Agencies and Debt Service.

- B. Water Fund:** Engineering, Water Distribution, Administrative, Customer Service, Non-Departmental and Debt Service.
- C. Sewer Fund:** Wastewater Treatment, Sewer Collection, I & I, Non-Departmental and Debt Service.
- D. Regional Water Fund:** Water Treatment, Non-Departmental and Debt Service.
- E. Capital Reserve:** Utilities, General Fund, Economic Development, Regional Water and Rate Stabilization

DEPARTMENTAL EXPENDITURES CATEGORIES

Each department is broken down into four categories:

- A. Personnel Services** includes salaries and wages (full-time and part-time), pensions, health insurance, merit and other fringe benefits.
- B. Operating** pertains to the daily operations that provide basic governmental services such as supplies, utilities, materials and travel.
- C. Debt Service** includes appropriated principal and interest payments for any outstanding debt within each funds department.
- D. Capital Outlay** includes funds for the purchase of equipment, land or other fixed assets valued at more than \$1,000 with a lifespan of at least 5 years.

LINE ITEMS

Each budget consists of individual line items which identify specific expenditures and revenues. Line items are the most detailed way to list budget information.

BUDGET AMENDMENTS

Throughout the fiscal year, adjustments to the original budget ordinance may become necessary to meet changing circumstances, better carry out planned programs and provide for new Council initiatives. Two types of changes can occur – budget amendments and budget transfers. Such changes are required at the line-item level of the budget underlying the budget ordinance.

A budget amendment increases or decreases the revenue and expenditures of an appropriated fund (this may involve decreases or increases in revenue and expenditures or shifting of monies between funds). Budget amendments, in accordance with North Carolina Statute 159-15, require the approval of City Council. Amendment requests are submitted to the Finance Department and approved by the City Manager prior to submittal to City Council.

BUDGET TRANSFERS

A budget transfer changes line-item appropriations within a particular fund without changing the fund total. Interdepartmental budget transfers are prepared by the Department Directors. All transfer actions are reviewed and approved by both the Finance Director and the City Manager.

BUDGET CALENDAR

The City of Henderson begins its annual budget process early in the fiscal year, with the distribution of the Capital Improvements Program (a ten-year planning document), and the annual operating budget instructions and forms to Department Directors and Local Agencies.

The Department Directors have approximately three (3) months to concentrate on developing goals and objectives, requesting expenses and justifying any capital outlay for their department for the upcoming fiscal year.

After reviewing initial development requests, the City Manager and select staff meet with Department Directors. These informal meetings allow Department Heads to fully explain their requests and respond to questions from the City Manager. After these review meetings, expenditure and revenue decisions are made and line-item recommendations are put into draft form, and presented to the Mayor, City Council and Department Directors.

Several Council/Staff work sessions are held that focus on the Operating and CIP Budgets for the upcoming year. Council directives are stated during these meetings and then incorporated into each budget document.

A public hearing on the proposed budget is held in June prior to budget adoption. Citizen concerns are voiced to the Mayor and Council at this public hearing. The budget is adopted at the City Council's last regular meeting in June or at a special called meeting set for the purpose of adopting the budget subsequent to the Budget hearing.

September	Final Budget/CIP Summary printed and distributed to City Council, Staff and appropriate agencies
October	Budget instructions and forms are distributed to Department Directors and Local Agencies
January	City Council develops goals and objectives during their Strategic Planning Retreat
February	City Manager reviews Department Budget requests with the Department Directors
March	Funding requests from Local Agencies are due
April	Year-end revenue estimates are projected for current budget year Revenue projections for the upcoming budget year are developed Adjustments to all budgets, revenue projections, etc. necessary to balance budget Follow-up with individual Department Heads as needed and subject to City Manager's discretion
May	Budget Summary Draft prepared and presented to City Council at either a Regular Council Meeting or a Special Called Meeting. Budget Work Sessions held with Department Directors and Council for budget review. Budget Hearing
June	Budget Adoption Notification to Local Agencies/Organizations who requested appropriation of City funds of funding status
July 1	New Fiscal Year begins

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CITY OF HENDERSON, N C
FY 23-24
ANNUAL FEE SCHEDULE

Approved Budget

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**Annual Fee Schedule
FY 23-24**

Code Compliance

Chapter 21 (Minimum Housing Code)

Sec. 21-20. - Certificate of minimum housing compliance.

Minimum Housing Inspection	1st Inspection Fee	Subsequent Re-inspection Fee
	FREE	\$50.00
*Minimum Housing Civil Penalty	Initial Violation Fee	After 3rd day of noncompliance
	\$500.00	\$10.00 per day until max of \$4,500

Chapter 21A (Abandoned Structure)

Sec. 21A-8. - Cost of removal or demolition to be lien on premises

Administrative Costs	Cost	Comments
Preliminary work in ascertaining owner of property	\$150.00 (or greater amount actually paid by the city)	Completed by a contracted attorney
Inspection of the property to ascertain condition	\$50.00	Completed by Code Compliance staff
Notice of complaint and/or of hearing issued by the city (cost per each notice)	\$40.00	Prepared by Code Compliance staff
Conduct hearing (cost per each hearing)	\$20.00	Held by Code Compliance staff
Findings of fact and/or order issued by the city (cost per each order)	\$40.00	Prepared by Code Compliance staff
Order issued by city council	\$100.00	Prepare notice and order for city council and appearance of Code Compliance staff at city council meeting

Implementation Costs	Cost
Removal of nuisance (ordered demolition)	Actual charge paid to third parties for the respective action authorized (plus a five (5) percent administrative fee in addition to actual charge)
Reimbursement Costs	Cost
Certified letters (per each individual letter)	\$5.00 (or greater amount city actually paid)
Newspaper notices (per notice)	\$175.00 (or greater amount city actually paid)
Recording fees (per document)	\$45.00 (or greater amount city actually paid)
Allowances for Delinquent Accounts	Cost
Percentage increase in total , amount due	10% percent

*Abandoned Civil Penalty	Initial Violation Fee	After 3rd day of noncompliance
	\$500.00	\$10.00 per day until max of \$4,500

Chapter 21D (Non-Residential Code)

*Non-Residential Civil Penalty	Initial Violation Fee	After 3rd day of noncompliance
	\$500.00	\$10.00 day until max of \$4,500

Chapter 23 (Weeded Lot)

Sec. 23-8. - Costs of abatement; when due; lien.

The cost incurred by the city in removing or otherwise remedying a public nuisance shall be charged to the owner(s) of the lot or parcel of land. The costs incurred by the city shall be as set out below and are designed to include an administrative cost reflecting the typical time spent on processing these complaints through various stages in the proceedings, and an implementation cost reflecting the time spent in clearing the lot or otherwise removing the nuisance; a reimbursement for costs of notice and publication, and an allocation for delinquent accounts under this chapter.

These costs are set out by the stage of the proceeding which is reached or the service rendered and are as follows. The costs under each of the categories, to wit, administrative costs, implementation costs, etc., are to be added together.

	Cost	Comment
Administrative Costs		
Notice and order issued by department director, but not appealed, nuisance removed by owner	\$0	
Notice and order issued by department director, no appeal taken, nuisance removed by city	\$100	intended to cover costs of determining ownership, investigating site, preparation of notice and order, scheduling work
Order issued by city council, nuisance removed by owner	\$80	intended to cover staff preparation and meeting time before council
Order issued by city council, nuisance removed by city	\$120	intended to cover staff preparation and meeting time before council and cost of scheduling work, preparing notice of lien
Implementation Costs		
Per hour, or any part thereof, in removing or abating any nuisance	\$40	
Reimbursement Costs		
Registered letters (per letter)	\$3	
Newspaper notices (per notice)	\$175	reflects both newspaper costs and administrative costs in preparing and publishing the notice
Allowance for Delinquent Accounts		
Percentage increase total amount due	25%	
*(Weeded Lot) Civil Penalty	FEE	
	After 7 days of Non-Compliance, \$50.00 per day maximum of \$ 500.00	

**All Civil Penalty Fees go to School System*

Administration

Special Events Application Fee.....\$25.00

Cemetery¹

Grave Plot.....\$778.00

Customer Service - Water and Sewer

Account Set-up Fee.....\$20.00

Late Fee (One Time Waiver within a rolling 12 month period with Good Standing History).....\$12.00

Service Fee.....\$13.00

Non-Payment Fee.....\$50.00

Security Deposits (see below)

Failure to Provide Social Security Card\$50.00

Schedule for Water and Sewer Security Deposits				
Approved Ordinance 13-10 March 11, 2013				
Residential In-City		Current	R-Tier 1 Deposit	R-Tier 2 Deposit
	Water, Sewer & Sanitation		\$150.00	2.5 times average monthly bill
	Water & Sewer Only (for those living in apartment complexes providing commercial green boxes)		\$150.00	2.5 times average monthly bill
	Water or Sewer & Sanitation		\$150.00	2.5 times average monthly bill
Residential Out-of-City				
	Water & Sewer		\$200.00	2.5 times average monthly bill
	Water Only		\$150.00	2.5 times average monthly bill
	Sewer Only		\$200.00	2.5 times average monthly bill
	R-Tier 1 Deposit is the deposit required by any new residential customer establishing an account and not able to provide a satisfactory letter of good payment history from his/her most recent water/sewer utility provider. Additionally, any existing residential customer as of the effective date of this Ordinance (1 April 2013) whose service is subject to disconnection because of non-payment will be required to increase his/her security deposit to the R-Tier 1 Deposit rate in order to re-establish service. <i>(The Social Security number is collected from any person who may become a debtor for purposes of Setoff Debt Collection, G.S § 105A-3(c). This information may be used for collection procedures. The disclosure of the social security number is not mandatory; however, if a Social Security Card is not presented, the customer may be required to pay an additional deposit fee as stated in the Schedule of fees.)</i>			
	R-Tier 2 Deposit is the deposit required of any existing residential customer whose service has been subject to disconnection for non-payment twice within a rolling 18-month period. Such customers will have to increase their security deposit on-file to 2.5 times their average monthly bill in order to have service restored. Additionally, if any person seeking to establish service with the City is found to have an arrears balance from prior service with the City, he/she shall be required to establish a security deposit equal to 2.5 times an average residential monthly bill, even if he/she can provide a letter of good payment history from his/her most recent			

¹ City stopped opening/closing graves in 2011

	water/sewer utility provider.		
Commercial/Non-Profit & Industrial In-City			
	<i>Based on Total Consumption</i>	Current	<u>CNI-Tier Deposit</u>
	Water, Sewer & Sanitation (for downtown businesses not able to use commercial green box services)		2.5 times average monthly bill, or \$150, whichever is larger
	Water & Sewer Only		2.5 times average monthly bill, or \$150, whichever is larger
Commercial/Non-Profit & Industrial Out-of-City			
	<i>Based on Total Consumption</i>		
	Water & Sewer		2.5 times average monthly bill, or \$150, whichever is larger
	Water Only		2.5 times average monthly bill, or \$150, whichever is larger
	CNI-Tier Deposit is the deposit required by any new commercial, non-profit or industrial customer applying for service with the City and cannot provide a satisfactory letter of good payment from his/her most recent water/sewer utility provider. Existing customers whose service is subject to disconnection due to non-payment will be required to increase his/her security deposits to 2.5 times their average monthly bill in order to re-establish service.”		

Engineering

Soil Erosion & Sedimentation Control Permit

Plan Review Fee (.50 - .999 Acres).....	\$75.00
Plan Review Fee (1- 3 acres).....	\$100.00
Plan Review Fee (more than 3 Acres plus \$20.00 per Acre).....	\$125.00
Soil Erosion & Sedimentation Control Permit	
Permit Inspection Fee (.50 - .999 Acres).....	\$125.00
Permit Inspection Fee (1 – 3 Acres).....	\$225.00
Permit Inspection Fee (more than 3 Acres plus \$25.00 per Acre).....	\$325.00
Stormwater Permit Review Fee.....	\$400.00
Maps.....	\$1.00 to \$20.00
Petition to Close Street.....	\$900.00
No approved plan/grading without a permit (includes single family lots).....	\$5,000
Failure to renew permit -	\$500
Failure to follow approved plan, or obtain signed plan prior to work -	\$3,000
Failure to submit revised plan -	\$2,500

Failure to provide adequate ground cover

Slight -	\$500
50' x 50' area	
Less than 3:1 slope	
Little possibility for erosion	
Moderate -	\$1,000
100' x 100' area	
3:1-2:1 slope	

Slight rilling	
Severe -	\$3,500
200' x 200' area	
2:1 slope or more	
Large rills to gullies and washing	

Insufficient measures to retain sediment onsite

Failure to take all reasonable measures (see also insufficient measures)	\$500
Large storm (non-hurricane) -	\$500
At start of project prior to full installation	\$500
In between phased grading -	\$750
Graded slopes and fill too steep -	\$1,500
Unprotected slopes (see failure to provide ground cover in 7 days) -	\$1,000
Lack of maintenance -	\$2,000
Inadequate buffer zone (30 feet Roanoke, 50 feet for Tar-Pam) -	\$3,000

Check 401/404 permits

Grading in floodplain -	\$5,000
Call Army Corp of Engineers/DWQ	
Filling in Wetland, Creek or water course -	\$5,000
Call Army Corp of Engineers/DWQ	

Erosion Problems (failure to take all reasonable measures)

<u>Slight potential for erosion problem</u> -	\$500/day
<u>Moderate potential for erosion problem</u> -	\$1,000/day
Interior of basin not seeded	
baffles not installed or maintained	
skimmer not dewatering	
silt fence blown over (slightly)	
construction entrance failing	
<u>Severe potential for erosion problem</u> -	\$2,000/day
Silt fence blown out (top or bottom)	
Sediment basin over half full	
tree protection fence down	

Sediment offsite

<u>Slight</u> (each can be separate violations, examples only) -	\$500/day
Construction entrance violation, mud tracking	
Average 10' x 10' area	
Seeded area that did not take and eroded offsite	
Up to one 5-gallon bucket full	

<u>Moderate</u> (each can be separate violations, examples only) -	\$1,000/day
Silt fence overtopped, concentrated water, not into inlet	
Less than two 5-gallon buckets	

Average area is 20' x 30'
Skimmer dewatering too fast, over 50 NTU

Severe (each can be separate violations, examples only) -	\$4,000/day
Sediment in water course buffered stream (intermittent & ephemeral), wetland, pond, floodplain	
Sediment onto private property (including ponds)	
Sediment area larger than 20' x 30'	
More than three 5-gallon buckets full	
Sediment overtopping silt fence into unprotected inlet	

Penalty for Violation of Stop Work Order	\$4,000
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Finance

Returned Check Fees	\$25.00
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Fire

Fire Reports	\$1.00
Fire Code Violation Citations	
Approved Fire Evacuation Plan Required and Posted	\$50.00
Street Address not Posted	\$50.00
Improper Use of Electrical Cord / Surge Protector	\$50.00
Key Boxes	\$50.00
Breach in Fire Wall/Fire Stops	\$50.00
Fire/Exit Door Inoperative	\$200.00
Fire Alarm / Sprinkler Needs Testing	\$50.00
Sprinkler or Fire Alarm Inoperable	\$200.00
Sprinkler/Standpipe not Complying with Code	\$50.00
Sprinkler Heads Blocked/Covered (immediate)	\$500.00
Failure to Clean Kitchen Hood System	\$50.00
Portable Fire Extinguisher	\$50.00
Cooker Extinguisher System Needs Testing	\$50.00
Overcrowding (immediate)	\$500.00
Emergency Light Not Working	\$50.00
Storage in or on Fire Escape (immediate)	\$500.00
Blocked Stairwells or Stairways	\$500.00
Blocked Means or Egress	\$500.00
Blocked Electrical Panel Box (35" Clearance)	\$50.00
Exit Illuminated and Markings	\$50.00
Locked Exit Door (immediate)	\$500.00
Exit or Egress Door Needs Repair	\$50.00
Fire Exit or Aisle Blocked	\$500.00
Spray Booth Not Complying to Code	\$50.00
All Other Code Violations	\$50.00
State Mandated Fire Inspections	
Initial Inspection	

0-3,000 sf.....	\$55.00
3,001 - 5,000 sf.....	\$100.00
5,001 – 10,000sf.....	\$150.00
10,001 – 50,000 sf.....	\$200.00
50,001 to 100,000 sf.....	\$250.00
Greater than 100,000 sf.....	\$300.00

Following issuance of three (3) consecutive re-inspection fees without compliance, the owner/operator, or other responsible person shall be cited to court for violation of NC General Statute 14-68.

Re-Inspection Fee for 0 -3000 sf

1 st Re-inspection.....	\$00.00
2 nd Re- Inspection	\$55.00
3 rd Re – Inspection	\$110.00
4 th Re – Inspection	\$220.00

Re-Inspection Fee for 3001 – 50000 sf

1 st Re- Inspection	\$00.00
2 nd Re- Inspection	\$100.00
3 rd Re – Inspection	\$200.00
4 th Re – Inspection	\$400.00

Re-Inspection Fee for 5001 – 10,000 sf

1 st Re- Inspection	\$00.00
2 nd Re- Inspection	\$150.00
3 rd Re – Inspection	\$300.00
4 th Re – Inspection	\$600.00

Re-Inspection Fee for 10,001 – 50,000sf

1 st Re- Inspection	\$00.00
2 nd Re- Inspection	\$200.00
3 rd Re – Inspection	\$400.00
4 th Re – Inspection	\$800.00

Re-Inspection Fee for 5001 – 100,000sf

1 st Re- Inspection	\$00.00
2 nd Re- Inspection	\$250.00
3 rd Re – Inspection	\$500.00
4 th Re – Inspection	\$1,000.00

Re-Inspection Fee for 100,000sf and up

1 st Re- Inspection	\$00.00
2 nd Re- Inspection	\$300.00
3 rd Re – Inspection	\$600.00
4 th Re – Inspection	\$1,200.00

Fire (continued)

New Construction

0 – 2,500 sf	\$50.00
2,501 – 25,000 sf	\$175.00
25,001 – 50,000 sf	\$350.00
50,001 – 100,000 sf	\$500.00
100,001 sf and up	\$500.00 plus \$5.00 per each additional 1,000 sf

Up-fits and change of use – same as new

Plan Review Fee.....\$50.00 (plus New Construction Fee)

Fire Incident Report - Copy of Fire Incident Report.....\$3 per copy
(Copy provide at no charge to Owner/Occupant)

Governing Body

Public Records Request - Copies.....varies
Municipal Election Filing Fee.....\$10.00

Planning

Rezoning Application

Zoning Map Amendment to Residential District\$350.00 plus \$50 per acre or part thereof

Zoning Map Amendment – Other.....\$350.00 plus \$100.00 per acre or part thereof

Sign Permit

0-50 sq. ft.\$25.00

51 – 100 sq. ft.\$50.00

101 – 200 sq. ft.\$75.00

201 sq. ft. and larger.....\$100.00

Subdivision Plat Approval

Major.....\$250.00 plus \$10.00 per lot

Minor.....\$150.00

Minor Residential.....\$100.00

Exempt.....\$50.00

Special Use Permit.....\$450.00

Special Event private property.....\$100.00

Text Amendment

Change affecting only one subsection of Ordinance.....\$200.00

Other.....\$150.00

Variances.....\$450.00

Zoning Permit

Residential.....\$100.00

Commercial.....\$100.00

Name Change/Change of Ownership.....\$100.00

Home Occupation Permit.....	\$100.00
Certificate of Zoning Compliance.....	\$50.00
Zoning Ordinance.....	\$25.00
Subdivision Regulations.....	\$25.00
Exempt Plat.....	\$100.00
Solar Farm Inspection.....	\$1,000.00

Police

Handicapped/Fire Lane Parking.....	\$75.00
Fire Hydrant, Loading Zone, Blocking Driveway, No Parking Zone, Parking on Wrong Side of Street, Parking on Sidewalk, Blocking Sidewalk/Crosswalk, Double Parking.....	\$20.00
Overtime Parking, Parking too Close to Corner, Other.....	\$8.00
Solicitor, Peddler, and Park Concessions Permit Fee (3 days or less).....	\$50.00
Solicitor, Peddler, and Park Concessions Permit Fee (90 days or less).....	\$100.00
Park Concessions Only Permit Fee (180 days or less).....	\$150.00
Transient and Mobile Food Vendor Permit Fee (valid one year).....	\$100.00
Golf Cart Fee (valid three year).....	\$10.00
Lexis Nexis (3 rd party fee).....	\$18.00
Display Badge.....	\$2.00

Regional Water

Bacteria Analysis (Contractors).....	\$50.00
Bacteria Analysis (Partners).....	\$35.00
Potable Water (Used Rate).....	\$2,213.00
Potable Water (Fixed Rate).....	\$1,415.00

Sanitation

Sanitation Charge – Monthly	
1 Pickup per week per dwelling (includes one 95 gallon roll-out).....	\$29.00
Additional 96 gallon roll-out container.....	\$5.17
2 Pickups per week per business.....	\$56.73
3 Pickups per week per business.....	\$85.10
4 Pickups per week per business.....	\$113.46
5 Pickups per week per business.....	\$141.83
Roll-out Container Replacement Fee.....	\$75.00
Large Trash Collection Fee.....	\$75.00 per hr (min. \$75.00)
Appliance Collection Fee.....	\$15.00 per item
Commercial Recycle Monthly (ABC License only)	
Weekly pickup.....	\$30.00
Construction Materials.....	\$350.00 per hr (min. \$350.00)
Landfill Fee (Business Customers only).....	\$5.50
*Loose Leaf Pick Up after deadline date- Minimum.....	\$75.00

Sewer Collection

Sewer Rates²

10,000 cubic ft or less (inside city).....	\$14.98 minimum plus \$5.33 per 100 cu. ft., <i>plus</i> <i>For the next utilization tier</i>
Over 10,000 cubic ft (inside city).....	\$3.82 per 100 cu. ft.
10,000 cubic ft or less (outside city).....	\$37.43 minimum plus \$13.34 per 100 cu. ft., <i>plus</i> <i>For the next utilization tier</i>
Over 10,000 cubic ft (outside city).....	\$9.59 per cu. ft.

Sewer Taps

4" Sewer Tap	\$2,000
6" Sewer Tap (within manhole).....	\$2,400
Above 6" Sewer Tap	Actual cost of labor, equipment & material plus 10%

Capacity Usage Fee	\$0.87/gallon (gallons determined by type of establishment)
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Rentals

Jet Vac Machine	\$300.00 per hour
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Sewer Collection I&I

Rentals

TV Camera Truck	\$200.00 per hour
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Street

Street Cuts

Asphalt Street (20'0" wide)	\$150.00
Concrete Base Street (more than 4")	\$350.00
Concrete Base Street (less than 4")	\$320.00
Unpaved Street	\$100.00

Sidewalk Cuts

Concrete Sidewalk (except Garnett St. from Spring St. to Church St.)	\$100.00
Garnett Street (from Church St. to Spring St.)	\$150.00
Curb and Gutter Cut (3 ft. minimum charge)	\$15.00/ft
Encroachment Fee	\$20.00

Vehicle Tag Fee	\$20.00
-----------------------	---------

Water Distribution

Water Rates

First 500 cubic ft. (minimum fee – inside city).....	\$12.02, <i>plus</i>
Next 3,500 cubic ft. (inside city).....	\$2.72 per 100 cubic ft., <i>plus</i>
Over 4,000 cubic ft. (inside city).....	\$2.06 per 100 cubic ft.

First 500 cubic ft. (minimum fee – outside city).....	\$30.04, <i>plus</i>
---	----------------------

² CF = Cubic Feet of water consumed or sewer metered through a sewer measuring device.

Next 3,500 cubic ft. (outside city).....\$6.81 per 100 cubic ft, *plus*
Over 4,000 cubic ft. (outside city).....\$5.14 per 100 cubic ft.

Irrigation (Residential and Non-Residential)

First 500 cubic ft. (minimum fee – inside city).....	\$12.02
Over 500 cubic ft. (inside city).....	\$2.72 per 100 cubic ft., <i>plus</i>
First 500 cubic ft. (minimum fee – outside city).....	\$30.04, <i>plus</i>
Over 500 cubic ft. (outside city).....	\$6.81 per 100 cubic ft.

Large Quantity Water Rates

First 100,000 cubic ft. (inside city).....	\$1.54 per 100 cubic ft., <i>plus</i>
Over 100,000 cubic ft. (inside city).....	\$1.23 per 100 cubic ft.

First 100,000 cubic ft. (outside city).....\$3.80 per 100 cubic ft., *plus*
Over 100,000 cubic ft. (outside city).....\$3.06 per 100 cubic ft.

Water Taps

¾" Water Tap	\$2,470.00
1" Water Tap	\$2,680.00
1" Water Tap w/ two ¾" Branch Meters	\$3,180.00
2" Water Tap	\$8,500.00
Above 2" Taps	Actual cost of labor, equipment & materials plus 10%

Bulk Water

Inside Rate	\$9.50 service connection (includes first 500 gallons)
	.007/gallons for any amount over 500
Outside Rate	\$16.45 service connection (includes first 500 gallons)
	.011/gallon for any amount over 500
Capacity Usage Fee	\$0.59/gallon (gallons are determined by type of establishment)

Set Meter Fee

¾" Taps already in place.....	\$300.00
1" Taps already in place.....	\$400.00
2" Taps already in place.....	\$3000.00
Fire Protection Sprinkler Fee.....	based on sq. footage
Fire Hydrant Application Fee.....	\$50.00
Fire Hydrant Meter Permit Fee.....	\$50.00 per calendar year
Fire Hydrant Meter Deposit.....	(see below)
3".....	\$1,500.00
5/8".....	\$300.00
Minimum Rental Charge	
Per Day.....	\$20.00
Per Week.....	\$100.00
Per Month.....	\$300.00
Per 6 Months.....	\$1,300
Per Year.....	\$2,000

Fire Hydrant – Category A

Inside Rate - charge for floor space protected with private fire line and two or more fire hydrants - no inside sprinkler system

Fire Protection Sprinkler Fee.....	based on sq. footage
Per 10,000 sq. feet - Minimum (A1).....	\$3.38
300,000 – 1,000,000 sq. feet (A1 + A2).....	\$1.86
1,000,000 sq. feet and above (A1 + A2 + A3).....	\$0.81

Outside Rate - charge for floor space protected with private fire line and two or more fire hydrants - no inside sprinkler system

Per 10,000 sq. feet - Minimum (B1).....	\$6.90
300,000 – 1,000,000 sq. feet (B1 + B2).....	\$3.73
1,000,000 sq. feet and above (B1 + B2 + B3).....	\$2.61

Fire Hydrant – Category B

Inside Rate - charge for floor space protected with inside sprinkler and public fire system

Per 10,000 sq. feet - Minimum (A1).....	\$6.18
300,000 – 1,000,000 sq. feet (A1 + A2).....	\$2.57
1,000,000 sq. feet and above (A1 + A2 + A3).....	\$1.34

Outside Rate - charge for floor space protected with inside sprinkler and public fire system

Per 10,000 sq. feet - Minimum (B1).....	\$12.63
300,000 – 1,000,000 sq. feet (B1 + B2).....	\$5.14
1,000,000 sq. feet and above (B1 + B2 + B3).....	\$2.57

Fire Hydrant – Category C

Inside Rate - charge for floor space protected with inside sprinkler system, private fire line and two or more hydrants

Per 10,000 sq. feet - Minimum (A1).....	\$9.55
300,000 – 1,000,000 sq. feet (A1 + A2).....	\$4.43
1,000,000 sq. feet and above (A1 + A2 + A3).....	\$2.09

Outside Rate - charge for floor space protected with inside sprinkler system, private fire line, and two or more hydrants

Per 10,000 sq. feet - Minimum (B1).....	\$19.53
300,000 – 1,000,000 sq. feet (B1 + B2).....	\$8.89
1,000,000 sq. feet and above (B1 + B2 + B3).....	\$5.18

Fire Hydrant – Subdivision outside of City limits (to be charged per lot when service is made).....

	\$1.97
--	--------

Water Distribution/Sewer Collection

Rental Fees (Add Personnel/Supervision/Materials fees below to rental fee)

Pickup Trucks (3/4 and 1 Ton).....	\$25.00 per hour
Backhoe.....	\$60.00 per hour
Dump Truck.....	\$40.00 per hour
Tamp. Concrete Saw.....	\$20.00 per hour
Air Compressor.....	\$20.00 per hour
Personnel.....	Employee wage plus 10%

Supervision Charge.....	\$100.00 per hour
Materials.....	Material Cost plus 10%

Water Reclamation

Sewer Surcharges

Biochemical Oxygen Demand.....	\$0.1941 lb.
Chemical Oxygen Demand.....	\$0.0968 lb.
Total Suspended Solids.....	\$0.0989 lb.
Total Kjeldahl Nitrogen.....	\$1.4845 lb.
Total Phosphorus.....	\$2.8697 lb.
Sampling Fee.....	\$9.06 to \$62.63
Priority Pollutant Scan – Sampling Fees.....	\$1,661.04
Mercury Clean Sampling Fee.....	\$377.52
Compliance Inspection – Pretreatment.....	\$754.98
Toxicity: Mini Chronic/Full Range.....	\$490.73 - \$1,094.79
Permit Fee for Discharge (based on gallons per day).....	\$305.95 - \$758.49
Permit Fee for Discharge of Groundwater Remediation Project.....	\$605.52
FOG Compliance Inspection and Monitoring.....	\$7.64 per mo.
FOG Permit Fee.....	\$153.00

Septic Waste Tank Hauler Fee

Tier 1

0-1,500 gallons	\$65.00
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Tier 2

1,501 – 2,000 gallons	\$80.00
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Tier 3

2,001-3,000 gallons	\$105.00
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Tier 4 >3,000 gallons

\$0.04 cents per gallon *

* This applies to larger tanker trucks only and would be billed at a minimum of \$105 and .04 cents per gallon over 3,000 gallons.

Recreation

Registration Fees – Youth

Youth Athletics Registration Fee (County Resident)

Football, Volleyball, Soccer & Basketball.....	\$30.00
Youth Athletics Registration Fee (Non-Resident)	
Football, Volleyball, Soccer & Basketball.....	\$60.00
Babe Ruth Baseball & Softball.....	\$30.00
All Star.....	\$20.00

Youth Sponsorship Fees

T-Ball League Baseball.....	\$550.00
Rookie League Baseball.....	\$750.00
Cal Ripken League Minor Baseball.....	\$350.00

Cal Ripken League Major Baseball.....	\$375.00
Babe Ruth League Baseball.....	\$400.00
Babe Ruth League 8-Under Softball.....	\$750.00
Babe Ruth League 10-Under Softball.....	\$350.00
Babe Ruth League 12-Under Softball.....	\$350.00
Babe Ruth League 16-Under Softball.....	\$350.00
Youth Basketball, Soccer & Volleyball.....	\$250.00
Recreation Insurance.....	\$10.00
Registration Fees - Adult	
Team Registration Fee (Non-County Resident – add \$10.00 per person to fees below)	
Industrial League Basketball, Softball.....	\$420.00
Open League Basketball.....	\$420.00
Women’s Open Softball.....	\$300.00
Men’s Open Softball.....	\$420.00
Rentals (See <i>Rentals – For- Profit</i> or <i>Rentals – Non-Profit</i> also)	
Batting Cage per hour (County).....	\$10.00
Batting Cage per hour (Non-County).....	\$15.00
Aycock Ballfield per field per hour (County).....	\$10.00
Aycock Ballfield per field – lighted per hour (County).....	\$20.00
All other Ballfields per field per hour (County).....	\$10.00
All other Ballfields per field – lighted per hour (County).....	\$15.00
Aycock Ballfield per field per hour (Non-County).....	\$20.00
Aycock Ballfield per field – lighted per hour (Non-County).....	\$40.00
All other Ballfields per field per hour (Non-County).....	\$20.00
All other Ballfields per field – lighted per hour (Non-County).....	\$30.00
Ballfield Weekend (Friday, Saturday & Sunday) (County).....	\$200.00
Ballfield Weekend (Friday, Saturday & Sunday) (Non-County).....	\$350.00
Rentals – Non-Profit	
Aycock Ballfield per field per hour (County).....	\$10.00
Aycock Ballfield per field – lighted per hour (County).....	\$20.00
Aycock Ballfield one day / all four fields (County).....	\$200.00
All other Ballfields per field per hour (County).....	\$10.00
All other Ballfields per field – lighted per hour (County).....	\$15.00
Ballfield Weekend (Friday, Saturday & Sunday) (County).....	\$500.00
Lights per field per hour (County).....	\$20.00
Old Aycock Gym per hour (County).....	\$30.00
Aycock Ballfield per field per hour (Non-County).....	\$20.00
Aycock Ballfield per field – lighted per hour (Non-County).....	\$40.00
Aycock Ballfield one day / all four fields (Non-County).....	\$350.00
All other Ballfields per field per hour (Non-County).....	\$20.00
All other Ballfields per field – lighted per hour (Non-County).....	\$30.00
Ballfield Weekend (Friday, Saturday & Sunday) (Non-County).....	\$750.00
Lights per field per hour (Non-County).....	\$30.00
Old Aycock Gym per hour (Non-County).....	\$45.00

Rentals – For Profit

Aycock Ballfield – per field per hour (County)	\$20.00
All other Ballfields per hour (County)	\$15.00
Aycock Ballfield – per field – lighted per hour (County)	\$30.00
All other Ballfields – lighted per hour (County)	\$20.00
Aycock one day / all four fields (County)	\$300.00
Old Aycock Gym per hour - 2 hour minimum (County)	\$50.00
Aycock one day / all four fields (Non-County)	\$500.00
Aycock Weekend / all four fields (Friday, Saturday & Sunday) (County)	\$650.00
Aycock Ballfield per field per hour (Non-County)	\$30.00
All other Ballfields per hour (Non-County)	\$25.00
Aycock Ballfield – per field – lighted per hour (Non-County)	\$40.00
All other Ballfields – lighted per hour (Non-County)	\$30.00
Aycock Weekend / all four fields (Friday, Saturday & Sunday) (Non- County)	\$800.00
Old Aycock Gym per hour – 2 hour minimum (Non-County)	\$75.00
Lights per field per hour	\$25.00
Shelter per four-hour period	\$30.00
Shelter per day	\$45.00
Fox Pond shelter rental ½ day (4 hours)	\$30.00
Fox Pond shelter rental day	\$50.00
Williams & Montgomery Park shelter rental ½ day (4 hours)	\$30.00
Williams & Montgomery Park shelter rental day	\$50.00
Williams & Montgomery Park open air market rental 1/2 day	\$75.00
Williams & Montgomery Park open air market rental day	\$150.00

Additional Services

Drag/Mark fields between each game per field (County)	\$20.00
Drag/Mark fields after 2 games per field (County)	\$15.00
Drag/Mark fields halfway through each day per field (County)	\$10.00
Supply ice water in coolers w/cups per dugout per game (County)	\$10.00
Drag/Mark fields between each game per field (Non-County)	\$30.00
Drag/Mark fields after 2 games per field (Non-County)	\$25.00
Drag/Mark fields halfway through each day per field (Non-County)	\$20.00
Henderson Rec Players Tickets (other than McGregor Hall Events)	\$10.00
McGregor Hall Event Tickets	\$15.00

Special Events (Athletic)

District Tournament Daily Pass for Students	\$3.00
District Tournament Daily Pass for Adults	\$5.00
District Tournament Pass for entire Tournament	\$10.00
State Tournament Daily Pass for Students	\$5.00
State Tournament Daily Pass for Adults	\$7.00
State Tournament Pass for Entire Tournament	\$20.00
Athletic Event Daily Pass	\$3.00
Athletic Event Tournament Pass	\$6.00

Special Events (Non-Athletic).....	not to exceed \$8.00
Aycock Center	
Rental	
Aquatics –	
Pool Non-Profit - County (per hour).....	\$70.00
Pool Non-Profit – Non-County (per hour)	\$75.00
Pool For-Profit – County (per hour).....	\$125.00
Pool For-Profit – Non-County (per hour).....	\$175.00
Swim Teams & Clubs – Private County (per lane, per hour).....	\$15.00
Swim Teams & Clubs – Private Non-County (per lane, per hour).....	\$12.00
Swim Teams & Clubs – County (per lane, per hour).....	\$11.00
Swim Teams & Clubs – Non-County (per lane, per hour).....	\$12.00
After hours additional rate.....	\$20.00
Swim Lessons	
Preschool Ages 3-5 - 6 30-minute sessions.....	\$30.00
Ages 6-12 – 45-minute sessions.....	\$48.00
Parent Tot Ages 6 months - 3 years.....	\$30.00
Adults/Beginners 13+ - 6 45-minute sessions.....	\$48.00
Water Aerobics (per class - 5 per week)	
Non-Member.....	\$2.00
Member	\$1.00
Gymnasium	
Aycock Recreation Complex Non-Profit per hour – County.....	\$70.00
Aycock Recreation Complex Non-Profit per hour – Non-County.....	\$85.00
Aycock Recreation Complex - Non-Profit Private Team - County (per practice/game).....	\$30.00
Aycock Recreation Complex - Non-Profit Private Team – Non-County (per practice/game).....	N/A
Aycock Recreation Complex For- Profit per hour – County.....	\$100.00
Aycock Recreation Complex For-Profit per hour – Non-County.....	\$150.00
Multi-purpose Room Non-Profit per hour – County.....	\$70.00
Multi-purpose Room Non-Profit per hour – Non-County.....	\$75.00
Multi-purpose Room For-Profit per hour – County.....	\$125.00
Multi-purpose Room For-Profit per hour – Non-County.....	\$175.00
Aycock Lobby – County.....	\$25.00
Aycock Lobby – Non-County.....	\$30.00
Fees	
Aycock Recreation Center	
Resident – Daily	
Adult Single Admission.....	\$5.00
Teen 18 and under.....	\$2.00
Senior 55 and over.....	\$2.00
Resident – Monthly	
Adult Single Admission.....	\$30.00
18 and under.....	\$25.00
Senior 55 and over.....	\$25.00

Non-Resident – Daily	
Adult Single Admission.....	\$10.00
18 and under.....	\$5.00
Senior 55 and over.....	\$5.00
Military.....	\$2.00
Military & family - monthly.....	\$12.00
Local (Commercial) companies & agencies.....	\$2.00
Local (Commercial) companies & agencies & family - monthly.....	\$17.00
Non-Resident – Monthly	
Adult Single Admission.....	\$50.00
18 and Under.....	\$45.00
Senior 55 and Over.....	\$45.00
Resident Family Pass – Monthly	
Family Pass.....	\$35.00
Seniors 55 and Over.....	\$25.00
Non-Resident Family Pass – Monthly	
Family.....	\$65.00
Seniors 55 and Over.....	\$50.00
City/County/State Employee – Monthly	
Family Pass.....	\$17.00
Adult.....	\$15.00
Senior 55 and Over.....	\$12.00
Classes/Programs	
Preschool per class.....	\$3.00
Walking Program per month (Adult/Senior).....	\$15.00
Swim Group.....	\$2.00
Camps	
Summer Day Camp – per week (8-11 year olds).....	\$50.00
Swim Camp.....	\$10.00
Aquatics Club	
Winter/Spring.....	\$160.00
Summer.....	\$225.00

GENERAL FUND

GENERAL FUND DEPARTMENTS

1. Governing Body
2. City Attorney
3. Administration
4. Human Resources
5. Finance
6. Information Technology (IT)
7. Downtown Development
8. Development Services
9. Public Buildings & Grounds
10. Police
11. Fire
12. Administration- Public Services
13. Garage
14. Cemetery
15. Street
16. Sanitation
17. Recreation
18. Youth Services
19. Aycock Aquatics Center
20. Vance County Shared Programs
21. Non-Departmental
22. Contributions to Local Agencies
23. Debt Service

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10: GENERAL FUND SUMMARY

GENERAL FUND DEPARTMENTS				
Department	2024 Council Amended Budget	2025 Department Requested Budget	2025 Manager Approved Budget	% Increase or Decrease
Governing Body	\$ 249,040	\$ 250,900	\$ 274,025	10.03%
Administration - City Attorney	\$ 50,500	\$ 50,500	\$ 50,500	0.00%
Administrative	\$ 384,725	\$ 414,900	\$ 419,775	9.11%
Human Resources	\$ 218,135	\$ 475,100	\$ 325,600	49.27%
Finance	\$ 563,380	\$ 607,600	\$ 686,895	21.92%
Information Services	\$ 137,525	\$ 208,000	\$ 208,000	51.25%
Downtown Development	\$ 117,220	\$ 121,420	\$ 123,045	4.97%
Development Services	\$ 711,410	\$ 769,600	\$ 769,975	8.23%
Public Buildings and Grounds	\$ 108,880	\$ 145,900	\$ 145,900	34.00%
Police	\$ 6,739,338	\$ 6,832,200	\$ 7,031,215	4.33%
Police - Asset Forfeiture	\$ -	\$ -	\$ -	0.00%
Fire	\$ 4,563,836	\$ 7,264,970	\$ 4,986,320	9.26%
Public Works Administration	\$ 223,220	\$ 309,650	\$ 259,930	16.45%
Garage	\$ 1,136,505	\$ 377,400	\$ 1,152,075	1.37%
Cemetery	\$ 115,500	\$ 128,300	\$ 120,500	4.33%
Street	\$ 1,551,640	\$ 2,973,000	\$ 1,648,825	6.26%
Sanitation	\$ 1,331,795	\$ 2,207,100	\$ 1,335,100	0.25%
Recreation	\$ 1,424,420	\$ 2,135,321	\$ 1,619,425	13.69%
Youth Services	\$ 243,660	\$ 246,360	\$ 265,975	9.16%
Aycock Aquatics Center	\$ 492,875	\$ 1,068,538	\$ 551,175	11.83%
Vance County Shared Programs	\$ 1,364,282	\$ 1,374,000	\$ 1,374,000	0.71%
Non-Departmental	\$ 962,003	\$ 928,305	\$ 3,917,805	307.25%
Contribution to Local Agencies	\$ 34,050	\$ 44,800	\$ 44,800	31.57%
Debt Service	\$ 852,495	\$ 993,135	\$ 993,135	16.50%
Total - General Fund	\$ 23,576,434	\$ 29,926,999	\$ 28,303,995	20.05%

\$4,000,000 of Fund Balance has been appropriated to balance this year's budget to help cover staff increases, insurance increases and other operational expenses, however projected savings and revenue results typically negate the use of fund balance.

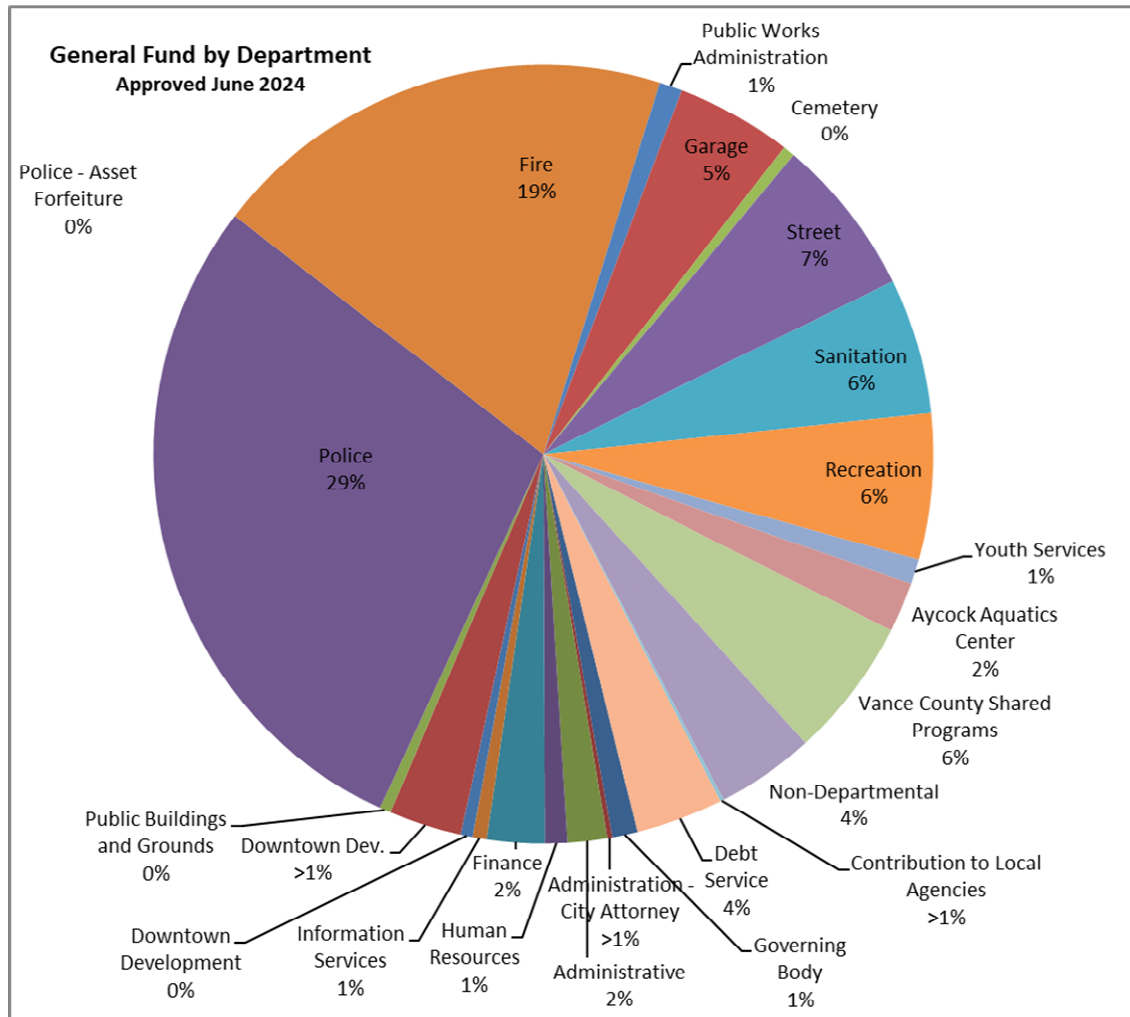
\$968,740 has been budgeted for loan purchase of capital outlay to include a new Police vehicles, new roof and new bay doors for Fire Station 1.

\$1,374,000 has been budgeted for County shared programs to cover the City's portion of Elections, Tax Office, 911, H. Leslie Perry Library, and NCDMV.

\$44,800 has been budgeted for Local Agencies such as Vance/Granville Airport, Corbitt Assn., Crime Stoppers, Boys & Girls Club, and the Vance Arts Council.

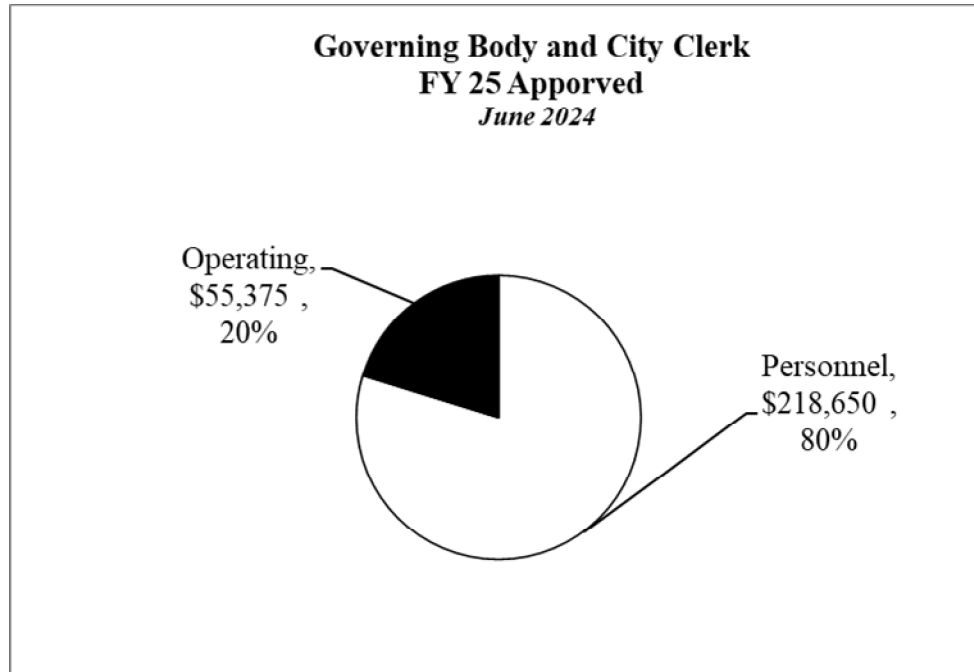
\$25,000 has been budgeted for the contributions to the Downtown Development Commission.

**FY 24-25 BUDGET
GOVERNING BODY
10: GENERAL FUND SUMMARY**



FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-410: GENERAL FUND GOVERNING BODY SUMMARY

10-410: GOVERNING BODY SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 164,850	\$ 192,450	\$ 182,695	\$ 182,695	\$ 186,400	\$ 204,025	\$ 218,650
Operating	69,050	59,000	66,345	66,345	64,500	59,500	55,375
Total Expenditures	\$ 233,900	\$ 251,450	\$ 249,040	\$ 249,040	\$ 250,900	\$ 263,525	\$ 274,025



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
		Elected Officials					
1	1	Mayor					
8	8	Council Members					
		Administrative Staff					
1	1	City Clerk		19	\$42,747	\$64,121	
1 FT/ 9 EO	1 FT/ 9 EO						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Postions	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO
New Requests	0	0	0	0	0	0	0
Total Funded Positions	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO	1 FT/ 9 EO

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-410: GENERAL FUND GOVERNING BODY SUMMARY

PURPOSE

The City of Henderson is structured as a Council-Manager form of government pursuant to the North Carolina General Statutes. The Mayor is elected at large and eight Council Members are elected to represent four (4) wards. Each ward has one council member elected by ward vote only and one council member is elected at-large. Council members and the mayor are elected for four-year staggered terms.

The City Council is the legislative board of City government and sets the policies for the City. It appoints the City Manager, City Attorney and City Clerk.

FY 24 ACCOMPLISHMENTS

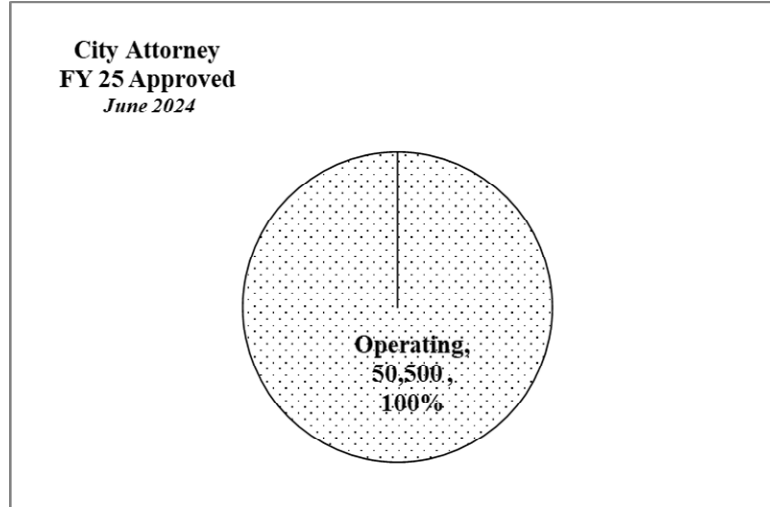
- **Strategic Plan:** Council held a Strategic Planning Retreat in February 2024.
- **Infrastructure:**
 - Continued progress on the Kerr Lake Regional Water Plant upgrade and construction; secured funding through grants, loans and revenue bonds
 - CIP projects underway including Water/Sewer (Sandy Creek Basin, Stormwater)
- **Major Accomplishments:**
 - Community Development Block Grant Neighborhood-Revitalization (CDBG-NR) projects are underway
 - Acquired more than 100 City/County jointly owned properties for development purposes
 - Work continues on the Downtown pavilion
 - On-going support for the development of the NCDOT S-Line rail
 - Assisted Vance County Housing Authority with land inventory for the Supportive Housing American Rescue Plan (SHARP) to provide affordable housing
 - Approved policies to aid in employee recruitment and retention
 - Created Downtown Advisory Board to manage NC Main Street program
 - Enhanced City cleanup efforts
 - Support of ever-evolving bi-annual community cleanups and quarterly City cleanups
 - Support and promotion of Representative Sossamon's Anti-litter campaign:
 - Approval and support of the Police Chief's collaboration with Vance County Schools to engage and involve the youth of the community in the campaign
 - Approved funding to provide signage and other promotional materials

KEY BUDGET ISSUES

- Continue to increase tax base and stability of existing housing stock
- Retaining staff and competitive salaries
- Fire Station #3
- IT needs
- Redevelopment
- Economic Development incentives

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-414: GENERAL FUND CITY ATTORNEY SUMMARY

10-414: CITY ATTORNEY SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ -	\$ -	\$ -		\$ -	\$ -	\$ -
Operating	61,000	61,000	50,500	50,500	50,500	50,500	50,500
Total Expenditures	\$ 61,000	\$ 61,000	\$ 50,500	\$ 50,500	\$ 50,500	\$ 50,500	\$ 50,500



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
1 PT	1 PT	City Attorney (Contracted part time)					
		No Salary provided					
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	1 PT	1 PT	1 PT	1 PT	1 PT	1 PT	1 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	1 PT	1 PT	1 PT	1 PT	1 PT	1 PT	1 PT

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-414: GENERAL FUND CITY ATTORNEY SUMMARY

PURPOSE

To provide legal counsel to the Mayor, City Council, City Manager and City staff; review Ordinances and Resolutions as well as contracts and agreements; and to represent the City as needed.

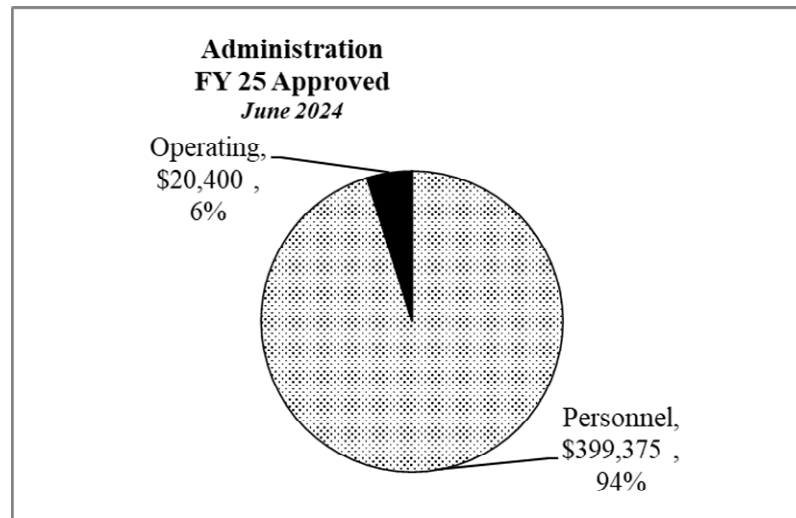
The City Attorney, D. Rix Edwards, provides part-time services to the City via a contract with the firm of Stainback, Satterwhite, & Zollicoffer.

KEY BUDGET ISSUES

- Additional funding for legal counsel outside the realm of the City Attorney's expertise
- Additional funding for extensive title searches performed by outside contractors.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-420: GENERAL FUND ADMINISTRATIVE SUMMARY

10-420: ADMINISTRATIVE DEPARTMENT SUMMARY							
	Actual 21-22	Actual 22-23	Budget 23-24	Estimated 30 June 24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel Services	\$ 313,085	\$ 344,600	\$ 363,875	\$ 363,875	\$ 394,500	\$ 399,375	\$ 399,375
Operating	16,825	20,300	20,150	20,150	20,400	20,400	20,400
Capital Outlay	2,500	1,700	700	700	-	-	-
Total Expenditures	\$ 332,410	\$ 366,600	\$ 384,725	\$ 384,725	\$ 414,900	\$ 419,775	\$ 419,775



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Authorized Funded Positions					
1	1	City Manager	-	-	-		
1	1	Assistant City Manager	31	\$75,574	\$113,361		
1	1	Executive Assistant	14	\$33,818	\$50,727		
		Authorized, Frozen Unfunded Positions					
0	0	Administrative Support Specialist	11	frozen			
0	0	Special Projects Manager	n/a	frozen			
3	3						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	3	3	3	3	3	3	3
New Requests	0	0	0	0	0	0	0
Total Funded Positions	3	3	3	3	3	3	3

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-420: GENERAL FUND ADMINISTRATIVE SUMMARY

PURPOSE

To guide, lead and direct all City departments in administrative matters related to and necessary for implementing City Council's policy.

The Administration Department consists of the City Manager, Assistant to the City Manager, Executive Assistant to the City Manager, Administrative Support Specialist and Special Projects Manager. The Special Projects Manager and the Administrative Support Specialist positions have been frozen and unfunded for years.

GOALS & OBJECTIVES

1. Priority 1. Improve the image and perception of the city.
2. Priority 2. Attract and retain employees with a focus on succession planning.
3. Priority 3. Encourage housing stock that is diverse, safe, and affordable.
4. Priority 4. Promote economic development/develop and revitalize downtown.

FY 24 ACCOMPLISHMENTS

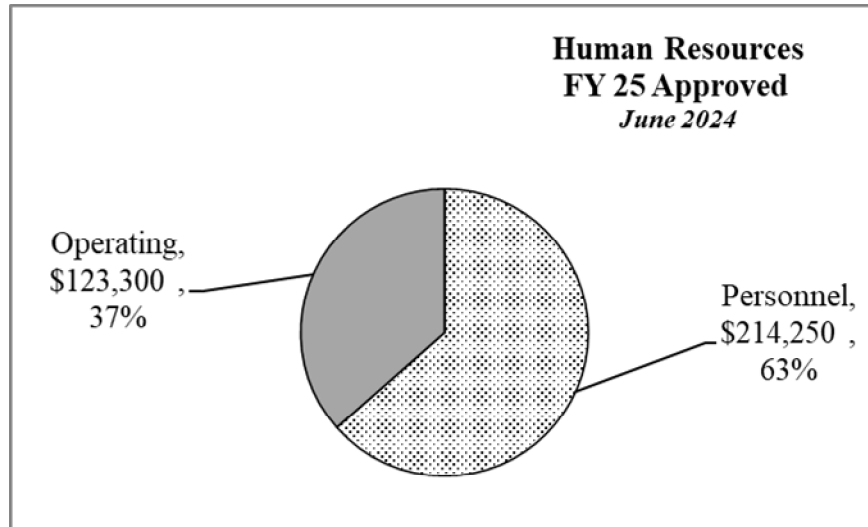
- Successfully met all U.S Treasury reporting requirements for receipt of American Rescue Plan Act (ARPA) funds.
- Received \$200,000 in state funding from Representative Frank Sossaman to aid with water and sewer infrastructure.
- Secured \$15 million in additional needed funding to begin construction of the Kerr Lake Regional Water System expansion and upgrade project.
- Williams/Montgomery Street Park utilizing grant funding from the National Fitness Campaign and the NC Park and Recreation Trust (PARTF) grant program.
- Received \$2.175 million in federal funding secured by Congressman Don Davis for the construction of a new communications tower to assist public safety.

KEY BUDGET ISSUES

- Addressing the disparities in hiring salaries for various City departments identified in the City's recent salary study.
- Identifying a location and funding source for the construction of a 3rd Fire Station.
- Finding additional funds for upcoming capital needs related to building and infrastructure.
- Identifying funding sources to further the City's redevelopment efforts.
- Securing additional funding to complete the Williams/Montgomery Street Park project.
- Implementing the City's Stormwater Program.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-425: GENERAL FUND HUMAN RESOURCES SUMMARY

10-425: HUMAN RESOURCES SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 155,360	\$ 173,750	\$ 168,825	\$ 168,825	\$ 351,800	\$ 202,250	\$ 202,250
Operating	37,710	49,450	49,310	49,310	123,300	120,750	120,750
Capital Outlay	\$ 1,300	\$ -	\$ -	-	\$ -	\$ 2,600	\$ 2,600
Total Expenditures	\$ 194,370	\$ 223,200	\$ 218,135	\$ 218,135	\$ 475,100	\$ 325,600	\$ 325,600



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Authorized Funded Positions					
1	1	Human Resources Director	27	\$62,441	\$93,662		
1	1	Human Resources Technician	12	\$31,200	\$46,221		
2	2						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 22-23	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	3	2	2	2	2	2	2
New Requests	0	0	0	0	0	0	0
Total Funded Positions	3	2	2	2	2	2	2

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-425: GENERAL FUND HUMAN RESOURCES SUMMARY

PURPOSE

To plan and manage programs related to the recruitment, benefits, classification and compensation, training, employee safety, and employee and labor relations functions of the City. Each function should be performed in accordance with the City of Henderson's policies and procedures as well as local, state and federal regulations.

GOALS & OBJECTIVES

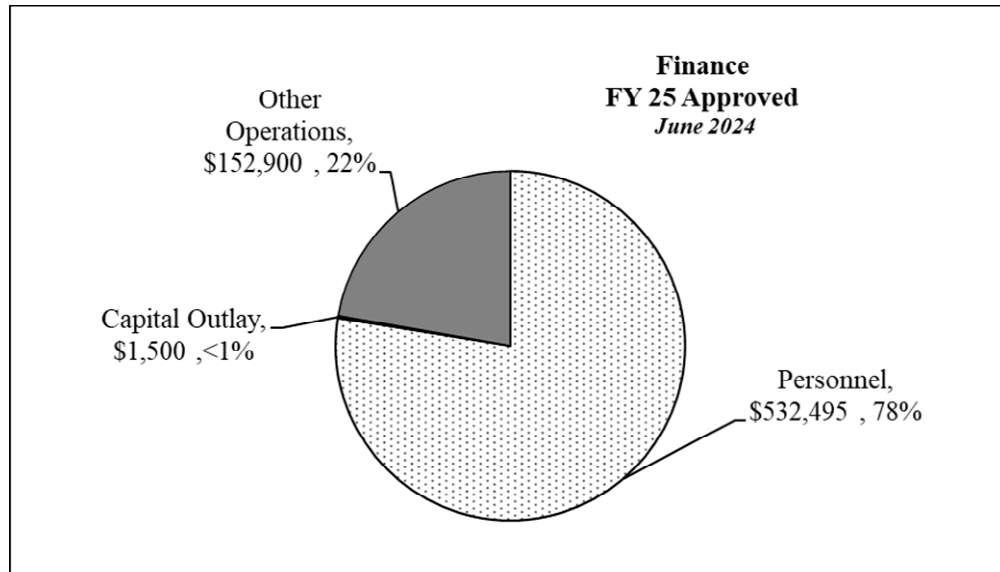
- Goal 1:** To update all records to digital retention methods and implement new HRIS platform.
Objective 1: To work with all employees to gain understanding of new system online, how this will benefit them, assist them in managing their own information. Align management goals with performance and new system functions to better manage workforce for Directors and Supervisors.
- Goal 2:** Update employee handbook and put document online for all existing and new employees.
Objective 1: Within new HRIS system put all relative documents online including employee handbook with all new updates and changes being filed for records purposes and retained on employee record for compliance.
- Goal 3:** Retain and attract more talent.
Objective 1: To utilize the options offered from new HRIS system to properly advertise positions. Use employee incentive bonus to attract and retain referrals from employees to help to meet the hiring needs.
- Goal 4:** Update training requirements and utilize new HR system as well as free training platform for training needs.
Objective 1: To train Directors and supervisors in how to use system and assign city wide required courses such as Defensive Driving, Harassment, etc to make sure learning and continuing education is made a priority for review process and movement within the job grade.
- Goal 5:** To update performance management and review requirements within new HRIS system.
Objective 1: To train Directors and managers on the importance of performance management for reviews and implement annual review process.
- Goal 6:** To complete compensation and pay study and carry out necessary updates and changes.
Objective 1: To hire firm to do compensation and pay study and utilize reporting given with completed project to move forward with any pay grade and salary changes to stay competitive for the region with employee pay and give managers a good foundation for performance reviews and merit increases.

KEY BUDGET ISSUES

- Recruitment: There is difficulty in attracting and retaining employees in some positions due to salaries that are not competitive to those of other agencies.
- Training: No real training process in place
- Performance Management/Merit process: No Real process in place or is not being followed
- Records Retention: There is no current system in place and this update will involve technology update for records and payroll processing.
- Compensation and Pay Study: Study has not been done in 10 years. New study must be done every 2-3 years max to stay competitive.

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-440: GENERAL FUND FINANCE SUMMARY**

10-440: FINANCE DEPARTMENT SUMMARY							
	Actual 21-22	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel Services	\$ 385,370	\$ 430,104	\$ 409,800	\$ 409,800	\$ 443,300	\$ 532,495	\$ 532,495
Operating	119,275	128,900	152,080	152,080	162,800	152,900	152,900
Capital Outlay	1,500	1,500	1,500	1,500	1,500	1,500	1,500
Total Expenditures	\$ 506,145	\$ 560,504	\$ 563,380	\$ 563,380	\$ 607,600	\$ 686,895	\$ 686,895



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Authorized Funded Positions					
1	1	Finance Director	28	\$65,488	\$98,232		
1	1	Assistant Finance Director	25	\$56,775	\$85,163		
1	2	Accountant	16	\$37,131	\$55,697		
1	1	Payroll Specialist	13	\$32,280	\$48,420		
4	5						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	5	5	5	4	5	5	5
New Requests	0	0	0	0	0	0	0
Total Funded Positions	5	5	5	4	5	5	5

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-440: GENERAL FUND FINANCE SUMMARY**

PURPOSE

To administer the fiscal affairs of the City in compliance with local, state and federal regulations and in accordance with generally accepted accounting principles of governmental accounting and the rules and regulations of the North Carolina Local Government Commission. The Finance Department's responsibilities include the collection and disbursement of funds, control of expenditures, cash and asset management, payroll and purchasing. The Department is responsible for insuring that all of the City's disbursements are in strict compliance with laws and regulations and the City's budget ordinance.

GOALS & OBJECTIVES

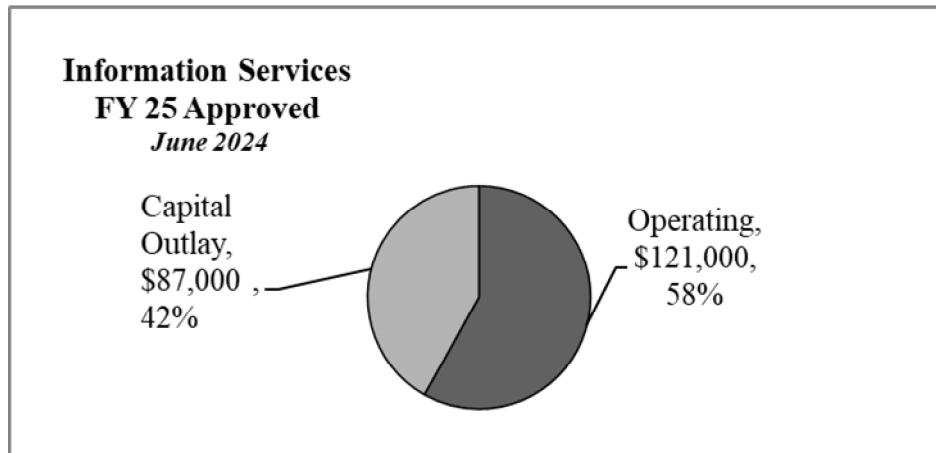
- Goal 1:** Earn the GFOA Certificate of Achievement Award for Excellence in Financial Reporting.
Objective 1: Work closely with auditors to ensure that the FY23 Annual Comprehensive Financial Report meets or exceeds the requirements for the GFOA award and assist with preparation of the FY24 audit in compliance with GFOA guidelines.
- Goal 2:** To record and post financial data in a timely and efficient manner.
Objective 1: To utilize and/or expand the comprehensive checklist of critical dates for various items and/or tasks including revenue receipts (sales tax, utility franchise tax, etc.), debt service payments, reporting deadlines, etc.
- Objective 2:** To continue to review and monitor this checklist on an on-going basis to ensure that deadlines are met and that financial data is recorded accurately and in a timely manner in order to provide meaningful and reliable up-to-date financial information to management and department heads and submit all "outside" reports (Powell Bill, various LGC reports, NC Dept. of Revenue reports, etc.) by their required due dates.
- Goal 3:** Improve current departmental processes and procedures and cross-train all Finance staff.
Objective 1: Review current processes and procedures for potential improvements. Determine if distribution of departmental tasks and responsibilities are assigned in the most efficient manner and re-align/re-assign duties and responsibilities where efficiencies could be improved.

FY 24 ACCOMPLISHMENTS

- Audit: Received a "clean," unmodified opinion on the FY23 financial audit report.
- Automated procedures surrounding electronic procurement and related accounting processes has generated over \$90,000 in rebate revenue for the City since its inception. In FY24, we are expecting to approach over \$100,000 in accrued revenue. Not only do these innovations build revenue, but significantly reduce costs and time in processing the City's expense budgets.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-450: GENERAL FUND INFORMATION SERVICES SUMMARY

10-450: INFORMATION SERVICES DEPARTMENT SUMMARY							
	Actual 21-22	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnal Services	\$ 66,460	\$ 78,550	\$ -	\$ -	\$ -	\$ -	\$ -
Operating	70,600	183,400	91,525	\$ 91,525	121,000	121,000	121,000
Capital Outlay	124,000	29,500	46,000	46,000	87,000	87,000	87,000
Total Expenditures	\$ 261,060	\$ 291,450	\$ 137,525	\$ 137,525	\$ 208,000	\$ 208,000	\$ 208,000



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
0	0	Information Technology Administrator			20	\$44,809	\$67,214
HISTORY OF POSITION							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	1	1	1	1	1	1	1
New Requests	0	0	0	0	0	0	0
Total Funded Positions	1	1	1	0	0	0	0

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-450: GENERAL FUND INFORMATION SERVICES SUMMARY

PURPOSE

To provide support, assistance, and development to all departments regarding Information Technology systems.

GOALS & OBJECTIVES

- Goal 1:** To update and maintain the City's Information Technology (IT) infrastructure.
- Objective 1:** To update and maintain the City's IT infrastructure to meet and exceed the needs of the City's workforce to operate, serve, and protect the public promptly.
- Objective 2:** To consolidate the various contracts and budgets throughout the City regarding IT Technology.

FY 24 ACCOMPLISHMENTS

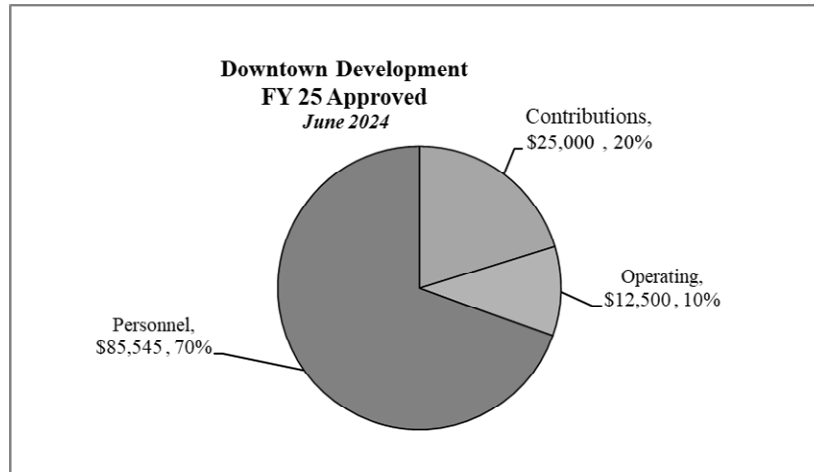
- The City has retreated from integration with NCDIT and its cloud services due to cost, our systems are now stand alone.
- New voice recording equipment has been added to the Council Chambers. This will enhance the public's ability to hear proceedings and for those proceedings to be recorded for the City Clerk.
- Fiber optic communication trunk lines have been installed at Aycock, Operations and City Hall.
- A smart screen using Bluebeam technology has been installed in the O'Geary Room. This allows for remote meetings, and will serve as a platform for Development Services to further information sharing.
- Power backup for the IT system and door locks has been installed at City Hall to counter outages experienced during inclement weather.

KEY BUDGET ISSUES

- Telephone System Upgrade: Currently, City Hall uses a Nortel telephone system. The hardware and software for this system are no longer manufactured or supported. The data interface to City Hall has been upgraded to a fiber optic system which will allow conversion to a modern VOIP communication system.
- Funds are not available to address equipment and software obsolescence with a rolling replacement and upgrade strategy using a five-year planning horizon. This would require that on average we budget 20% replacement/upgrade of hardware on an annual basis.
- Continue to improve the City's website, firewalls, viral threat education, virus, and ransomware protection.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-496: GENERAL FUND DOWNTOWN DEVELOPMENT SUMMARY

10-496: HVDD DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 72,715	\$ 76,950	\$ 81,925	\$ 81,925	\$ 83,920	\$ 85,545	\$ 85,545
Operating	\$ 6,750	\$ 9,400	\$ 10,295	\$ 10,295	\$ 12,500	\$ 12,500	\$ 12,500
Contributions	25,000	25,000	25,000	25,000	25,000	25,000	25,000
Total Expenditures	\$ 104,465	\$ 111,350	\$ 117,220	\$ 117,220	\$ 121,420	\$ 123,045	\$ 123,045



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
		Authorized Funded Position					
1	1	Downtown Development Manager		19	\$42,747	\$64,121	
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	1	1	1	1	1	1	1
New Requests	0	0	0	0	0	0	0
Total Funded Positions	1	1	1	1	1	1	1

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-496: GENERAL FUND DOWNTOWN DEVELOPMENT SUMMARY

PURPOSE

To promote, enhance, facilitate and encourage a vibrant, healthy and historically significant downtown historic central business district. To ensure the Downtown business district is being managed using the four-point approach of the Main Street program: organization, promotion, design and economic vitality. To lead the Henderson-Vance Downtown Development Commission, a volunteer member group organized as a 501c3, in Main Street Community best practices resulting in community transformation and improvement.

GOALS & OBJECTIVES

- Goal 1:** Downtown Henderson is the destination for diverse cultural experiences for Vance County.
- Objective 1:** Increase job opportunities and growth of tax base through expansion of small businesses that are complimentary or compatible with existing cultural amenities by 10% over the next three years.
- Goal 2:** Create an environment that promotes community involvement downtown to build a progressive environment supporting business and tourism.
- Objective 1:** Add three new businesses in the next 12 months and increase participation in community events/festivals by 5% over the next three years. Increase walking score by 10%.

FY 24 ACCOMPLISHMENTS

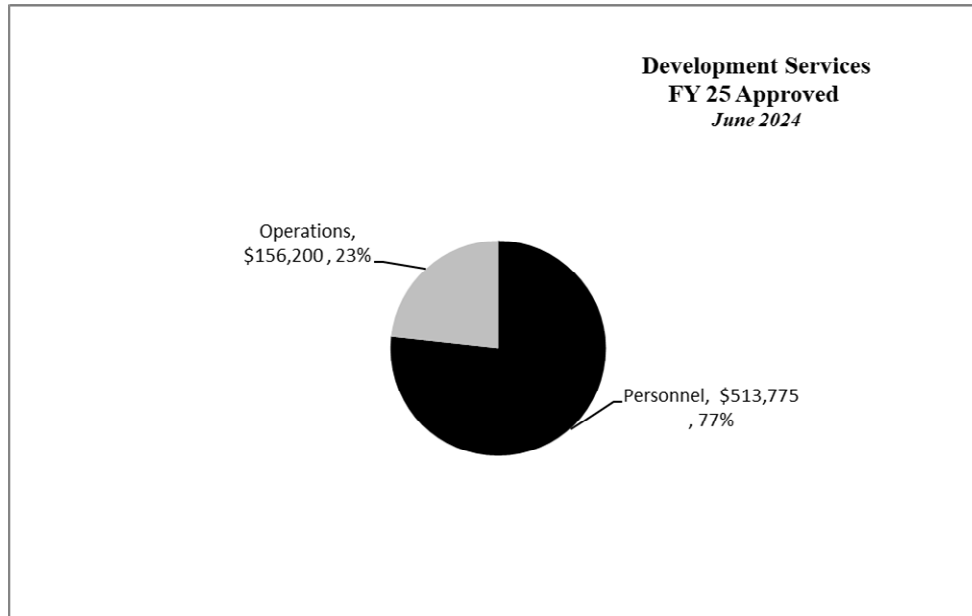
- 22 public events/festivals/fundraisers: netted \$12,500
- 12 new businesses downtown
- One set of banners for Garnett St.
- Award of International Economic Development Council technical grant
- Five façade grants awarded to downtown businesses totaling \$8,351
- Added five additional planters to downtown

KEY BUDGET ISSUES

- Façade Improvements: There are numerous buildings downtown in need of façade improvements to attract businesses and the overall appearance of downtown Henderson. Additionally, a vacant building policy is being studied for implementation.
- Funding for two additional sets of banners.
- Planter Beautification Project: Fifteen (out of 20 purchased) planters have been installed on Garnett St. and Breckenridge St. and plans are to install the remaining planters and cover the annual upkeep.
- Downtown Appearance Program: Downtown beautification is a high priority. An attractive downtown is imperative for economic development to attract new businesses and statistics show that crime rates and unlawful activities decrease. Goals include repainting faded murals and adding new, increased walkability through a streetscape design plan and a litter campaign.
- Other key 2024-25 budgetary items include hosting additional downtown events, the publication of a Business Resource Guide to assist investors in starting new businesses downtown.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-498: GENERAL FUND DEVELOPMENT SERVICES

10-498: DEVELOPMENT SERVICES SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 376,170	\$ 447,900	\$ 568,225	\$ 568,225	\$ 602,400	\$ 613,775	\$ 613,775
Operating	135,450	156,300	143,185	143,185	167,200	156,200	156,200
Capital Outlay	37,500	15,000	-	-	-	-	-
Total Expenditures	\$ 549,120	\$ 619,200	\$ 711,410	\$ 711,410	\$ 769,600	\$ 769,975	\$ 769,975



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Board Members					
15	15	Board of Adjustment Members					
10	10	Planning Board Members					
		Authorized Funded Positions					
1	1	Development Services Director	28	\$65,488	\$98,232		
0	1	Community Development Manager	19	\$42,747	\$64,121		
1	1	Zoning Administrator	17	\$38,913	\$58,370		
1	1	Planner	17	\$38,913	\$58,370		
2	2	Code Compliance Inspector	15	\$35,434	\$53,151		
5	6						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	5	5	5	6	6	6	6
New Requests	0	0	1	0	0	0	0
Total Funded Positions	5	5	6	6	6	6	6

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-498: GENERAL FUND DEVELOPMENT SERVICES**

PURPOSE

Planning, Community Development & Zoning, along with Code Compliance operates under the Development Services Department. Planning, Zoning, and Community Development administers land use regulations for the City of Henderson. Code Compliance ensures that all neighborhoods and business areas are safe and decent by enforcing the Minimum Housing, Abandoned, Weeded Lot (Nuisances) ordinances and other applicable codes. Our overall objective is to promote smart growth, development and economic opportunity for the City and Extraterritorial Jurisdiction.

GOALS & OBJECTIVES

Goal 1: Create and Identify Community Development projects that will produce an Enforcement housing plan and potential infill housing development.

Objective 1: Identify neighborhoods where city and county vacant properties exist, evaluate the surrounding housing stock, determine if dwellings are deteriorated or dilapidated and create a neighborhood plan that can address needs (including infrastructure and housing) and potentially locate new housing developments.

Goal 2: Evaluate city neighborhoods to ensure habitable and safe housing stock.

Objective 1: With strategic planning and creating a periodic inspection/housing education program that will also include landlord / tenant best practices. The Code Compliance Department will continue to enforce the Minimum Housing Code and Abandoned Structure Code by evaluation of each dwelling within the neighborhoods and responding to complaints of substandard dwellings. The department, under the orders of the City Council, needs to remove the abandoned structures that are ready for demolition.

Goal 3: Assist Redevelopment Commission and the Downtown Development Commission in redevelopment of the downtown and adjacent areas.

Objective 1: In order to deal with blight and the lack of development, the City and others must officially define / establish a redevelopment zone and encourage / promote the rebuilding of these blighted areas.

Goal 4: Update and Non-Residential Code

Objective 1: The Non-Residential Code in essence is the minimum standard code for non-residential buildings. This code needs updating in order to deal with building facades, site maintenance, and conditions that create hazardous issues for public.

FY 23 ACCOMPLISHMENTS

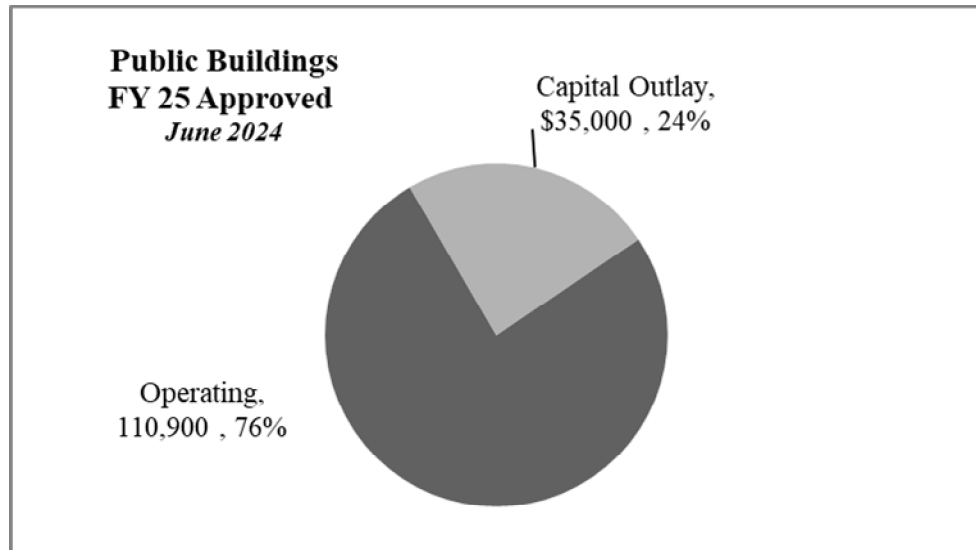
- Infill single family has begun with Berry Ave housing development.
- Unified Development Ordinance (UDO) process is expected to be completed by summer 2023.
- Community Development Manager hired.

KEY BUDGET ISSUES

- Funding for Code Compliance Inspector, retention of staff, and new vehicle.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-500: GENERAL FUND PUBLIC BUILDINGS & GROUNDS SUMMARY

10-500: PUBLIC BLDGS DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Operating	\$ 102,800	\$ 111,700	\$ 108,880	\$ 108,880	\$ 110,900	\$ 110,900	\$ 110,900
Capital Outlay	4,900	5,100	-	-	35,000	35,000	35,000
Transfer to Muncipal Bldg CIP	-	-	-	-	-	-	-
Total Expenditures	\$ 107,700	\$ 116,800	\$ 108,880	\$ 108,880	\$ 145,900	\$ 145,900	\$ 145,900



NO AUTHORIZED PERSONNEL ASSIGNED TO THIS DEPARTMENT

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-500: GENERAL FUND PUBLIC BUILDINGS & GROUNDS SUMMARY

PURPOSE

To provide funds on a centralized basis for general building maintenance at City Hall, First National Bank building and former Municipal Building 110 Young St. and associated insurance and utility costs for these public buildings. City Hall administration is responsible for administering this budget.

GOALS & OBJECTIVES

- Goal:** Continue to make improvements to public buildings.
- Objective 1:** Increase worker productivity and safety through a better working environment.
- Objective 2:** Continue to improve the look and capability of public buildings and thereby encourage private redevelopment efforts, including promotion of the downtown district.

FY 24 ACCOMPLISHMENTS

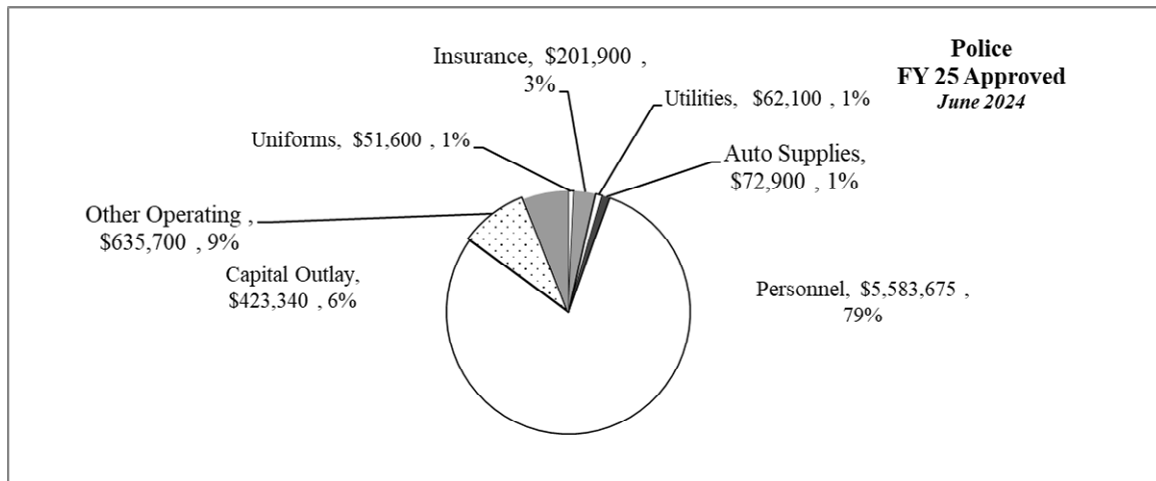
- Municipal Building (110 Young St.): the building remains largely vacant; the Vance County Arts Council has occupied the board room and central hallway since 23 Jul 2021.
- First National Bank building (213 S Garnett St.): Purchase of the S-line by NCDOT (Rail Division) gives prospect to this building as a rail station and is a catalyst to downtown redevelopment. The building is being evaluated for such use and is included in platform and intermobility hub design. This service is provided by the engineering firm Vanasse Hangen Brustlin, Inc. under contract to NCDOT Rail. The design will achieve 30% engineered drawings and position the City for further grant assistance as the high speed rail initiative progresses.
- City Hall (134 Rose Ave.): A 24kW natural gas backup generator has been installed. This gives the IT system and magnetic door locks continuity in a local power grid disruption.

KEY BUDGET ISSUES

- Security fence needed at City Hall along the north side of the west parking lot.
- Insufficient funds for interior painting of City Hall, and deployment of an ornamental fountain.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-510: GENERAL FUND POLICE DEPARTMENT SUMMARY

10-510: POLICE DEPARTMENT SUMMARY							
	Actual 21-22	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel Services	\$ 4,335,865	\$ 4,742,400	\$ 5,461,995	\$ 5,476,970	\$ 5,578,000	\$ 5,583,675	\$ 5,583,675
Operating	800,980	863,800	884,275	834,763	830,800	1,024,200	1,024,200
Capital Outlay	375,700	429,400	303,668	193,237	423,400	165,140	423,340
Total Expenditures	\$ 5,512,545	\$ 6,035,600	\$ 6,649,938	\$ 6,504,970	\$ 6,832,200	\$ 6,773,015	\$ 7,031,215



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Sworn Law Enforcement Officers Full Time					
1	1	Chief of Police	PS 33	\$90,595	\$132,576		
1	1	Assistant Police Chief	PS 31	\$82,359	\$120,524		
2	2	Captain	PS 29	\$74,872	\$109,568		
7	7	Lieutenant	PS 25	\$62,393	\$91,307		
8	8	Sergeant	PS 24	\$59,421	\$86,958		
10	10	Senior Police Officer	PS 22	\$53,897	\$78,873		
7	7	Police Officer II	PS 21	\$51,330	\$75,117		
13	13	Police Officer I	PS 20	\$48,959	\$71,648		
3	2	Police Officer Cadet	PS 14	\$36,024	\$54,036		
52	51	Subtotal					
		Administrative Full Time					
1	0	Crime Scene Assistant	PS 14	\$36,024	\$54,036		
1	1	Executive Assistant	14	\$33,818	\$50,727		
2	2	Police Records Clerk	11	\$31,200	\$44,126		
1	1	Parking Enforcement Agent/Custodian	6	\$31,200	\$35,063		
5	4	Subtotal					
		Part Time Employees					
1	1	Crime Analyst		\$15	\$15		
1	1	Assistant to Administrative Services		\$15	\$15		
0	0	Training Officer		\$15	\$15		
1	1	Accreditation Assistant		\$15	\$15		
1	1	Administrative Support Specialist		\$15	\$15		
1	1	DCI/TAC		\$15	\$15		
5	5	Subtotal					
57 FT/ 5 PT	55 FT/ 5 PT						
HISTORY OF POSITIONS							
	FY 21-22	FY 22-23	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	58 FT/ 7 PT	57 FT/ 7 PT	57 FT/ 7 PT	57 FT/ 5 PT	55 FT/ 5 PT	55 FT/ 5 PT	55 FT/ 5 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	58 FT/ 7 PT	57 FT/ 7 PT	57 FT/ 7 PT	57 FT/ 5 PT	55 FT/ 5 PT	55 FT/ 5 PT	55 FT/ 5 PT

New pay schedule changes effective April 2023, approved by City Council

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-510: GENERAL FUND POLICE DEPARTMENT SUMMARY

PURPOSE

The prevention of crime, the protection of life and property, and the general preservation of the public peace.

GOALS AND OBJECTIVES

- GOAL 1:** Reduce the overall violent crime rate for Henderson and continue to reduce the overall Part 1 Crime Volume along the current ten-year trend.
- Objective 1:** Continue to use the Federal Court System to prosecute violent and habitual felons that affect the City of Henderson.
- Objective 2:** Continue working closely with the 11th District Attorney's Office on prosecution and diversion strategies.
- Objective 3:** Continue to engage community groups and organizations in unified programs designed to increase trust and synergy between our citizens and the Police Department.
- Objective 4:** Utilize the NIBIN System to submit shell casings for comparison in an attempt to connect violent crime cases.
-
- GOAL 2:** To reach and maintain full sworn officer staffing.
- Objective 1:** To hire personnel to fill all existing allocated sworn positions.
- Objective 2:** Increase in-service training and training in the areas of supervision and command staff.
- Objective 3:** Innovatively advertise and recruit a diverse workforce that compliments and projects our values.
-
- GOAL 3:** Continue to seek resources to address needed CIP purchases and to improve IT support.
- Objective 1:** Hire a Police Information Technology Specialist to provide on-site IT support.
- Objective 2:** Maintain the current level of operation, efficiency and expenditures of our individually assigned Police Department vehicle fleet program.
- Objective 3:** Fulfill the 25% replacement process set for communication equipment and computers.
- Objective 4:** Place a repeater within the city limits to ensure public safety and continuous radio contact.

FY 24 ACCOMPLISHMENTS

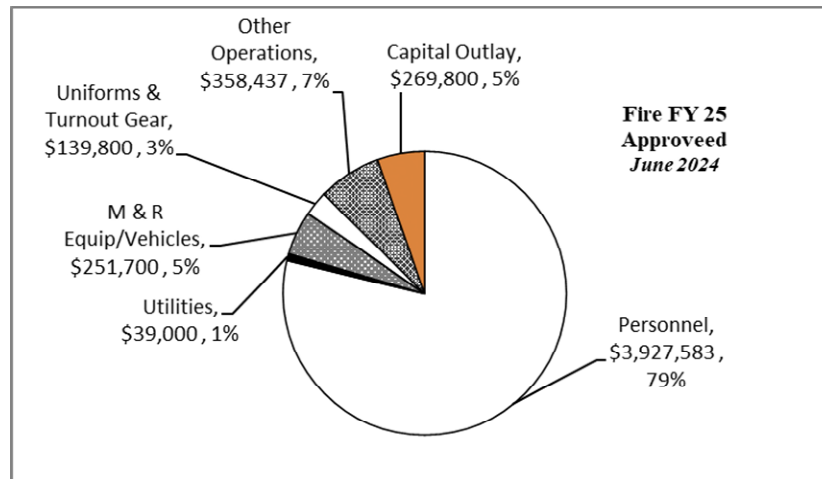
- Maintained a comparable Part 1 Crime Rate to the prior years.
- Successfully identified 250 leads using the NIBN system. (We are the smallest agency in the US with this system)
- Implemented and completed our first year of the Body-Worn Camera Program.
- Completed various Capital Improvement Projects to maintain the efficiency of the Police Department's facility.

KEY BUDGET ISSUES

- **Larger capital items:** Includes replacement vehicles and equipment using General Fund monies.
- **Maintenance and Capital Improvements:** The Police Department is over 20 years old and is in need of upgrades and repairs. This will help prevent larger cost in the future if these issues are addressed now.
- **Technology:** Law Enforcement has taken huge steps in technology and it is imperative that we keep up with this trend. The Police Department will need a specialist in IT to be able to maintain equipment and communicate with various agencies. A more costly portion of this will be annual fees and data storage.
- **Recruitment and Retention:** We must cultivate a staff of employees that can see obtainable growth in the profession, education, and finances. We are a leading agency in North Carolina, and we must be competitive in our compensation. The profession of law enforcement is struggling to recruit qualified employees.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-530: GENERAL FUND FIRE DEPARTMENT SUMMARY

10-530: FIRE DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 2,784,530	\$ 3,441,969	\$ 3,479,985	\$ 3,479,985	\$ 3,549,100	\$ 3,927,583	\$ 3,927,583
Operating	680,250	840,100	942,925	942,925	967,157	788,937	788,937
Capital Outlay	64,300	732,500	140,926	140,926	2,572,800	269,800	269,800
Total Expenditures	\$ 3,529,080	\$ 5,014,569	\$ 4,563,836	\$ 4,563,836	\$ 7,089,057	\$ 4,986,320	\$ 4,986,320



		AUTHORIZED POSITIONS					
FY 23-24	FY 24-25	CLASSIFICATION			GRADE	MINIMUM	MAXIMUM
1	1	Fire Chief			PS 28	\$65,488	\$98,232
1	1	Fire Deputy Chief			PS26	\$63,915	\$95,871
1	0	Assistant Fire Chief			PS 23	\$55,211	\$82,817
3	4	Battalion Chief			PS 23	\$55,211	\$82,817
1	1	Fire Captain/Fire & Safety Educator			PS 20	\$47,765	\$71,648
9	10	Fire Captain			PS 20	\$47,765	\$71,648
5	7	Fire Engineer			PS 18	\$43,749	\$65,624
2	6	Master Firefighter			PS16	\$39,563	\$59,345
7	4	Senior Firefighter			PS 15	\$37,750	\$56,625
9	5	Firefighter			PS 14	\$36,024	\$54,036
1	1	Firefighter/Hydrant Maintenance Technician			PS 14	\$36,024	\$54,036
40	40	Subtotal					
		Administration					
1	1	Senior Adminstrative Support Specialist			14	\$33,818	\$50,727
1	1	Total Full Time					
		Part Time					
19	18	Firefighter				\$13	\$13
0	0	Equipment Technician				\$15	\$15
41 FT/ 19 PT	41 FT/ 18 PT						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 23-24	Approved FY 24-25	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	42 FT/ 20 PT	42 FT/ 20 PT	41 FT/ 19 PT	41 FT/ 18 PT	41 FT/ 18 PT	42 FT/ 19 PT	42 FT/ 19 PT
New Requests	0	0	0	0	6	0	0
Total Funded Positions	42 FT/ 20 PT	42 FT/ 20 PT	41 FT/ 19 PT	41 FT/ 18 PT	41 FT/ 18 PT	42 FT/ 19 PT	42 FT/ 19 PT

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-530: GENERAL FUND FIRE DEPARTMENT SUMMARY

PURPOSE

To prevent fires and fire hazards throughout the City, suppression and containment of fires, education and related initiatives in fire prevention, the provision of rescue and emergency medical services, and interpretation and enforcement of Chapter V of the State Fire Prevention Code.

GOALS & OBJECTIVES

- Goal 1:** To comply with NFPA 1710 to provide four-minute response times to commercial and residential areas west of Dabney Dr. and I-85 which fall outside the 1 ½ mile response area.
- Objective 1:** Secure funding for design and construction of a third fire station as recommended by the 2019 Fire Study
- Goal 2:** Hire remaining 6 firefighters to staff four (4) fire fighters per responding apparatus for fire suppression/prevention activities as recommended by the 2019 Fire Study.
- Objective 1:** Secure approval and funding for sustaining the retention of fire personnel.
- Goal 3:** To replace apparatus in our fleet that are aging, unreliable and showing signs irreparable wear.
- Objective 1:** Secure an additional Ladder truck and place our current truck in reserve status
- Objective 2:** Replace two small vehicles that have been placed out of service several years ago.
- Goal 4:** Work with city to develop a pay plan to combat recruitment and retention issues.
- Objective:** Compensation and benefits must continually be evaluated to recruit and retain a qualified workforce.
- Goal 5:** Continue to provide for second set of gear for each employee
- Objective 1:** Continue PPE budgeting to allow for attrition and life span of gear.

FY 24 ACCOMPLISHMENTS

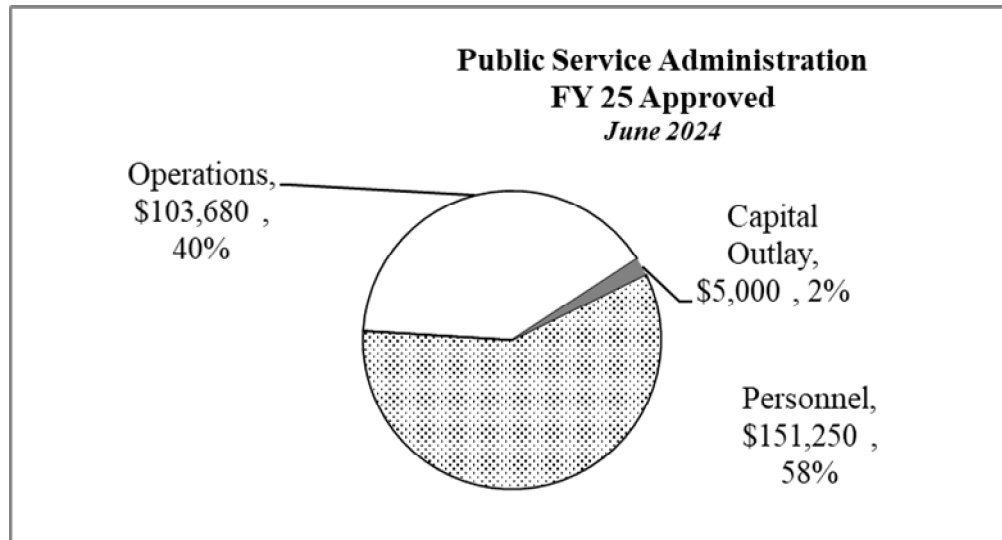
- So far, we have provided 90% of our full-time employees (firefighters) with two sets of PPE clothing. Attrition rates continue to challenge our ability to attain our goal of 100 %.
- The department reached out to 182,517 participants in regard to public fire education. This was accomplished through home inspections, seminars and activities in the schools, public events and social media contacts.
- 100 % of the required fire inspections were completed 452 initial inspections and 118 re-inspections
- Our personnel completed 13,642 man hours of fire/rescue, EMS and special training.
- Received a new Chief appointment, promoted 1 Deputy Fire Chief, 2 Battalion Chief's, and 1 Captain, and are in the process of testing for 2 Engineers, all promotions were within our department.

KEY BUDGET ISSUES

- Funding is needed for design and construction of a third station to comply with the 2019 Fire Study.
- Funding is needed to hire the 6 remaining fire fighters as recommended by 2019 Fire Study.
- Funding is needed to continue the reduction of acute and chronic exposures of fire fighters to carcinogens and other harmful compounds associated with firefighting activities.
- Funding is needed to acquire an additional ladder truck. The current Ladder Truck is 19 years old and has been out of service 9 consecutive months due to needed repairs and obsolete equipment. It should be placed in reserve status as soon as a replacement can be acquired.
- Funding is needed for small vehicles that have already been taken out of service.
- Pay study is needed to develop a plan to allow our department to remain competitive with other agencies.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-545: GENERAL FUND PUBLIC WORKS ADMINISTRATION SUMMARY

10-545: PUBLIC SERVICES/ADMIN DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 113,510	\$ 127,100	\$ 143,350	\$ 143,885	\$ 147,100	\$ 151,250	\$ 151,250
Operating	66,100	73,100	77,870	77,874	97,550	103,680	103,680
Capital Outlay	2,000	20,400	2,000	2,000	65,000	5,000	5,000
Total Expenditures	\$ 181,610	\$ 220,600	\$ 223,220	\$ 223,759	\$ 309,650	\$ 259,930	\$ 259,930



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Administrative Services Officer	17	\$38,913	\$58,370		
1	1	Administrative Support Specialist	11	\$31,200	\$44,126		
2	2						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	2	2	2	2	2	2	2
New Requests	0	0	0	0	0	0	0
Total Funded Positions	2	2	2	2	2	2	2

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-545: GENERAL FUND PUBLIC WORKS ADMINISTRATION SUMMARY

PURPOSE

To provide for the overall fiscal and compliance management and support functions for the Cemetery, Sanitation, Garage, Street, Water Distribution, Sewer Collection and Sewer I&I Divisions.

This department manages the budget for the Operations and Service Center. Sixty (60%) percent of the total cost associated with the Operations Center is reimbursed by the Water and Sewer funds. Additionally, this office is charged with contract compliance responsibilities, and complaint resolution, for any contract or franchise agreements with private waste haulers or collectors operating within the city, including commercial/industrial bulk container collection and monitoring customer service.

GOALS & OBJECTIVES

- Goal 1:** Provide overall management of contracts and other fiscal matters.
Objective 1: Track spending, checking for compliance with contracts and customer service, and collecting and analyzing data to improve efficiency and track customer service issues.
- Goal 2:** Further development of graphs and other data relative to revenues.
Objective 1: Consistent monitoring of revenues to ensure budget projections are met.
- Goal 3:** Improve record keeping.
Objective 1: Continue with training in use of the work order system.

FY24 ACCOMPLISHMENTS

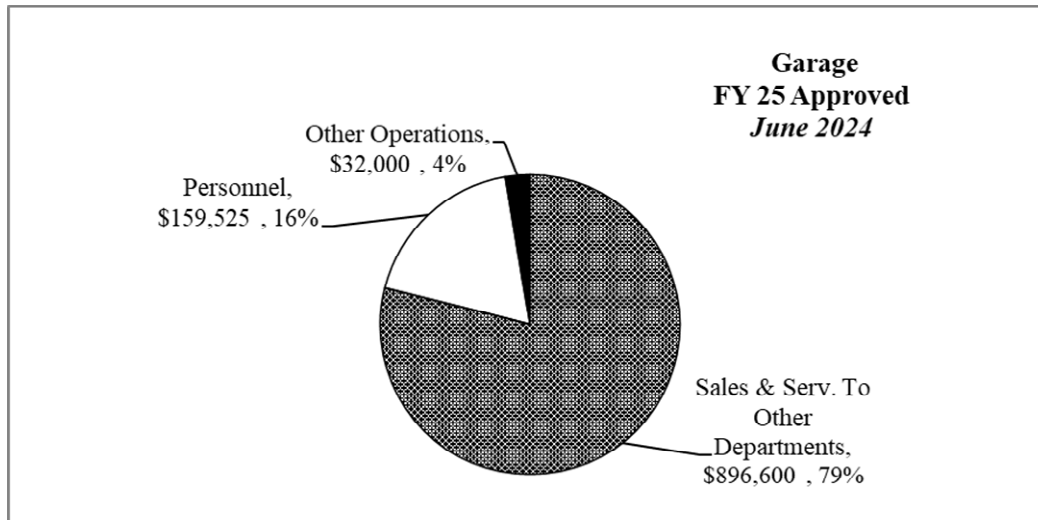
- Continued to utilize data in tracking expenditures and monitoring contracts for compliance, as well as tracking expenses within all budgets of the Public Works Department.
- All administrative positions are all filled. Filled vacant Administrative Support Specialist position that had been vacant over a year.

KEY BUDGET ISSUES

- **Operations Center:** Maintenance and repair costs for the building and grounds are constantly increasing. We have included funding requests for repair work in the budget and our CIP.

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-555: GENERAL FUND GARAGE SUMMARY**

10-555: GARAGE DEPARTMENT SUMMARY							
	Actual 21-22	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel Services	\$ 160,490	\$ 177,000	\$ 198,375	\$ 198,375	\$ 268,300	\$ 208,275	\$ 208,275
Operating	32,000	34,900	28,530	-	32,100	30,200	30,200
Sales & Services to other Depts.	743,500	813,600	909,600	769,500	7,500	896,600	896,600
Capital Outlay	80,000	5,000	-	-	69,500	17,000	17,000
Total Expenditures	\$ 1,015,990	\$ 1,030,500	\$ 1,136,505	\$ 967,875	\$ 377,400	\$ 1,152,075	\$ 1,152,075



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Fleet Service Technician	10	\$28,089	\$42,134		
1	1	Fleet Maintenance Mechanic	14	\$33,818	\$50,727		
1	1	Fleet Maintenance Supervisor	17	\$38,913	\$58,370		
0	0	Auto Mechanic		frozen			
3	3						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	3	3	3	3	3	3	3
New Requests	0	0	0	0	0	0	0
Total Funded Positions	3	3	3	3	3	3	3

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-555: GENERAL FUND GARAGE SUMMARY**

PURPOSE

To provide maintenance and repair services and dispense fuel, oil and other parts and supplies to the City's vehicle fleet.

Departmental expenses are "charged back" to the appropriate operations, included (for the most part) in the individual expenditure accounts of Maintenance and Repair – Equipment (5016-05), Maintenance and Repair – Auto Repair and Maintenance (5031-05) and Motor Fuels (5031-06). This has the effect of artificially increasing the size of the General Fund Reserves including the Garage.

GOALS & OBJECTIVES

- Goal 1:** Provide quality preventative maintenance to vehicles and equipment in a timely manner.
- Objective 1:** Documentation of time and materials associated with repairs and maintenance performed to reduce major repairs and extend the longevity of the equipment.
- Goal 2:** Further development of reporting, record keeping and inventory control.
- Objective 1:** Consistently monitoring work to ensure accurate monthly and yearly reports.

FY24 ACCOMPLISHMENTS

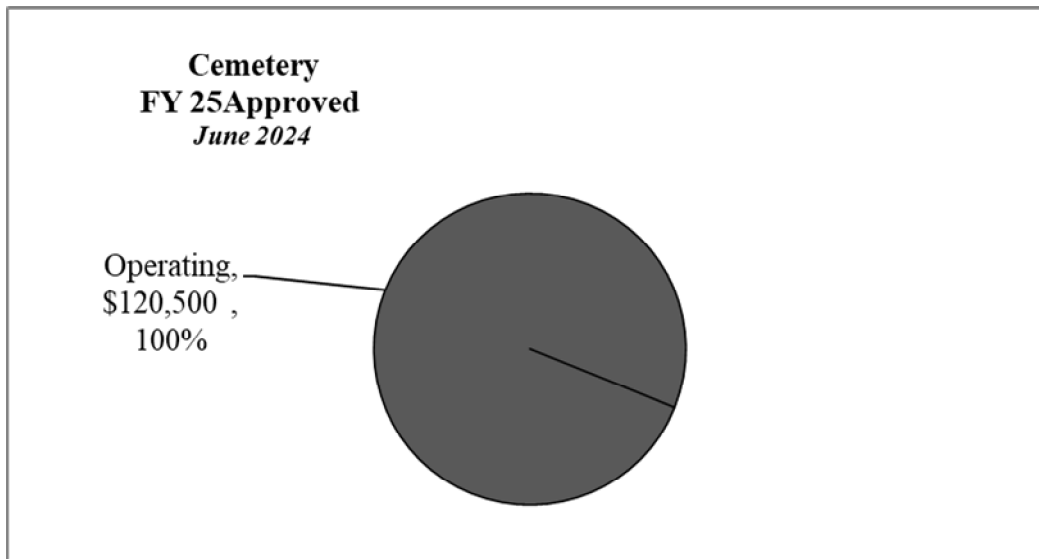
- **Preventative Maintenance:** Continued to improve preventative maintenance on equipment, which has helped reduce downtime and cost of repairing the equipment.
- **Leaf Equipment:** Continued maintenance and repair on our leaf machines lead to a safe and productive leaf season.

KEY BUDGET ISSUES

- **Motor Fuels Costs:** Unleaded and Diesel fuel costs remain volatile and unpredictable.
- **Aging Fleet:** Maintenance and repair costs are increasing as the fleet ages, particularly in the General Fund.
- **Staffing:** Additional staff is needed in the garage to keep up with workloads. Currently the garage has a staff of three including the supervisor. We have included unfreezing a mechanic position in the budget.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-560: GENERAL FUND CEMETERY SUMMARY

10-560: CEMETERY DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Operating	123,300	120,500	115,500	115,500	128,300	120,500	120,500
Debt Service	-	-	-	-	-	-	-
Capital Outlay	100,000	-	-	-	-	-	-
Total Expenditures	\$ 223,300	\$ 120,500	\$ 115,500	\$ 115,500	\$ 128,300	\$ 120,500	\$ 120,500



NO PERSONNEL ASSIGNED TO THIS DEPARTMENT

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-560: GENERAL FUND CEMETERY SUMMARY**

PURPOSE

To provide for the perpetual care and maintenance of Elmwood and Blacknall Cemeteries, as well as the coordination of funeral services and burials in Elmwood Cemetery.

GOALS & OBJECTIVES

Goal 1: Further enhance the beauty of the cemetery as well as providing better accessibility for citizens within the cemetery.

Objective 1: Work in conjunction with contractor to ensure cemetery is well maintained and kept clean of trash and other debris.

Goal 2: Provide professional and courteous service to funeral home directors and families.

Objective 1: Assist with locating graves and with the purchase of new plots.

Goal 3: Work in conjunction with Engineering to improve mapping.

Objective 1: Make the process of finding graves quicker and easier.

FY 24 ACCOMPLISHMENTS

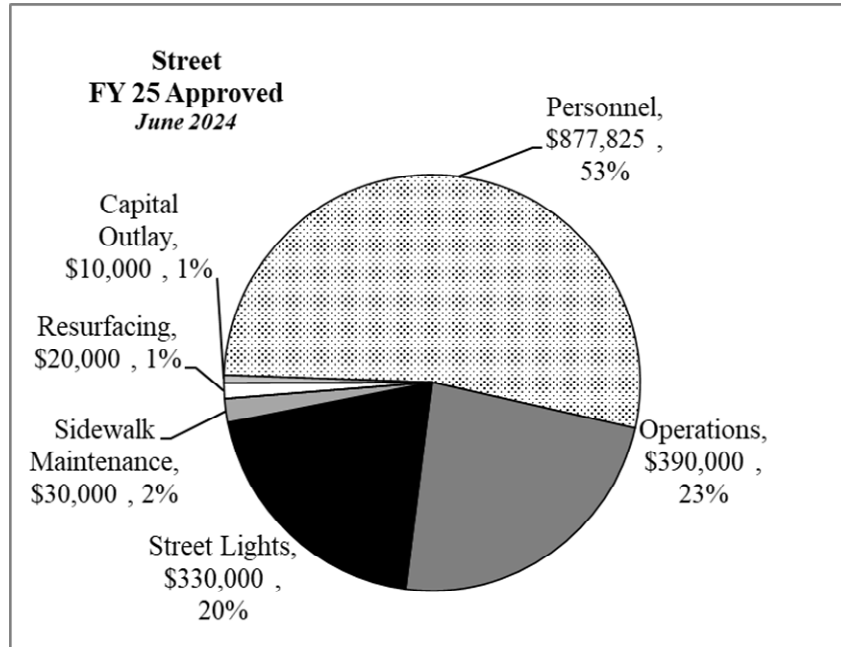
- Surveyed the Elmwood Cemetery boundaries.

KEY BUDGET ISSUES

- Limited funds for road and storm drain improvements.
- Need a program to help with mapping and information of cemetery.
- Encroachment needs to be purchased from adjacent land holder.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-570: GENERAL FUND STREET SUMMARY

10-570: STREET DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 636,320	\$ 689,500	\$ 836,350	\$ 831,868	\$ 995,200	\$ 877,825	\$ 877,825
Operating	718,900	744,200	715,290	715,849	889,800	761,000	761,000
Capital Outlay	320,500	16,700	-	-	1,088,000	10,000	10,000
Total Expenditures	\$ 1,675,720	\$ 1,450,400	\$ 1,551,640	\$ 1,547,716	\$ 2,973,000	\$ 1,648,825	\$ 1,648,825



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
		Full Time					
1	1	Street Maintenance Supervisor		17	\$ 38,913	\$ 58,370	
1	1	Street Maintenance Crew Leader		13	\$ 32,280	\$ 48,420	
5	7	Senior Street Maintenance Worker		10	\$ 31,200	\$ 42,134	
1	1	Street Sign Technician		10	\$ 31,200	\$ 42,134	
4	3	Street Maintenance Worker		8	\$ 31,200	\$ 38,424	
		Subtotal					
		Part Time					
1	1	Street Maintenance Worker		N/A			
12 FT- 1 PT	13 FT-1 PT						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	12 FT/1 PT	12 FT/1 PT	12 FT/1 PT	12 FT/1 PT	13 FT/1 PT	13 FT/1 PT	13 FT/1 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	12 FT/1 PT	12 FT/1 PT	12 FT/1 PT	12 FT/1 PT	13 FT/1 PT	13 FT/1 PT	13 FT/1 PT

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-570: GENERAL FUND STREET SUMMARY**

PURPOSE

To provide for the general maintenance of streets, curbs, gutters, sidewalks, storm drains and ditches throughout the city including snow removal as needed. The City has approximately 80 miles of City-maintained streets and 17 miles of State-maintained/owned roadways.

GOALS & OBJECTIVES

- Goal 1:** Provide further extensive training to all Street Division employees.
Objective 1: To ensure that staff performs at the highest level with safety being the top priority.
- Goal 2:** Identify a comprehensive list of needed storm drain repairs.
Objective 1: Ensure problems are prioritized so that the integrity of the streets is not compromised and remain safe for travel.
- Goal 3:** Identify and prioritize sidewalk repair/replacement projects.
Objective 1: To encourage pedestrian traffic by improving the appearance and safety of sidewalks.
- Goal 4:** Improve appearance of city streets.
Objective 1: To foster a sense of pride in the community as well as encourage citizens to maintain their homes and surroundings in a well-kept manner.

FY24 ACCOMPLISHMENTS

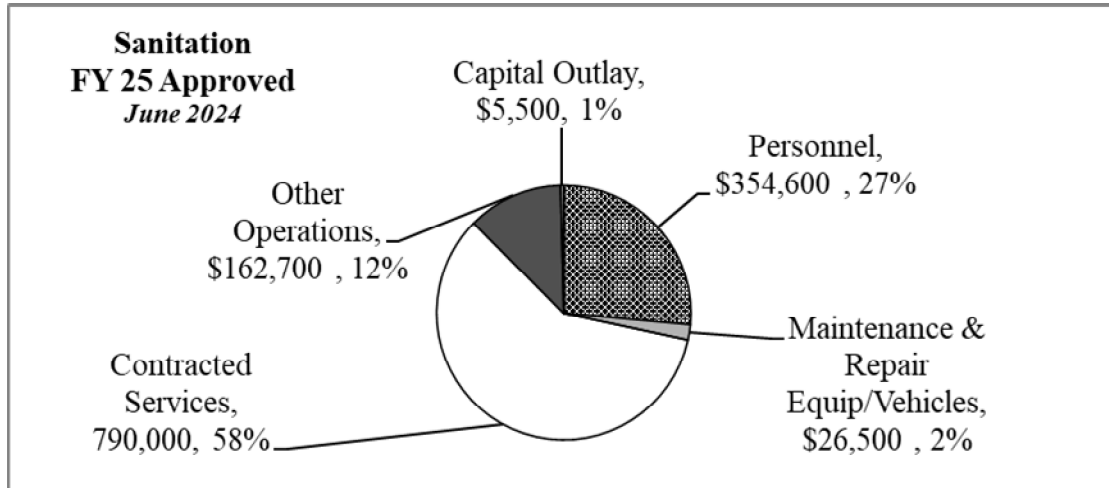
- **Sidewalk Repair:** Replaced approximately 400 linear feet including several handicap ramps. We are continuously repairing and replacing broken sidewalk throughout the city and will replace more in the coming months.
- **Storm Drainage Improvements:** Replaced 130 feet of 36” storm pipe and repaired storm box on Zene Street due to pipe failure. This has been an ongoing issue for several years.
- **Sign Technician & Sign Shop:** Filled our vacant Street Sign Technician position with a qualified employee. Also relocated the street sign shop into another space in the building that will allow for more space and room for growth.

KEY BUDGET ISSUES

- **Staffing:** Recruitment and retention of qualified employees. Staff shortages make it difficult to keep up with the demand of day-to-day operations.
- **Aging Fleet and Equipment:** Existing fleet is getting older and needs to be replaced. We are proposing several new vehicles and other equipment for the upcoming year.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-580: GENERAL FUND SANITATION SUMMARY

10-580: SANITATION DEPARTMENT SUMMARY							
	Actual 21-22	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel Services	\$ 270,330	\$ 298,000	\$ 337,155	\$ 323,403	\$ 354,400	\$ 354,600	\$ 354,600
Operating	824,670	872,350	990,140	1,003,401	987,200	975,000	975,000
Capital Outlay	70,000	3,000	4,500	-	865,500	5,500	5,500
Total Expenditures	\$1,165,000	\$1,173,350	\$ 1,331,795	\$ 1,326,804	\$ 2,207,100	\$ 1,335,100	\$ 1,335,100



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Full Time Employees					
1	1	Sanitation Supervisor	17	\$38,913	\$58,370		
4	4	Solid Waste Equipment Operator	9	\$31,200	\$40,233		
5	5	Subtotal					
		Part Time Employees					
6	6	Seasonal, Leaf Crew	N/A				
6	6	Subtotal					
5 FT/6 PT	5 FT/6 PT						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	5 FT/ 7PT	5 FT/ 7PT	5 FT/ 6PT	5 FT/ 6PT	5 FT/ 6PT	5 FT/ 6PT	5 FT/ 6PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	5 FT/ 7PT	5 FT/ 7PT	5 FT/ 6PT	5 FT/ 6PT	5 FT/ 6PT	5 FT/ 6PT	5 FT/ 6PT

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-580: GENERAL FUND SANITATION SUMMARY**

PURPOSE

To provide solid waste collection and management for approximately 5,400 residential customers. This includes loose leaf collection (at curbside) during the fall and early winter months, recycling waste and the bulk item collection program.

GOALS & OBJECTIVES

Goal 1: Improve consistency of fleet by ensuring that each truck follows the same path every time they run a particular route.

Objective 1: Improved customer service and consistency with pick up times for citizens.

Goal 2: Improve Communication with citizens relative to sanitation collection procedures.

Objective 1: Send notification to citizens regarding the sanitation policy as a reminder to the rules and regulations in the collection of garbage, yard debris and recyclables and to continue to improve the overall appearance of the City.

FY24 ACCOMPLISHMENTS

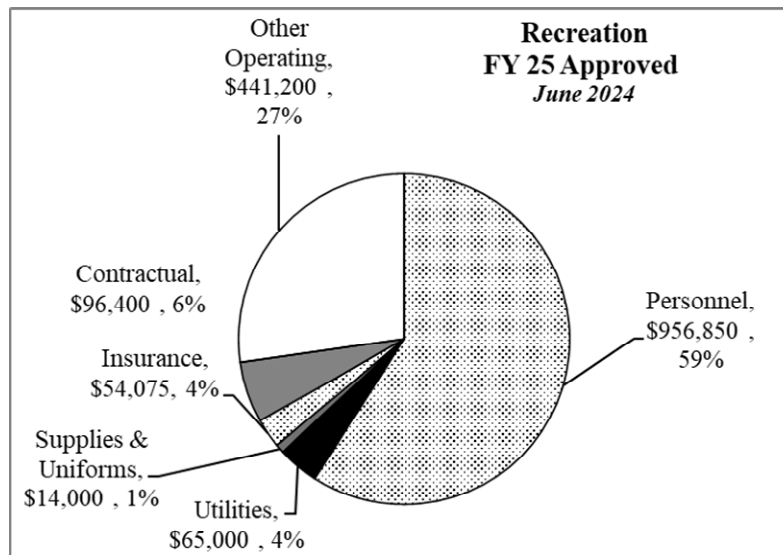
- **Leaf Collection:** Provided loose-leaf collection throughout the city in a timely manner. Collected 880 tons of leaves from Mid-October through the end of January.
- **Yard Debris and Recyclables:** Collected 596 tons of yard debris, 279 tons of garbage and 83 tons of recyclable material through the first seven months of the year.
- **Reduced Customer Complaints:** Improved communication and productivity among sanitation division personnel. We continued to improve overall yard debris, recycling, and bulky waste pickup, in turn reducing customer complaints.
- **Audit:** Audit of existing charges and services provided by Waste Industries to ensure revenues and expenditures are in compliance. This is an ongoing process.

KEY BUDGET ISSUES

- **Contract Cost Increase:** The contract for Waste Industries includes a 4.8% increase based on the Consumer Price Index (excluding fuel) for sanitation.
- **Aging Fleet and Equipment:** Existing sanitation fleet is getting older and needs to be replaced. We have included a new garbage truck, single operator leaf truck, and pickup truck in the budget.

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-620: GENERAL FUND RECREATION SUMMARY**

10-620: RECREATION DEPARTMENT SUMMARY							
	Actual 21-22	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel Services	\$ 683,380	\$ 783,100	\$ 818,550	\$ 818,550	\$ 890,592	\$ 956,850	\$ 956,850
Operating	457,900	509,900	604,270	604,270	670,730	662,575	662,575
Capital Outlay	52,000	-	1,600	1,600	574,000	-	-
Total Expenditures	\$ 1,193,280	\$ 1,293,000	\$1,424,420	\$1,424,420	\$ 2,135,321	\$ 1,619,425	\$ 1,619,425



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Authorized Funded Positions					
1	1	Park & Recreations Director	28	\$65,488	\$98,232		
1	1	Assistant Park & Recreations Director	22	\$49,249	\$73,874		
1	1	Recreation Program Supervisor	17	\$38,913	\$58,370		
1	1	Park Maintenance Supervisor	17	\$38,913	\$58,370		
1	1	Program Specialist	13	\$32,280	\$48,420		
1	1	Administrative Support Specialist	11	\$31,200	\$44,126		
1	1	Recreation & Parks Crew Leader	9	\$31,200	\$40,233		
3	4	Park Maintenance Worker	8	\$31,200	\$38,424		
10	11	Subtotal					
		Authorized Frozen Positions					
0	0	Park Maintenance Worker		frozen			
0	0	Program Specialist		frozen			
10	11	Subtotal					
		Regular Part Time Employees					
7	7	Facility Supervisor - RPT					
0	0	Athletic Program Assistant - RPT					
0	0	Maintenance Assistant - RPT					
19	19	Various Part-Time - RPT					
26	26	Subtotal					
10FT/ 26 PT	11FT/ 26 PT						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	10 FT/ 29 PT	10 FT/ 29 PT	10 FT/ 26 PT	10 FT/ 26 PT	10 FT/ 26 PT	11 FT/ 26 PT	11 FT/ 26 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	10 FT/ 29 PT	10 FT/ 29 PT	10 FT/ 26 PT	10 FT/ 26 PT	10 FT/ 26 PT	11 FT/ 26 PT	11 FT/ 26 PT

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-620: GENERAL FUND RECREATION SUMMARY**

PURPOSE

To provide a variety of recreational opportunities for all segments of the community in addition to providing management oversight for the Youth Services/Community/Outreach/Community Service and Restitution Program. Staff support is also provided to (and policy direction is obtained from) the Recreation and Parks Commission. All costs are funded by the City of Henderson (55%) and Vance County (45%).

GOALS & OBJECTIVES

- Goal 1:** Continue to develop and implement action plans from the recommendations outlined in the Comprehensive System-Wide Master Plan approved by City Council in June 2014.
- Objective 1:** Establish program and facility needs for the future.
- Goal 2:** Expand existing youth athletic programs and implement new youth and adult athletic programs.
- Objective 1:** Request funding to advertise/operate/reinstate the adult athletic programs that were previously cut from the budget, and funding to implement new youth athletic programs.
- Goal 3:** Increase and expand facilities and parks to include diverse leisure activities and indemnities to increase participation.
- Objective 1:** Provide opportunities for citizens to enjoy facilities and parks by providing paddle boats, kayaks, inclusive playground sets, outside fitness and aquatic equipment.

FY 24 ACCOMPLISHMENTS

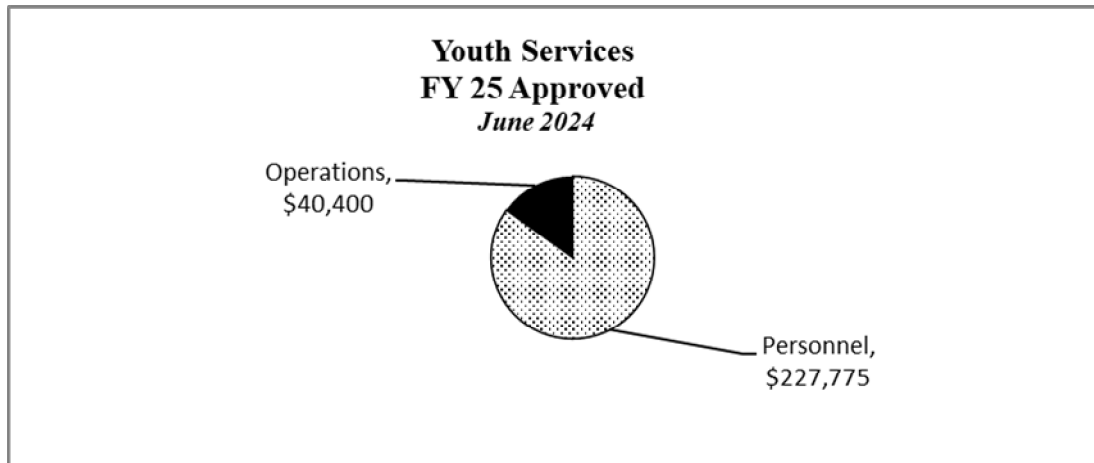
- Fall Festival held on Tuesday October 17, 2023 with approximately 309 in attendance, there was volunteers from Equard group home, Vance County Middle School, Henderson Colligate, Recreation basketball and softball teams, also part time and full-time staff that mase the event a great success. There was \$1014.00 collected.
- Recreation and Park Department reclassified (3) Full Times positions were filled; HVRPD Assistant Director and (2) HVRPD Facility Program Specialist.
- Trail of Terror was held on Thursday October 26, 2023, at Kings Daughter Park 1. Around 500 people went thru the park in their 106 cars, with a revenue of \$350.
- Letters to Santa was held on Saturday, December 9, 2023 at the Aycokk Recreation Gym. Recreation and Parks Supervisor Crystal Allen planned scheduled and coordinated with staff and volunteers for the Letters to Santa Event. 320 participants attended. Presents were donated and participants visited elves to receive a present of their choice.
- Eggcellent Eggstravagana Event held on Saturday March 23, 2024. Photo booths were set up, Bunny came to visit, arts and crafts were available for the participants and participants gathered eggs. Food was also served at the event. There were approximately 70 participants that attended this event.
- The 2023 East Wake Football league had a total 182 participants. Our 2022-23 youth basketball league had a total of 244 participants. Our 2022-23 youth baseball league had a total of 86 participants, youth softball league had a total of 92 participants, youth tee ball league had a total of 86 participants.

KEY BUDGET ISSUES

- Complying ADA requirements, providing funds to make all facilities, parks, and new projects ADA compliant ie, trails, parking lots, bridges, sidewalks, tracks and etc.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-622: GENERAL FUND YOUTH SEICES SUMMARY

10-622: YOUTH SERVICES DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 182,230	\$ 189,800	\$ 206,575	\$ 206,575	\$ 207,275	\$ 227,775	\$ 227,775
Operating	36,400	37,950	37,085	37,085	39,085	38,200	38,200
Total Expenditures	\$ 218,630	\$ 227,750	\$ 243,660	\$ 243,660	\$ 246,360	\$ 265,975	\$ 265,975



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Youth Services Outreach Administrator	21	\$46,974	\$70,461		
1	1	Youth Services Outreach Coordinator	17	\$38,913	\$58,370		
1	1	Youth Services Outreach Specialist	13	\$32,280	\$48,420		
3	3						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	3	3	3	3	3	3	3
New Requests	0	0	0	0	0	0	0
Total Funded Positions	3	3	3	3	3	3	3

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-622: GENERAL FUND YOUTH SERVICES SUMMARY

PURPOSE

To provide the following array of services for referred youth to prevent and reduce juvenile crime and deter commitments to Youth Development Centers.

- Community Service/Restitution provides a means where adjudicated delinquents can demonstrate responsibility by completing Juvenile Court mandated community service/restitution hours at assigned work sites to compensate the community and/or victims of their offenses.
- Project Youth Outreach promotes interpersonal skills addressing conflict resolution, character education, informal counseling, bullying, school drop-out prevention, healthy choices and recreational outings for youth referred to the program.
- Vance County Teen Court is a diversion program for first time juvenile offenders who admit responsibility for committing minor misdemeanor offenses. They now have been allowed through new laws to come through Teen Court for a second case.

GOALS & OBJECTIVES

- Goal 1:** Continue to offer Community Service/Restitution, Project Youth Outreach, Bounce Back and Teen Court for referred youth and their families in Vance County.
- Objective 1:** Submit program proposals to the NC Department of Public Safety – Division of Adult Correction and Juvenile Justice, Vance County and United Way of Vance County to secure funding to sustain services offered through Youth Services.
- Goal 2:** Serve Juvenile Court referred (top priority) and youth referred from School Resource Officers for youth at risk for delinquent and undisciplined behaviors through an array of services.
- Objective 1:** Give priority placement for juvenile court referrals through juvenile court counselors and program staff consensus and admit other at risk youth through school and law enforcement referrals.
- Goal 3:** Enhance professional and personal development of staff.
- Objective 1:** Division staff will explore training options to obtain at least 40 hours of training for professional and personal development. Division staff will also obtain certifications for professional and personal development.
- Goal 4:** Utilizing Eaton Johnson Gymnasium area to provide alternative recreation for at-risk youth.
- Objective:** Division Staff will provide trending outreach activities, programs, and events to deter at-risk participant's criminal activity by enhance knowledge in areas of education, job readiness, self-esteem and self-awareness.

FY 24 ACCOMPLISHMENTS

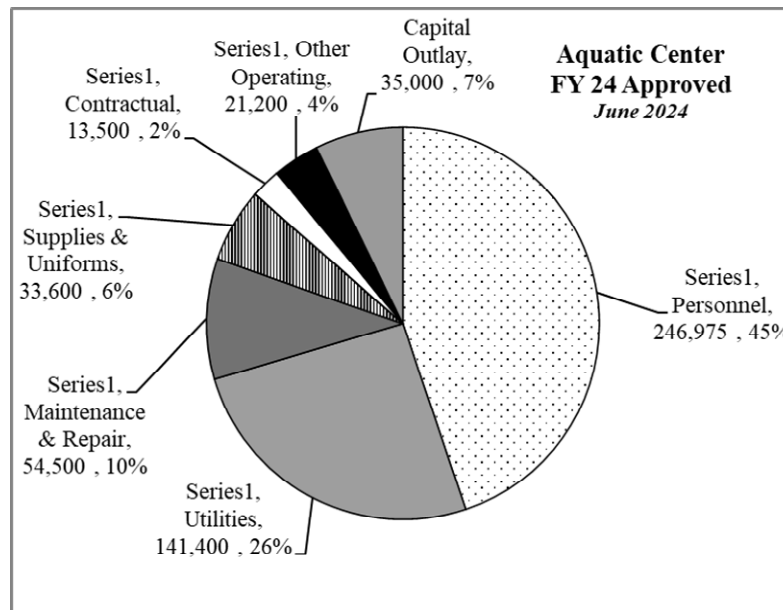
- Vance County Administrative Office provided Youth Services Outreach Unit space at Eaton Johnson Gymnasium area to offer juvenile and outreach services to their participants.
- The Book Bag Drive Thru was held on Saturday, August 26, 2023. Over 200 families were served.
- Vance County Teen Court attended 22nd Annual North Carolina Teen Court Association Summit in Atlantic Beach, March 17-19, 2023. 7 youth attended the Summit.
- Spring Break College to College Tours -What school is in your future? Join us as we tour Colleges and Universities. There was a total of 30 participants.
- Soup for the Soul is our Soup Kitchen with the participation with Davis Chapel MBC. The program is every 2nd & 4th Tuesday of the month. There is a total of 175 meals prepared each month.

KEY BUDGET ISSUES

- State funds controlled by General Assembly and NC General Statue: 100% reimbursable by Vance County via State allocations and County's matching funds.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-623: GENERAL FUND AYCOCK AQUATICS CENTER SUMMARY

10-623: AYCOCK AQUATICS DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 210,290	\$ 226,470	\$ 238,450	\$ 238,450	\$ 305,333	\$ 246,975	\$ 246,975
Operating	211,250	204,385	254,425	254,425	278,205	264,200	264,200
Capital Outlay	-	35,000	-	-	485,000	40,000	40,000
Total Expenditures	\$ 421,540	\$ 465,855	\$ 492,875	\$ 492,875	\$ 1,068,538	\$ 551,175	\$ 551,175



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Recreation & Parks Facility Supervisor	17	\$38,913	\$58,370		
1	1	Aquatics Program Supervisor	17	\$38,913	\$58,370		
2	2	Subtotal					
		Regular Part Time					
7	7	Facility Supervisor					
7	7	Lifeguard					
14	14	Subtotal					
		Temporary Seasonal Part Time					
5	5	Facility Supervisors (TSPT)					
3	3	Lifeguard (TSPT)					
8	8	Subtotal					
2FT/ 22 PT	2FT/ 22 PT						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	2 FT/ 16 PT	2 FT/ 16 PT	2 FT/ 16 PT	2 FT/ 22 PT	2 FT/ 22 PT	2 FT/ 22 PT	2 FT/ 22 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	2 FT/ 16 PT	2 FT/ 16 PT	2 FT/ 16 PT	2 FT/ 22 PT	2 FT/ 22 PT	2 FT/ 22 PT	2 FT/ 22 PT

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS**

10-623: GENERAL FUND AYCOCK AQUATICS CENTER SUMMARY

PURPOSE

To provide a variety of educational, recreational, and athletic programs including indoor swimming, indoor volleyball, indoor basketball, indoor walking track, multi-purpose rooms and restroom/dressing room facilities. This recreational facility is a joint City of Henderson-Vance County project that began in 1996 with the construction of the Aycock Multi-field Complex. The County pays 50% of the debt service and 45% of the operations cost.

GOALS & OBJECTIVES

- Goal 1:** Provide a safe environment for swimmers.
Objective 1: Conduct in-service training for Life Guards and meet all health department guidelines for swimming pool operation.
- Goal 2:** Continue with the hours of operation and staffing levels for both the Pool and the Center in general that have been reduced due to budget cuts in previous years, in order to give the citizens adequate access to the Center.
Objective 1: Continue to request funding to operate and staff the Pool and Center at the level of operation established when it was originally opened, including morning hours, Saturday evenings, and Sunday afternoons. Since 2005 the Center hours of availability were reduced by 18.5 hours, while the pool hours of availability have been reduced by 34.5 hours, resulting in less service and usage to the general public.
- Goal 3:** Expand the program base offered and increase participation in existing programs.
Objective 1: Continue to offer existing popular programs while researching and implementing new programs based on customer requests, as well as reviewing current programs to make improvements or adjustments as needed and increase program marketing and promotion.

FY 24 ACCOMPLISHMENTS

- Summer camp was reinstated after the COVID-19 shutdown. Camp was held June 12, 2023 – August 11, 2023, with 87 registered participants. Summer camp attendance averaged 83 campers per week. Campers enjoyed arts and crafts, field trips, swimming, and outdoor play. Campers also had the opportunity to receive swim lessons during camp.
- Replacing Dectron Unit for the Aquatic Center, allow the participations to enjoy a clean and safe environment through general maintenance.
- Several new and innovative programs were developed and maintained ie. Kids Picasso, Kids Gym, Parent Night Out, Bugs & insects, Muddy Boots, Lucky Leprechauns and a host of other one day Special Events.
- Added (1) Full Time Program Specialists to assist with the increasing participation of all programs, activities and special events.

KEY BUDGET ISSUES

- Increase staffing to allow for adequate coverage at greenspace facilities and outside rental opportunities.
- Increase budget to provide more special events to the public.
- Increase pool activity and usage by providing an inflatable water obstacle course.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-650: VANCE COUNTY SHARED PROGRAMS

10-650: VANCE COUNTY SHARED PROGRAM SUMMARY						
	Actual	Actual	Budget	Requested	Recommended	Approved
	21-22	22-23	23-24	24-25	24-25	24-25
Board of Elections	73,640	61,510	66,746	67,000	67,000	67,000
Tax Office	184,115	199,830	203,485	205,000	205,000	205,000
911	761,840	904,385	934,680	940,000	940,000	940,000
NCDMV Tax & Fees	25,000	30,000	30,000	30,000	30,000	30,000
Perry Memorial Library	123,270	129,375	129,371	132,000	132,000	132,000
Total Expenditures	\$ 1,167,865	\$ 1,325,100	\$ 1,364,282	\$ 1,374,000	\$ 1,374,000	\$ 1,374,000

PURPOSE

This budget is designed to account for the appropriation and transfer of funds directly from the City to Vance County and the Perry Memorial Library to jointly fund programs that benefit both the citizens of Vance County and the City of Henderson.

KEY BUDGET ISSUES

- **Tax Office:** Provides for the contract with Vance County to bill and collect city taxes. This figure is based on 25% of the budget that is managed by Vance County.
- **911 Emergency Services:** The City provides 50% of the funding of this County managed joint operation.
- **Perry Memorial Library:** Provided on a 75% County and 25% City financial sharing.
- **Board of Elections:** Provides 17% of the annual operating budget and 100% of City elections to Vance County.

FY 24-25 BUDGET

**GOVERNMENTAL FUNDS 10-660: GENERAL FUND NON-DEPARTMENT &
10-670: LOCAL AGENCIES SUMMARY**

10-660: NON-DEPARTMENTAL SUMMARY					
	Actual 21-22	Actual 22-23	Budget 23-24	Recommended 24-25	Approved 24-25
Personnel Services	\$ 473,200	\$ 480,000	\$ 528,000	\$ 492,805	\$ 498,805
Operating	47,085	32,000	167,000	45,500	35,000
Transfers to other Accounts	89,915	100,000	100,000	200,000	3,200,000
Economic Dev. Incentive	100,000	100,000	100,000	100,000	100,000
Reserve	110,330	180,000	67,003	90,000	84,000
Total Expenditures	\$ 820,530	\$ 892,000	\$ 962,003	\$ 928,305	\$ 3,917,805

PURPOSE

The purpose of the Non-Departmental Budget is to provide a system to account for items of a general nature that apply to all General Fund Departments, but which can not be easily assignable into specific cost components for particular operations.

The City's retiree insurance is budgeted in Non-Departmental and includes total cost City-wide. The cost for Enterprise Fund retiree insurance is made by a transfer from those funds to the General Fund. Pay increases for General Fund employees is budgeted in Non-Departmental.

10-670: CONTRIBUTIONS - LOCAL AGENCIES - SUMMARY						
	Actual 21-22	Actual 22-23	Budget 23-24	Requested 24-25	Recommended 24-25	Approved 24-25
Airport	\$ 28,750	\$ 28,750	\$ 29,250	\$ 40,000	\$ 40,000	\$ 40,000
Crime Stoppers	1,000	1,000	1,500	1,500	1,500	1,500
Boys & Girls Club	1,500	1,500	1,500	1,500	1,500	1,500
Arts Council	1,000	1,000	1,000	1,000	1,000	1,000
Corbitt Association	800	800	800	800	800	800
Total Expenditures	\$ 33,050	\$ 33,050	\$ 34,050	\$ 44,800	\$ 44,800	\$ 44,800

PURPOSE

This budget is designed to account for the appropriation and transfer of funds directly from the City to various affiliated agencies. Each of these organizations/agencies supplement the services and programs provided by the City. Their funding meets the "public purpose" definition as outlined in the North Carolina General Statutes and their continuing eligibility is periodically reviewed by the City Attorney and/or an independent Auditor. Most are also supported, to some extent either by contractual arrangement with the City or through general practice, by Vance County.

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-680: GENERAL FUND DEBT SERVICE SUMMARY

10-680: DEBT SERVICE SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Debt Service Principal	\$ 637,450	\$ 743,207	\$ 782,025	\$ 782,025	\$ 913,175	\$ 913,175	\$ 913,175
Debt Service Interest	37,100	61,415	70,470	70,470	79,960	79,960	79,960
Lease Purchase Payment	-	-	-	-	-		
Total Expenditures	\$ 674,550	\$ 804,622	\$ 852,495	\$ 852,495	\$ 993,135	\$ 993,135	\$ 993,135

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal payments; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

- **The Ability to Support New Debt Service** in the General Fund is limited given the modest growth of the tax base.
- **Increase in debt service** is attributable to authorized equipment purchases and former municipal building.

**FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-680: GENERAL FUND DEBT SERVICE**

FUND 10: General Fund Debt Service Payment Log				FY 22 - 23	FY 23 - 24	FY 24 - 25			
				Amount	Amount	Amount			
10									
Paid To: BB&T (1116)									
Type of Debt: Loan									
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date
Old Municipal Building - Total project \$830,000	10-680-508100	P	7/1/2021	83,000	7/1/2022	83,000	7/10/2023	83,000	
2.42% interest - payments began FY 19 and end	10-680-508200	I	7/1/2021	12,052	7/1/2022	10,043	7/10/2023	8,035	
10									
Paid To: USDA									
Type of Debt: Loan Purchase									
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date
1 Fire Pumper Truck - FY 18-19 - 3.25% interest (20 yr)	10-680-508100	P	9/20/2021	18,928	9/19/2022	19,543	9/20/2023	20,144	
annual payments of \$32,602 ending FY 37-38.	10-680-508200	I	9/20/2021	13,675	9/19/2022	13060	9/20/2023	12459	
BANK DRAFT									
10									
Paid To: Benchmark (5352)									
Type of Debt: Loan Purchase									
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date
Refinancing payment at 1.99% interest (5yr)	10-680-508100	P	7/15/2021	111,462	7/1/2022	113,963	7/18/2023	116,218	
Total loan \$953,194	10-680-508200	I	7/15/2021	9440	7/1/2022	6940	7/18/2023	4685	
Includes Fund 30 and Fund 31									
10									
Paid To: First Citizens (1339)									
Type of Debt: Loan Purchase									
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date
Police: 4 Dodges, Radios, Computers, Guns	10-680-508100	P	7/1/2021	272,460	7/1/2022	276,221	7/1/2023	280,033	
Fire: Portable Radios, SCBA Fill Station, SCBA Air, PPE, Dr	10-680-508200	I	7/1/2021	15,355	7/1/2022	11,595	7/1/2023	7,783	
Recreation: Dectron Unit									
Garage: Air Lines/Hose Reel, AC Recovery									
Street: Dump Truck, Mower, Saw, F-150, F-350									
Sanitation: Garbage Truck									
1.38% interest, (5yr) total payments \$1,627,910 88%									
10									
Paid To: First Citizens (1339)									
Type of Debt: Loan Purchase									
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date
Police: 7 vehicles, Radios, Computers, Asseccories	10-680-508100	P		197,109	7/1/2022	195,602	7/1/2023	198,419	
IT: Switch, Servicer, Access Points	10-680-508200	I		10,006	7/1/2022	11,512	7/1/2023	8,696	
Recreation: 2 Vehicles									
Garage: Vehicle Lift, Fuel System									
Street: Chipper Truck, Hot Box, Sweeper, Trench, CCTV									
Sanitation: Leaf Machine, Leaf Box									
1.44% interest, (5yr) total payments \$1,593,188									
10									
Paid To: Benchmark (5352)									
Type of Debt: Loan Purchase									
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date
Police: vehicles, Radios, Computers, Asseccories	10-680-508100	P		0		93,696	7/1/2023	96,928	
IT: Cyber security, data storage	10-680-508200	I		0		17,317	7/1/2023	14,084	
Recreation: HVAC									
Development Services: UDO									
Public Services: HVAC, ice machine									
3.45 % interest (5yr) total payments \$687,118.15									
10									
Paid To: Benchmark (5352)									
Type of Debt: Loan Purchase									
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date
Police: vehicles, Radios, Computers, Asseccories	10-680-508100	P		0		0		117,433	
IT: Cyber security, data storage	10-680-508200	I		0		0		24,218	
Fire: new engine upfitting									
Redevelopment: property improvements									
4.5% interest (5yr)									
Payments: \$141,650.70									
	Long Term Principal			83,000		83,000		83,000	
	Long Term Interest			12,052		10,043		8,035	
	Total Debt Service			95,052		93,043		91,035	
	Total Loan Purchase			709,569		759,449		901,100	
	Grand Total Debt			804,621		852,492		992,135	

FY 24-25 BUDGET
GOVERNMENTAL FUNDS
10-680: GENERAL FUND DEBT SERVICE SUMMARY

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POWELL BILL

FY 24-25 BUDGET
OPERATING BUDGETS
11: POWELL BILL FUND SUMMARY

Key Fund Issues

There are several key issues facing the Powell Bill Fund that serve to impact not only FY25, but the next several fiscal years as well. A brief summary of these key issues is provided below:

- **Powell Bill Allocation Formula** is based on three major factors as follows: 1) amount of State gasoline tax collected, 2) number of lane miles within a locality and 3) the locality's population.

Basic Fund Information

The Powell Bill fund is used as a transfer mechanism to properly account for revenues received from the State and expenditures incurred by the Street Division of the Public Works Department related to street, sidewalk and right-of-way maintenance, resurfacing and the purchase of equipment directly related to streets and right-of-ways authorized by "Powell Bill" legislation. In addition, funds are transferred from this fund on a monthly basis to the City's General Fund, 10-570: Street Powell Bill, related to maintenance of streets, sidewalks and right-of-ways.

Financial Summary

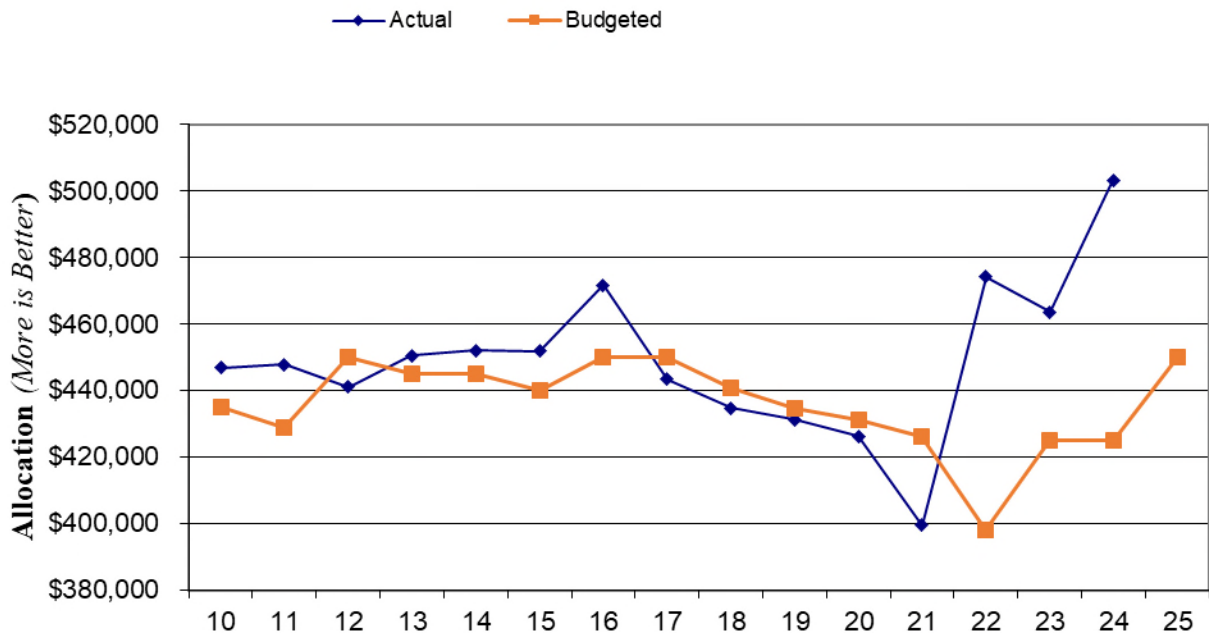
A financial summary of the Powell Bill fund is provided on the following page.

FY 24-25 BUDGET
OPERATING BUDGETS
11: POWELL BILL FUND SUMMARY

POWELL BILL OPERATING FUND SUMMARY									
11 POWELL BILL OPERATING FUND				FY21	FY22	FY23		FY24	
				Prior Year	Prior Year	Current Year	Estimated	Dept.	Manager
Revenues	Code	Line Item		Actual	Actual	as Amended	30 June 24	Requested	Recommend
Revenues	11-110-411-120	Powell Bill Allocation		\$ 426,270	\$ 398,000	\$ 425,000	\$ 425,000	\$ 450,000	\$ 450,000
Revenues	11-110-444-010	Investments				\$ 5,000	\$ 5,000		
Revenues	11-110-491-100	Fund Balance Appropriated							
Revenues	11-990-490-999	Fund Balance Appropriated		\$ 100,000	\$ 100,750	\$ 150,000	\$ 150,000	\$ 100,000	\$ 100,000
Revenues	11-110-461-042	Trans from 42: CIP Powell Bill		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total Revenues				\$ 526,270	\$ 498,750	\$ 580,000	\$ 580,000	\$ 550,000	\$ 550,000
Expenditures									
Non-Dept.	11-690-561-042	Transfer to 42: CIP Powell Bill		\$ 100,000	\$ 100,750	\$ 155,000	\$ 155,000	\$ 100,000	\$ 100,000
Non-Dept.	11-690-561-090	Transfer to 90: A. L. Harris Grant		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Non-Dept.	11-690-561-010	Transfer to 10: General Fund		\$ 426,270	\$ 398,000	\$ 425,000	\$ 425,000	\$ 450,000	\$ 450,000
Total Expenditures				\$ 526,270	\$ 498,750	\$ 580,000	\$ 580,000	\$ 550,000	\$ 550,000

Key Powell Bill Fund Financial Metrics

Powell Bill Allocation



**FY 24-25 BUDGET
OPERATING BUDGETS
11: POWELL BILL FUND SUMMARY**

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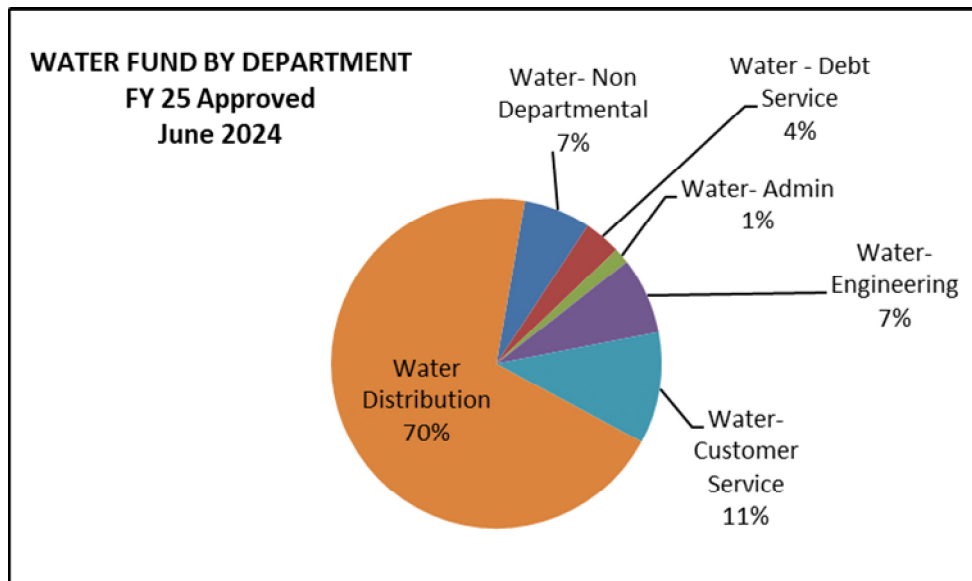
WATER FUND

WATER FUND DEPARTMENTS

1. Non-Departmental
2. Debt Service
3. Administration
4. Engineering
5. Customer Service
6. Distribution System

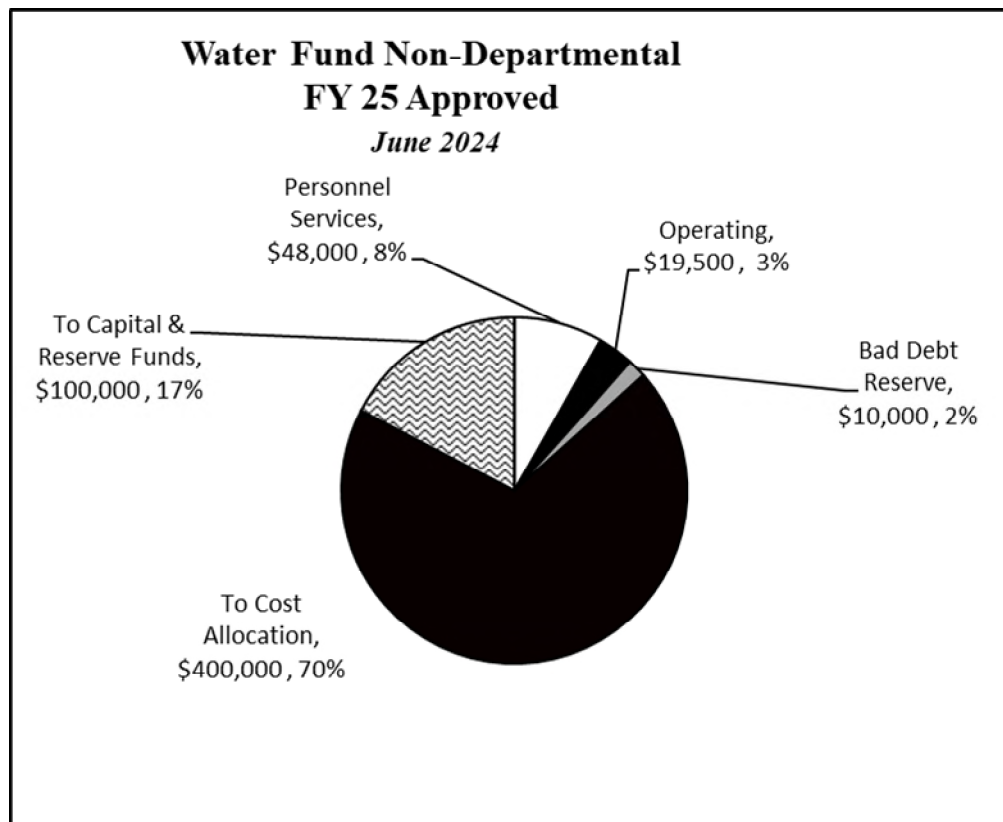
WATER FUND SUMMARY

DEPARTMENT	2024 Council Amended Budget	2025 Department Requested Budget	2025 Council Approved Budget	% Increase or Decrease
Water- Non Departmental	\$ 456,050	\$ 456,050	\$ 577,500	26.63%
Water - Debt Service	\$ 316,779	\$ 346,880	\$ 317,772	0.31%
Water- Admin	\$ 128,170	\$ 128,520	\$ 135,225	5.50%
Water- Engineering	\$ 472,100	\$ 501,250	\$ 658,375	39.46%
Water- Customer Service	\$ 855,815	\$ 883,830	\$ 965,650	12.83%
Water Distribution	\$ 5,786,556	\$ 5,943,056	\$ 6,152,893	6.33%
Total Water Fund	\$ 8,015,470	\$ 8,259,586	\$ 8,807,415	9.88%



**FY 24-25 BUDGET
ENTERPRISE FUNDS
30-660: WATER FUND NON-DEPARTMENTAL**

30-660: NON-DEPARTMENTAL SUMMARY						
	Actual 21-22	Actual 22-23	Budget 23-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel Services	\$ 17,800	\$ 22,500	\$ 27,850	\$ 48,000	\$ 48,000	\$ 48,000
Operating	19,375	20,750	18,200	19,500	19,500	19,500
Bad Debt Reserve	10,000	10,000	10,000	10,000	10,000	10,000
To CIP Water Fund	418,380	-	-	-	-	-
To Cost Allocation	-	400,000	400,000	400,000	400,000	400,000
To Rate Stabilization						
To Capital & Reserve Funds	7,440	10,000	-	100,000	100,000	100,000
Total Expenditures	\$ 472,995	\$ 463,250	\$ 456,050	\$ 577,500	\$ 577,500	\$ 577,500



The Non-Departmental Budget group was established for this fund, as well as others, during FY 11-12 in order to better account for inter-fund transfers and other expenditures that should not be located in an operating budget group. No personnel are assigned to the Non-Departmental budget group; however, some personnel related expenditures, such as retiree health insurance and reserves for incumbent liabilities for accrued vacation and compensatory time, are accounted for in this budget department. Additionally, the Fund's share of the recommended Pay & Classification Study is included in this budget.

FY 24-25 BUDGET
ENTERPRISE FUNDS
30-680: WATER FUND DEBT SERVICE

30-680: DEBT SERVICE SUMMARY						
	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Long-Term Debt Service- P&I	\$ 346,880	\$ 316,779	\$ 346,880	\$ 317,772	\$ 317,772	\$ 317,772
Lease Purchase Debt Service- P&I	-	-	-	-	-	-
Total Expenditures	\$ 346,880	\$ 316,779	\$ 346,880	\$ 317,772	\$ 317,772	\$ 317,772

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

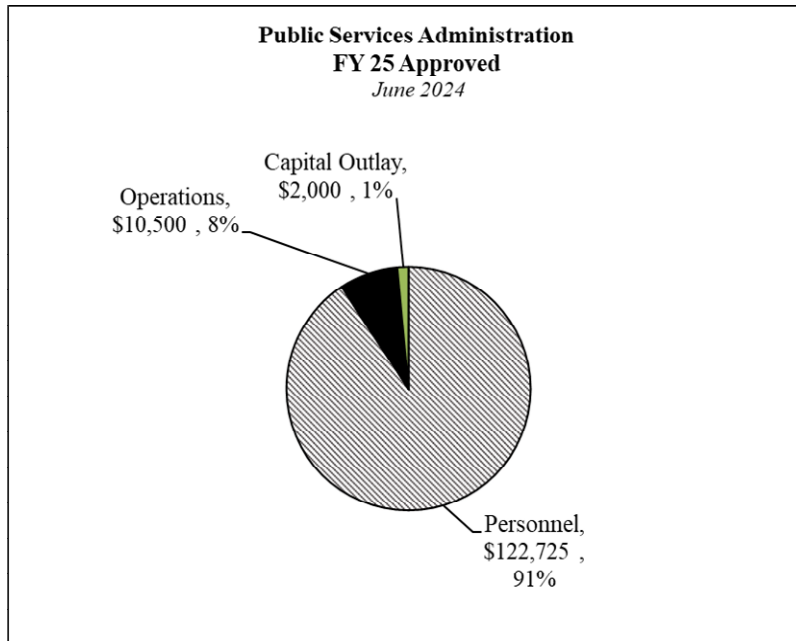
- The City has retired significant debt in recent years. This gives the City an opportunity to re-invest in the water system infrastructure for replacement of old lines and provide for new extensions within the City's un-served utility service area as well as pay for needed capital equipment.

**FY 23-24 BUDGET
ENTERPRISE FUNDS
30-680: WATER FUND DEBT SERVICE**

30										
Paid To: NCDENR-DEH (1263)										
Type of Debt: State Revolving Loan										
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date	
2" Water Main Replacement - 0% interest - (20 yr)	30-680-508100	P	3/31/2022	91,574	3/29/2023	91,574		91,574		
Beg. FY 16 ending FY 35 - Total Project \$1,898,571		I		0		0		0		
30										
Paid To: NCDENR-DEH (1263)										
Type of Debt: State Revolving Loan										
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date	
Radio Read Meters - 0% interest - (20 yr) Beg.	30-680-508100	P	3/31/2022	14,697	3/29/2023	14,697		14,697		
FY 15 ending FY 34 - Total Project \$293,928		I		0		0		0		
30										
Paid To: NCDENR-DEH (1263)										
Type of Debt: State Revolving Loan										
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date	
Young Ave. Water Main - 0% interest - (20 yr) Beg.	30-680-508100	P	3/31/2022	82,929	3/29/2023	82,929		82,929		
FY 18 ending FY 38 - Total Project \$1,548,000		I		0		0		0		
\$1,658,568 Revised to \$1,620,676										
30										
Paid To: Warren County (4275)										
Type of Debt: Inter-Governmental Agreement										
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date	
Warren County District II Water Line - 5.125%	30-680-508100	P	4/18/2022	4,155	4/17/2023	4,324		4,501		
interest - (40 yr) Beg. FY 03 ending FY 42 -	30-680-508200	I	4/18/2022	5,095	4/17/2023	4,925		4,749		
Total Project \$414,232										
30										
Paid To: Benchmark (5352)										
Type of Debt: Loan Purchase										
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date	
Refinancing loan at 1.99% interest (5yr)	30-680-508100	P	7/15/2021	39,012	7/1/2022	39,887		40,676		
Includes Fund 10 and Fund 31	30-680-508200	I	7/15/2021	3,305	7/1/2022	2,429		1640		
30										
Paid To: First Citizens (1339)										
Type of Debt: Loan Purchase										
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date	
Water: Excavator, Mini Excavator, Trailer, Track Loader,	30-680-508100	P	7/1/2021	35,752	7/1/2022	36,247	7/1/2023	36,747		
Dump Truck	30-680-508200	I	7/1/2021	2,015	7/1/2022	1,522	7/1/2023	1022		
1.38% interest, (5yr) total payments \$188,844 12%										
30										
Paid To: First Citizens (1339)										
Type of Debt: Loan Purchase										
Description:	Code	P/I	Date	Amount	Date	Amount	Date	Amount	Date	
Water: Truck, Jetter Truck, Trench Roller, Survey	30-680-508100	P		36,388	7/1/2022	36,111	7/1/2023	36,631		
Equipment	30-680-508200	I		1,848	7/1/2022	2126	7/1/2023	1606		
1.44% interest, (5yr) total payments \$188,844	12%									
	Long Term Principal			193,355		193,524		193,701		
	Long Term Interest			5,095		4,925		4,749		
	Total Debt Service			198,450		198,449		198,450		
	Total Loan Purchase			148,432		118,322		118,322		
	Grand Total Debt			346,882		316,771		316,772		

FY 24-25 BUDGET
ENTERPRISE FUNDS
30-715: WATER FUND ADMINISTRATION

30-715: WATER ADMINISTRATION FUND SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 103,750	\$ 111,500	\$ 118,700	\$ 115,200	\$ 122,100	\$ 122,725	\$ 122,725
Operating	8,550	10,500	9,470	8,422	10,900	10,500	10,500
Capital Outlay	-	-	-	-	-	2,000	2,000
Total Expenditures	\$ 112,300	\$ 122,000	\$ 128,170	\$ 123,622	\$ 133,000	\$ 135,225	\$ 135,225



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Public Works Director	28	\$65,488	\$98,232		
1	1						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized	1	1	1	1	1	1	1
New Requests	0	0	0	0	0	0	0
Total Funded Positions	1	1	1	1	1	1	1

PURPOSE

To provide overall leadership and supervision of the Public Works Department including Cemetery, Sanitation, Garage, Street, Water Distribution, Sewer Collection and Sewer I&I Divisions. To provide reliable and dependable services to the citizens of Henderson.

GOALS & OBJECTIVES

- Goal 1:** Evaluating existing services and providing improvements and changes as needed.
Objective 1: To provide the best service in a safe and cost-effective manner.
- Goal 2:** To ensure a well-trained work force.
Objective 1: Continued implementation of Career Development Plan.
Objective 2: Attend schools and seminars for future education to stay abreast of rules and regulations in the Public Works field.
- Goal 3:** Continued personnel restructuring within in the department.
Objective 1: To provide hierarchy withing the department.
Objective 2: To provide advancement opportunity in conjunction with career development.

FY24 ACCOMPLISHMENTS

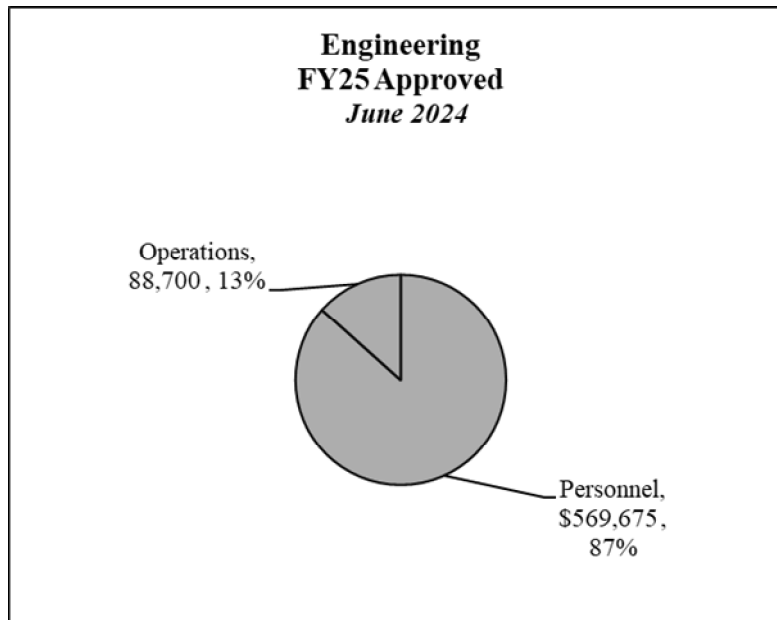
- **Training and Safety:** Continued safety and performance training to ensure staff performance is at the highest level with safety being the top priority.
- **Department Restructuring:** Public Works now consists of four divisions; Administrative, Garage, Utilities and Street Division. The Utilities and Street Divisions are our largest divisions with an Assistant Public Works Director over each. The Utilities Division encompasses Water Distribution, Sewer Collections and Sewer I&I operations while the Street Division encompasses Street, Sanitation, and Cemetery operations.

KEY BUDGET ISSUES

- **Staffing:** Recruitment and retention of qualified employees. Staff shortages make it difficult to keep up with the demand of day-to-day operations.
- **Materials and Parts:** Increasing prices, availability and long lead times of parts and materials.

FY 24-25 BUDGET
ENTERPRISE FUNDS
30-720: WATER FUND ENGINEERING

30-720: ENGINEERING DEPARTMENT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	328,020	355,000	396,205	396,205	563,100	569,675	569,675
Operating	67,050	74,120	75,895	75,896	89,400	88,700	88,700
Capital Outlay	95,000	7,500	-	-	-	-	-
Total Expenditures	\$ 490,070	\$ 436,620	\$ 472,100	\$ 472,101	\$ 652,500	\$ 658,375	\$ 658,375



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	City Engineer	28	\$65,488	\$98,232		
1	1	GIS Analyst	19	\$42,747	\$64,121		
1	1	Engineering Technician	18	\$40,784	\$61,176		
1	1	Engineering Construction Inspector	18	\$40,784	\$61,176		
		Part Time					
1	1	Engineering Assistant					
4 FT/ 1 PT	4FT/ 1 PT						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT
Frozen Positions	1	0	0	0	0	0	0
New Requests	0	0	0	0	0	0	0
Total Funded Positions	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT	4 FT/ 1PT

**FY 24-25 BUDGET
ENTERPRISE FUNDS
30-720: WATER FUND ENGINEERING**

PURPOSE

Provide overall engineering design, planning, project management and inspection services to utility; water distribution, sewer collections, streets, stormwater, wastewater and water treatment and general governmental operations. In addition, this division provides extensive technical support and assistance to the City Manager's office, and other City departments upon request. The planning and administrative responsibilities for the City's two delegated authorities (Erosion Control and Stormwater) are managed by this department as well.

GOALS & OBJECTIVES

- Goal 1:** Continued implementation of our Geographical Information System (GIS) mapping to include additional storm water lines and other water and sewer details.
- Objective 1:** To have the best available mapping to ensure that valuable information on existing utilities is recorded on GIS and easily available to staff. This will help to serve trucks and other field personnel to increase response times and repairs.
- Goal 2:** Assessment and Management of various projects in the proposed CIP.
- Objective 2:** Continue to monitor and facilitate the completion of the Cares Act Project, Sandy Creek Sewer Rehabilitation Project. Develop data driven decision matrices to identify water, sewer and pavement infrastructure needs and roll this into a Capital Improvement Plan. The City owns 200 miles of water, 200 miles of sewer, 80 miles of streets an unknown quantity of stormwater pipe and structures.
Section 504-ADA compliant facilities and sidewalks – develop and implement 8-year plan to improve these facilities so they are compliant.
- Goal 3:** Implement a Stormwater Utility.
- Objective 3:** Start developing policies and processes to bring the City into compliance with the State with respect to our Delegated Authority. Hire a Stormwater Engineer to run the program and develop a CIP for the stormwater infrastructure.

FY24 ACCOMPLISHMENTS

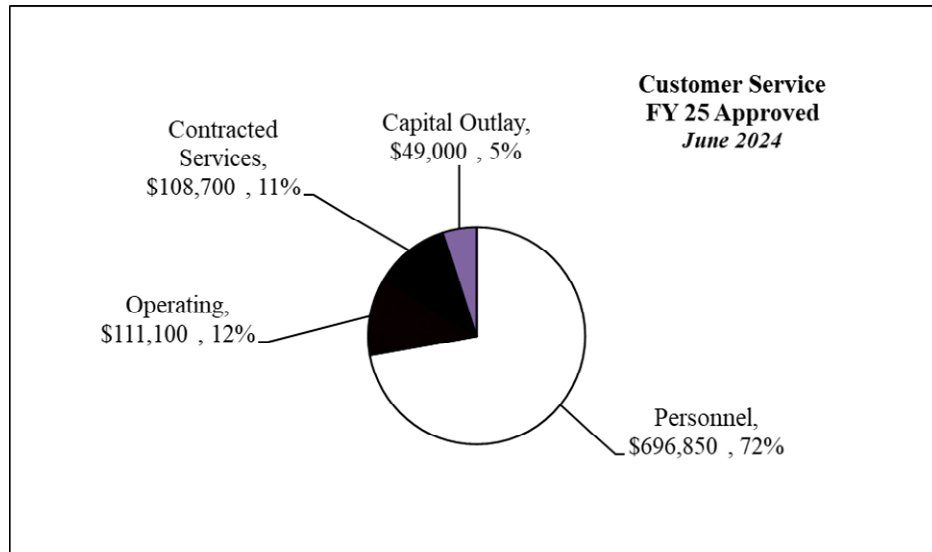
- **Various Water, Sewer and Storm Water Projects.** Worked on various storm water designs and projects to correct or improve drainage. Working actively to develop a stormwater utility and Storm Water Management Plan (SWMP).
- **KLRWS 20 MGD Expansion:** Worked closely with KLRWS Staff, Partners, State and consultant on the 20 MGD to secure a contract and LGC approval of funding and ultimately Phase 2 (construction).
- **Project Reviews.** Provide engineering project reviews on various projects throughout the year for new developments.
- **Expand GIS Role.** GIS is a map-based database that in conjunction with hyperlinking of the data, permits public work crews to see as-built drawings of the utility systems and permits Public Safety a floor plan of each facility which allows quick assessment of entrapment locations or active shooter mitigation.
- Expanded Department at little to no cost.
- Polished the internal storage.

KEY BUDGET ISSUES

Securing funds to unfreeze the administrative position. Staff is needed address all regulatory and compliance issues.

FY 24-25 BUDGET
ENTERPRISE FUNDS
30-725: WATER FUND CUSTOMER SERVICE

30-725: WATER FUND CUSTOMER SERVICE SUMMARY							
	Actual 21-22	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel Services	\$ 526,615	\$ 573,000	\$ 631,075	\$ 680,600	\$ 680,600	\$ 696,850	\$ 696,850
Operating	83,100	104,400	121,440	98,800	98,800	111,100	111,100
Contracted Services	76,300	85,100	99,200	108,700	108,700	108,700	108,700
Capital Outlay	-	55,800	4,100	48,000	48,000	13,000	49,000
Total Expenditures	\$ 686,015	\$ 818,300	\$ 855,815	\$ 936,100	\$ 936,100	\$ 929,650	\$ 965,650



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
		Full Time Employees					
1	1	Customer Service Manager	27	\$62,441	\$93,662		
2	2	Utility Billing Specialist	12	\$31,200	\$46,221		
3	3	Customer Service Representative	10	\$31,200	\$42,134		
1	1	Receptionist/Office Assistant	9	\$31,200	\$40,233		
4	4	Meter Reader	8	\$31,200	\$38,424		
		Part Time Employees					
1	1	RPT Meter Reader					
11 FT/1 PT	11 FT/1 PT						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	10 FT/1 PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT
New Requests	0	0	0	0	0	0	0
Total Funded Positions	10 FT/ 1PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT	11 FT/1 PT

PURPOSE

To provide excellent customer service to the City's approximate 9,100 utility customers through the reading of water meters, billing and collections and working with customers if they have special needs.

GOALS & OBJECTIVES

- Goal 1:** Continue to collect delinquent charges from inactive utility accounts and delinquent fire inspection charges.
- Objective 1:** Resume updating unpaid account balances and fire inspections to Debt Setoff Program, which will collect customers' State Tax Refunds and State Lottery winnings to pay off delinquencies.
- Objective 2:** Collecting balances from previous inactive accounts as customers establish new accounts.
- Goal 2:** Continue with Radio Read Meter replacements and installations on new constructions.
- Objective 1:** The department continues to replace existing manual read meters with Radio Read meters, which will reduce read time for billing cycles and consistently ensure accurate readings. This goal has already reduced the cost of retrieving reading data. The e-coder registers stores data to confirm the meter usage for the most recent 90 days. This information is used to verify the billed consumption to customers and can assist in troubleshooting unexplained high usage to the customer.

FY24 ACCOMPLISHMENTS

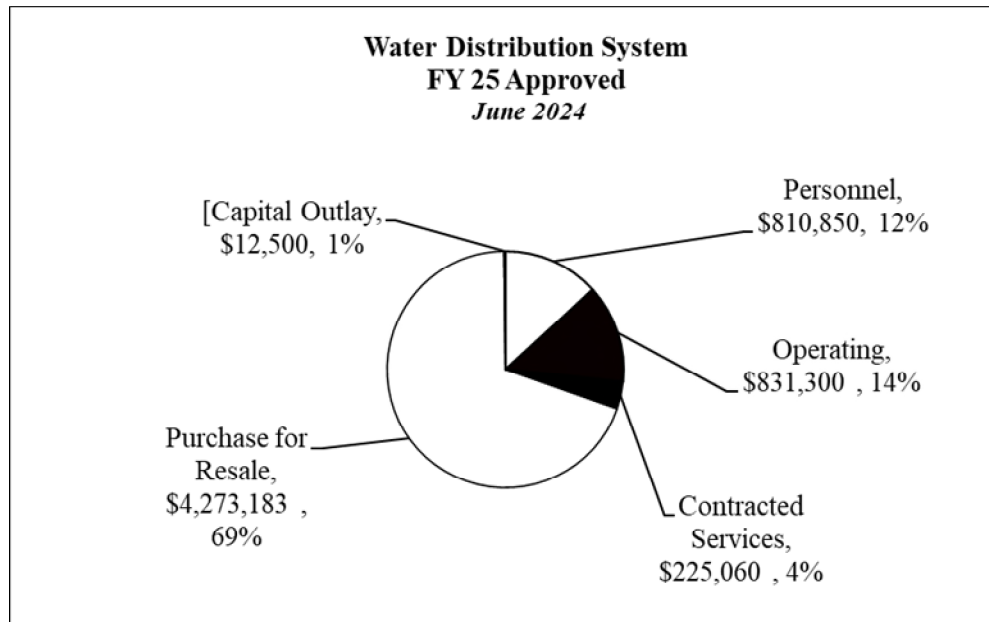
- Our meter reading software and meter reading devices were updated. The upgrade provides our department many advantages over the prior meter reading methods such as reduces work-hours needed to collect meter reading data, maximized meter reading success rates, improve meter reading accuracy and increased safety.
- NC Debt Setoff program allowed the city to collect \$24,716.05 on delinquent utility accounts over the 2023 calendar year.

KEY BUDGET ISSUES

- Requesting funds to purchase a second Mobile Data Collector used to collect readings from radio read meters automatically and efficiently through radio frequency. The new device also allows wireless and remote route synchronization with billing specialists in office.
- Requesting funds to purchase a new meter reader truck to replace a 2010 Ford Ranger that is not safe to operate.

FY 24-25 BUDGET
ENTERPRISE FUNDS
30-818: WATER FUND WATER DISTRIBUTION SYSTEM

30-818: WATER DISTRIBUTION SYSTEM SUMMARY							
	Actual	Actual	Budget	Estimate	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 592,090	\$ 673,200	\$ 776,850	\$ 733,100	\$ 789,100	\$ 810,850	\$ 810,850
Operating	634,750	701,800	812,730	800,101	834,600	831,300	831,300
Contracted Services	164,000	164,000	168,455	168,455	225,060	225,060	225,060
Purchase for Resale	4,000,000	3,821,521	3,821,521	3,821,521	4,273,183	4,273,183	4,273,183
Capital Outlay	125,000	33,000	207,000	195,000	497,000	12,500	12,500
Total Expenditures	\$ 5,515,840	\$ 5,393,521	\$ 5,786,556	\$ 5,718,177	\$ 6,618,943	\$ 6,152,893	\$ 6,152,893



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Assistant Public Works Director	22	\$49,249	\$73,874		
1	1	Distribution and Collection System Supervisor	20	\$44,809	\$67,214		
1	1	Utility Locator	14	\$33,818	\$50,727		
1	1	Administrative Support Specialist	11	\$31,200	\$44,126		
8	8	Utility Maintenance Mechanic	9	\$31,200	\$40,233		
12	12						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	10	10	12	12	12	12	12
New Requests	0	0	0	0	0	0	0
Total Funded Positions	10	10	12	12	12	12	12

**FY 24-25 BUDGET
ENTERPRISE FUNDS**

30-818: WATER FUND WATER DISTRIBUTION SYSTEM

PURPOSE

To provide maintenance and repair on water transmission and distribution mains throughout the City's service area (as part of the Regional System); and to install water taps, provide force labor and management for improvements and extensions to the water system. The City owns and maintains over 230 miles of water lines serving roughly 9,000 customers.

GOALS & OBJECTIVES

- Goal 1:** Provide better water quality and service to meet or exceed customer demands with ample pressure.
- Objective 1:** Continue to identify and provide improvements to areas with water quality issues such as dead-end mains and small waterlines operating at minimum pressure.
- Objective 2:** Continue to identify areas where we can switch water services from small older water mains to larger newer water mains. Discontinue service on small older water mains.
- Goal 2:** Provide better fire protection and consistency of service as it relates to flushing and fire protection services.
- Objective 1:** Continue to change out older style fire hydrants without pumper nozzle which do not conform to NCDENR standards.
- Goal 3:** Become better prepared for emergency situations when turning water off becomes a necessity.
- Objective 1:** Develop a valve maintenance program to clean valve boxes, exercise valves and verify valve location on a consistent basis.
- Goal 4:** Ensure that all distribution and regional waterlines are accessible for maintenance.
- Objective 1:** Continue with mowing schedule for waterline right-of-ways.

FY24 ACCOMPLISHMENTS

- **Maintenance/Repair:** Repaired numerous leaks and replaced several fire hydrants with minimal interruption of service to customers.
- **Training:** All employees with Water Distribution Operator Certifications met the requirements needed to renew certifications. Several employees are scheduled to attend a distribution school to obtain certifications.

KEY BUDGET ISSUES

- **Aging Fleet and Equipment:** Existing fleet is aging and in need of replacement. We have proposed several items in the upcoming budget.
- **Materials and Parts:** Increasing prices, availability and long lead times of parts and materials.
- **Staffing:** Recruitment and retention of qualified employees. Staff shortages make it difficult to keep up with the demand of day-to-day operations.

FY 24-25 BUDGET
ENTERPRISE FUNDS
30-818: WATER FUND WATER DISTRIBUTION SYSTEM

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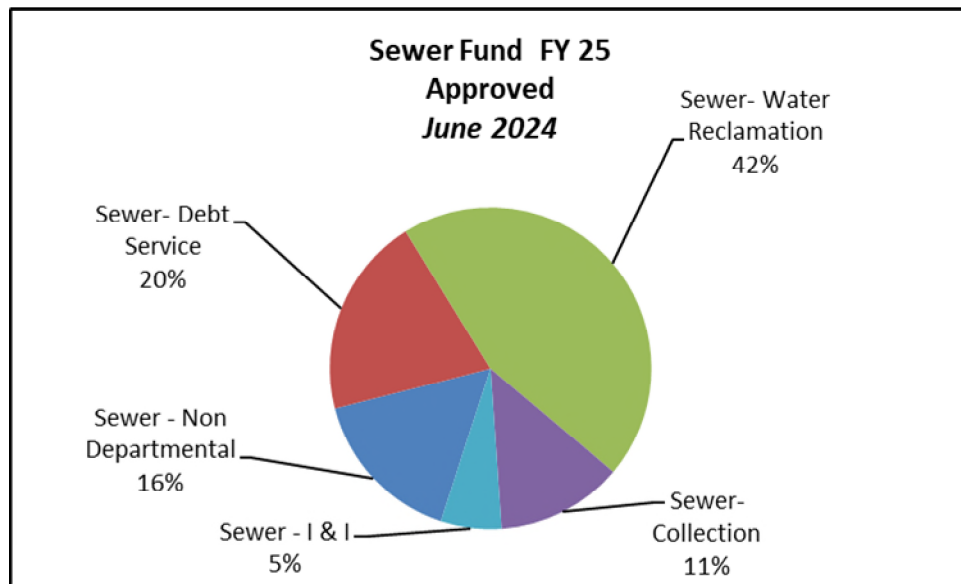
SEWER FUND

SEWER FUND DEPARTMENTS

1. Non-Departmental
2. Debt Service
3. Water Reclamation
4. Collection
5. Inflow & Infiltration (I & I)

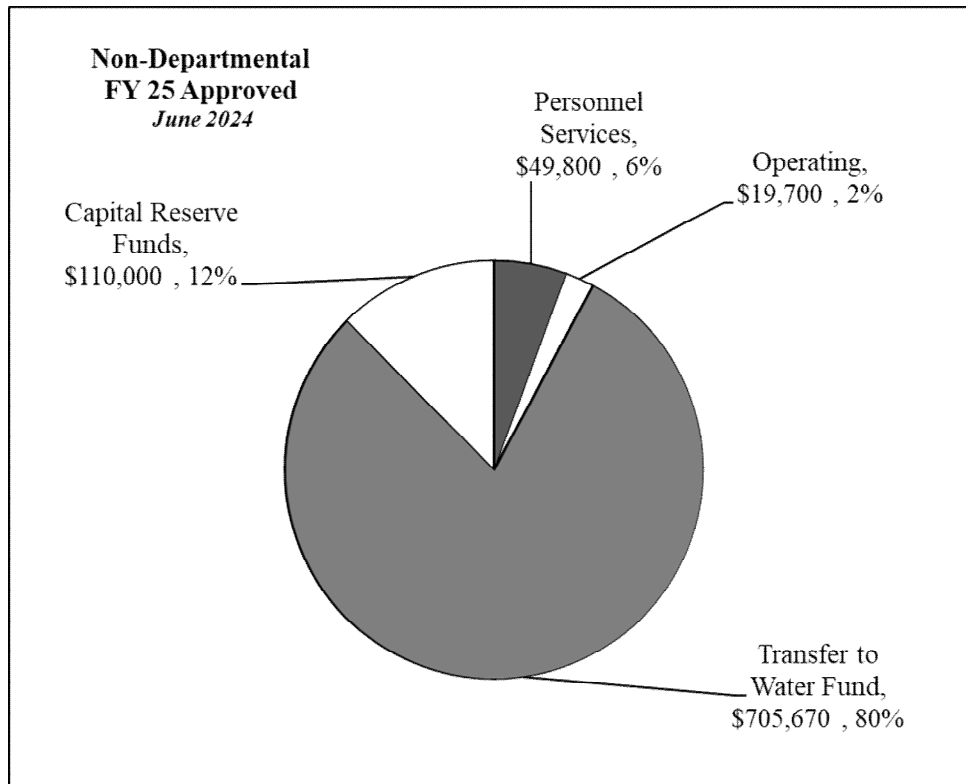
SEWER FUND SUMMARY

Department	2025 Council Amended Budget	2025 Department Requested Budget	2025 Council Approved Budget	% Increase or Decrease
Sewer - Non Departmental	\$ 628,994	\$ 885,170	\$ 885,170	40.73%
Sewer- Debt Service	\$ 1,119,871	\$ 1,118,677	\$ 1,118,677	-0.11%
Sewer- Water Reclamation	\$ 2,311,300	\$ 2,826,956	\$ 2,497,250	8.05%
Sewer- Colleciton	\$ 922,980	\$ 1,168,360	\$ 705,800	-23.53%
Sewer - I & I	\$ 591,105	\$ 672,300	\$ 337,675	-42.87%
Total Sewer Fund	\$ 5,574,250	\$ 6,671,463	\$ 5,544,572	-0.53%



**FY 24-25 BUDGET
ENTERPRISE FUNDS
31-660: SEWER FUND NON-DEPARTMENTAL**

31-660: NON-DEPARTMENTAL SUMMARY						
	Actual 21-22	Actual 22-23	Budget 23-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel Services	\$ 33,000	\$ 35,000	\$ 40,820	\$ 49,800	\$ 49,800	\$ 49,800
Operating	19,360	21,250	31,250	19,700	19,700	19,700
Contingency	-	-	-	-	-	-
Cost Allocation	-	-	-	-	-	-
Transfer to Water/Sewer Fund	523,295	1,005,670	505,670	705,670	705,670	705,670
Capital Reserve	173,735	160,000	51,254	110,000	110,000	110,000
Total Expenditures	\$ 749,390	\$ 1,221,920	\$ 628,994	\$ 885,170	\$ 885,170	\$ 885,170



The Non-Departmental Budget group was established for this fund, as well as others, during FY 11-12 in order to better account for inter-fund transfers and other expenditures that should not be located in an operating budget group. No personnel are assigned to the Non-Departmental budget group; however, some personnel related expenditures such as retiree health insurance and reserves for incumbent liabilities for accrued vacation and compensatory time are accounted for in this budget department.

FY 24-25 BUDGET
ENTERPRISE FUNDS
31-680: SEWER FUND DEBT SERVICE

31-680: DEBT SERVICE SUMMARY						
	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Debt Service Principal	\$ 1,058,259	\$ 1,080,721	\$ 1,080,721	\$ 1,084,202	\$ 1,084,202	\$ 1,084,202
Debt Service Interest	37,397	39,150	39,150	34,475	34,475	34,475
Lease Purchase Payments	-	-	-	-	-	-
Total Expenditures	\$1,095,656	\$1,119,871	\$ 1,119,871	\$ 1,118,677	\$ 1,118,677	\$ 1,118,677

The majority of this debt is due to the renovations at the Henderson Water Reclamation Facility (HWRF).

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

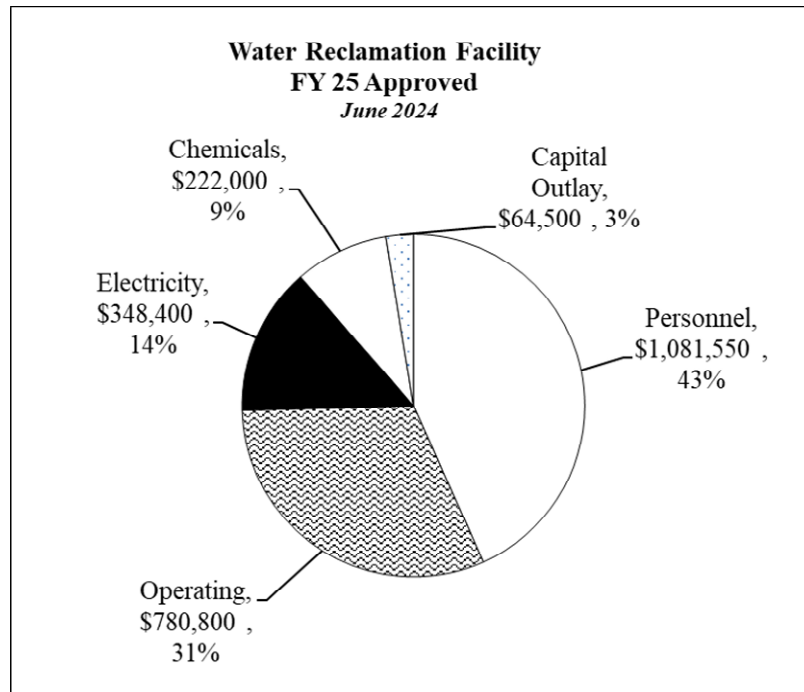
- **Scheduled Debt Service** is currently comprised of HWRF improvements; Sandy Creek pump stations, Sewer Rehab Project and Elmwood Interceptor.

**FY 24-25 BUDGET
ENTERPRISE FUNDS
31-680: SEWER FUND DEBT SERVICE**

31									
Paid To: NCDENR-DWQ (4237)									
Type of Debt: State Revolving Loan									
	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
Sandy Creek Pump Station - 0% interest - (20 yr)	31-680-508100	P	37,609	3/31/2022	37,609		37,609		37,609
Issued FY 13 ending FY 33 - Total project \$1,800,000	31-680-508200	I	0		0		0		0
\$900,000 principal forgiveness									
31									
Paid To: NCDENR-DWQ (4237)									
Type of Debt: State Revolving Loan									
Description:									
	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
Sewer Rehab Project - 2 % interest - (20 yr) issued	31-680-508100	P	24,720	3/31/2022	24,720		24,720		24,720
5/13 ending FY 33 - Total project \$988,782	31-680-508200	I	5,933	9/28,3/31	5,439	9/28,	4,944		4,450
Principal forgiveness \$494,391									
				1/2 int. \$2,966		1/2 int.			
31									
Paid To: DENR (5214)									
Type of Debt: State Revolving Loan									
	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
Elmwood Interceptor - 2.5% interest (20yr)	31-680-508100	P	85,050	3/29/2022	85,050		85,050		85,050
Beg. FY 17-18 ending FY 36-37 - Total Project	31-680-508200	I	26,366	9/28,3/31	25,515	9/28,	23,814		22,113
\$1,800,000									
				1/2 int. \$13,608		1/2 int.			
31									
Paid To: Benchmark (5352)									
Type of Debt: Loan Purchase									
Description:									
	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
Refinanced loan at 1.99% interest (5yr)	31-680-508100	P	35,297	7/15/2021	35,297	7/1/2022	36,088		36,803
Includes Fund 10 and Fund 30	31-680-508200	I	2,989	7/15/2021	2,989	7/1/2022	2198		1484
31									
Paid To: First Citizens (1339)									
Type of Debt: Loan Purchase									
Description:									
	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
Sewer: Jetter Truck, Trench Roller, CCTV Truck	31-680-508100	P	0		69,746	7/1/2022	69,213		70,210
1.44% interest, (5yr) total payments \$188,844 23%	31-680-508200	I	0		3,541	7/1/2022	4,074		3,077
31									
Paid To: Benchmark (5352)									
Type of Debt: Loan Purchase									
Description:									
	Code	P/I	Amount	Date	Amount	Date	Amount	Date	Amount
Water Rec.: Truck, SCADA	31-680-508100	P	0		0		26,110		0
Sewer: HVAC, Ice machine	31-680-508200	I	0		0		870.77		0
3.45% (5yr) \$120,300 19%									
	Long Term Principal		953,129		953,129		953,129		953,129
	Long Term Interest		32,299		30,954		28,758		26,563
	Total Debt Service		985,428		984,083		981,887		979,692
	Total Loan Purchase		38,286		111,573		138,554		111,574
	Grand Total Debt		1,023,714		1,095,656		1,120,441		1,091,266

FY 24-25 BUDGET
ENTERPRISE FUNDS
31-822: SEWER FUND WATER RECLAMATION FACILITY

31-822: WATER RECLAMATION FACILITY SUMMARY							
	Actual 21-22	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel	\$ 907,520	\$ 917,200	\$ 987,500	\$ 990,740	\$ 1,058,400	\$ 1,081,550	\$ 1,081,550
Operating	695,000	740,650	770,800	766,148	785,700	780,800	780,800
Electricity	361,600	371,900	346,000	346,000	348,356	348,400	348,400
Chemicals	179,000	192,000	207,000	207,000	222,000	222,000	222,000
Capital Outlay	74,000	105,000	-	-	412,500	37,500	64,500
Total Expenditures	\$ 2,217,120	\$ 2,326,750	\$ 2,311,300	\$ 2,309,888	\$ 2,826,956	\$ 2,470,250	\$ 2,497,250



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
Special Certified or Sworn Employees (i.e., police officers, firefighters, treatment operators, etc.)							
1	1	Wastewater Treatment Plant Director	26	\$59,540	\$89,310		
1	1	Chief Treatment Plant Operator	18	\$40,784	\$61,176		
1	1	Laboratory Supervisor	18	\$40,784	\$61,176		
5	5	Treatment Plant Operator	12	\$31,200	\$46,221		
8	8						
All Other Full Time, both exempt and non-exempt							
1	1	Plant Maintenance Supervisor	17	\$38,913	\$58,370		
2	2	Laboratory Technician	13	\$32,280	\$48,420		
4	4	Plant Maintenance Mechanic	12	\$31,200	\$46,221		
1	1	Administrative Support Specialist	11	\$31,200	\$44,126		
8	8						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	16	16	16	16	16	16	16
New Requests	0	0	0	0	0	0	0
Total Funded Positions	16	16	16	16	16	16	16

**FY 24-25 BUDGET
ENTERPRISE FUNDS**

31-822: SEWER FUND WATER RECLAMATION FACILITY

PURPOSE

To provide adequate treatment of wastewater to meet the effluent limits set forth in the City's National Pollutant Discharge Elimination System (NPDES) permit; to provide adequate management and maintenance of the City's pump station facilities (6 major and 8 minor stations) and sludge disposal program; and to make available adequate capacity for continued residential, commercial and industrial growth within Henderson's corporate limits and throughout the service area.

GOALS & OBJECTIVES

- Goal 1:** Operate the HWRF, pump stations, laboratory, SCADA, stormwater, odor control and land application of sludge efficiently and maintain compliance with all NPDES, laboratory, land application of sludge and stormwater permit limits including the Environmental Protection Agency (EPA)/Division of Water (DWQ) regulations in a cost effective manner.
- Objective 1:** Analyze the operational parameters of the treatment plant and train staff in its interpretation. Coordinate with the lab, operations and maintenance staff to make needed adjustments to the plant and other processes to maintain compliance with the current NPDES limits.
- Goal 2:** Continue to improve and maintain the safety record at the HWRF.
- Objective 1:** Continue plant safety inspections and staff training; correct any issues or concerns that rise.
- Goal 3:** Continue using Cartegraph asset management system.
- Objective 1:** Manage assets, request, community's work and resources.

FY 24 ACCOMPLISHMENTS

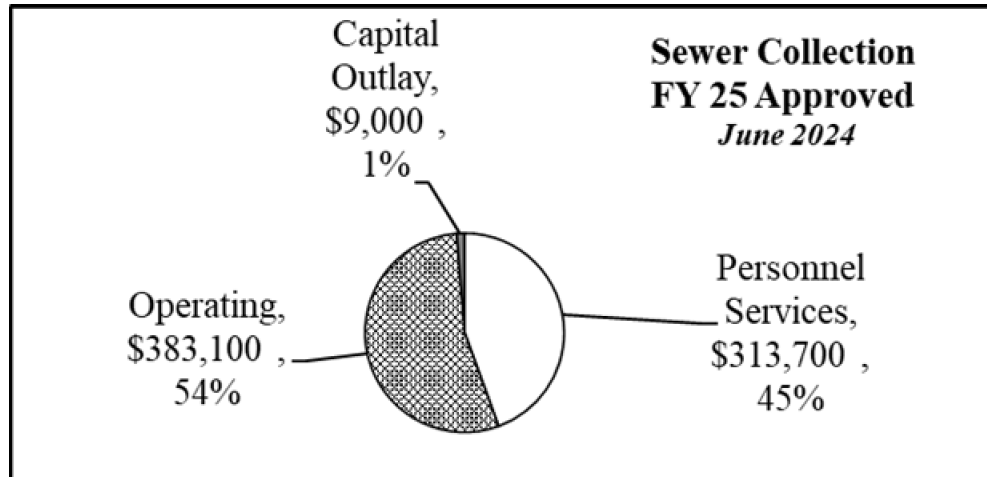
- Multiple repairs to equipment at the treatment plant.
- Electrical improvements to smaller lift stations.
- Filter Building Painted.

KEY BUDGET ISSUES

- Filter building is in need of an upgrade, needs to be a CIP.
- Need a new boat and trailer.
- Need a gator for Maintenance and Operations.
- Chemical prices are increasing.

FY 24-25 BUDGET
ENTERPRISE FUNDS
31-828: SEWER FUND COLLECTION

31-828: SEWER COLLECTION SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 262,140	\$ 287,800	\$ 312,325	\$ 306,700	\$ 323,600	\$ 313,700	\$ 313,700
Operating	282,700	301,751	333,155	330,866	385,260	383,100	383,100
Capital Outlay	198,000	30,500	277,500	267,700	459,500	9,000	9,000
Total Expenditures	\$ 742,840	\$ 620,051	\$ 922,980	\$ 905,266	\$ 1,168,360	\$ 705,800	\$ 705,800



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
2	2	Maintenance Crew Leader	13	\$32,280	\$48,420		
3	3	Maintenance Worker	8	\$31,200	\$38,424		
5	5						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	5	5	5	5	5	5	5
New Requests	0	0	0	0	0	0	0
Total Funded Positions	5	5	5	5	5	5	5

PURPOSE

To perform both scheduled and emergency maintenance and repair on more than 200 miles of sanitary sewer lines (both gravity and force mains); to install sewer taps; provide force labor and management for improvements to the system. To provide quality service for roughly 7,600 sewer customers.

GOALS & OBJECTIVES

- Goal 1:** To stay in compliance with sanitary sewer collections permits and avoid potential fines from sanitary sewer overflows.
- Objective 1:** Continue to clean and monitor sewer mains and manholes to reduce the risk of spills/overflows.
- Goal 2:** Further reduce infiltration/inflow to maximize capacity within the collection system.
- Objective 1:** Continue to inspect sewer mains with CCTV inspection equipment and smoke test sewer lines to find potential sources of I&I.
- Goal 3:** Ensure that all sanitary sewer outfalls are accessible for maintenance.
- Objective 1:** Continue with mowing schedule for sanitary sewer outfalls.

FY 24 ACCOMPLISHMENTS

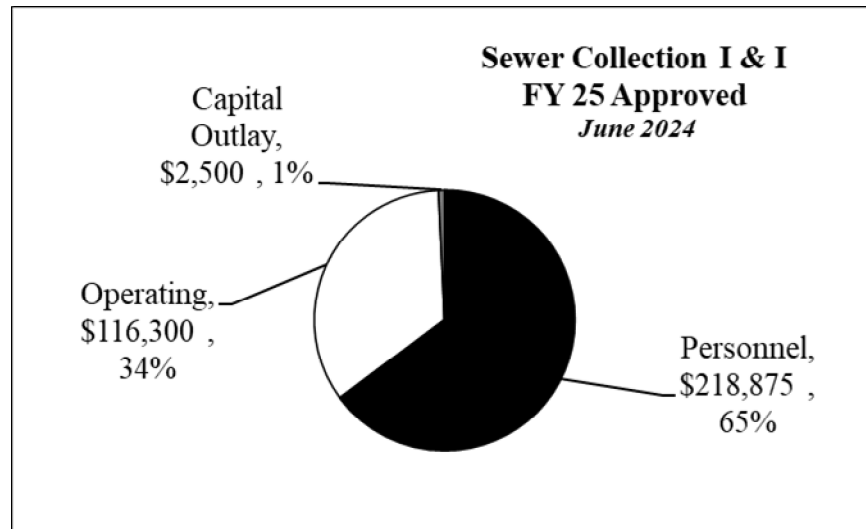
- **Line Rehabilitation:** Successfully completed foam injection to existing sewer mains to eliminate root problems which can cause spills.
- **Outfall Maintenance:** Continued vegetation clearing on Sanitary Sewer outfalls. Major repairs to several creek crossings to maintain the integrity of arial sewer pipes over the creek.
- **Line Cleaning:** Crews are on track to complete the cleaning of 10% of gravity sewer mains as mandated by the Water Resources Division for North Carolina Department of Environmental Quality.
- **Training:** All employees with Sewer Collections Operators Certifications met the requirements needed to renew certifications. Several employees are scheduled to attend a sewer collections school to obtain certifications.

KEY BUDGET ISSUES

- **Materials and Parts:** Increasing prices, availability and long lead times of parts and materials.
- **Staffing:** Recruitment and retention of qualified employees. Staff shortages make it difficult to keep up with the demand of day-to-day operations.

FY 24-25 BUDGET
ENTERPRISE FUNDS
31-829: SEWER FUND I & I OPERATIONS

31-829 SEWER FUND I & I OPERATIONS							
	Actual 21-22	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel Services	\$ 164,850	\$ 178,200	\$ 202,875	\$ 204,375	\$ 221,800	\$ 218,875	\$ 218,875
Operating	103,450	117,600	112,230	110,496	115,500	116,300	116,300
Capital Outlay	182,200	7,400	276,000	268,700	335,000	2,500	2,500
Total Expenditures	\$ 450,500	\$ 303,200	\$ 591,105	\$ 583,571	\$ 672,300	\$ 337,675	\$ 337,675



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION		GRADE	MINIMUM	MAXIMUM	
1	1	Maintenance Crew Leader		13	\$32,280	\$48,420	
2	2	Maintenance Worker		8	\$31,200	\$38,424	
3	3						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	3	3	3	3	3	3	3
New Requests	0	0	0	0	0	0	0
Total Funded Positions	3	3	3	3	3	3	3

PURPOSE

To perform scheduled maintenance of sanitary sewer mains relative to the identification and reduction of storm and groundwater inflow/infiltration (I&I) into the sanitary sewer system.

GOALS & OBJECTIVES

Goal 1: Reduce Inflow & Infiltration.

Objective 1: I&I work to include CCTV inspections, smoke testing, die testing and other visual inspections of the collection system to find sources of inflow and infiltration.

Objective 2: Perform necessary repairs when found.

Goal 2: Identify I&I issues on private property and ensure appropriate repairs are made.

Objective 1: Issue notice to property owners when I&I problems are found so they can make necessary repairs.

FY 24 ACCOMPLISHMENTS

- **I&I Work:** Continued work with consultants on our Find and Fix Project. This project has total funding in the amount of \$7.5 Million. We received a loan in the amount of \$2.5 million and an ARP grant of \$5 million both from the North Carolina Clean Water State Revolving Fund.
- **Fats, Oils & Grease Compliance:** The Sewer Collection I&I Division continues to work in identifying accumulation of grease build-up within the mains and help HWRF to identify potential businesses which may be depositing excessive amounts of fats, oils and grease.

KEY BUDGET ISSUES

- **Staffing:** Recruitment and retention of qualified employees. Staff shortages make it difficult to keep up with the demand of day-to-day operations.

FY 24-25 BUDGET
ENTERPRISE FUNDS
31-829: SEWER FUND I & I OPERATIONS

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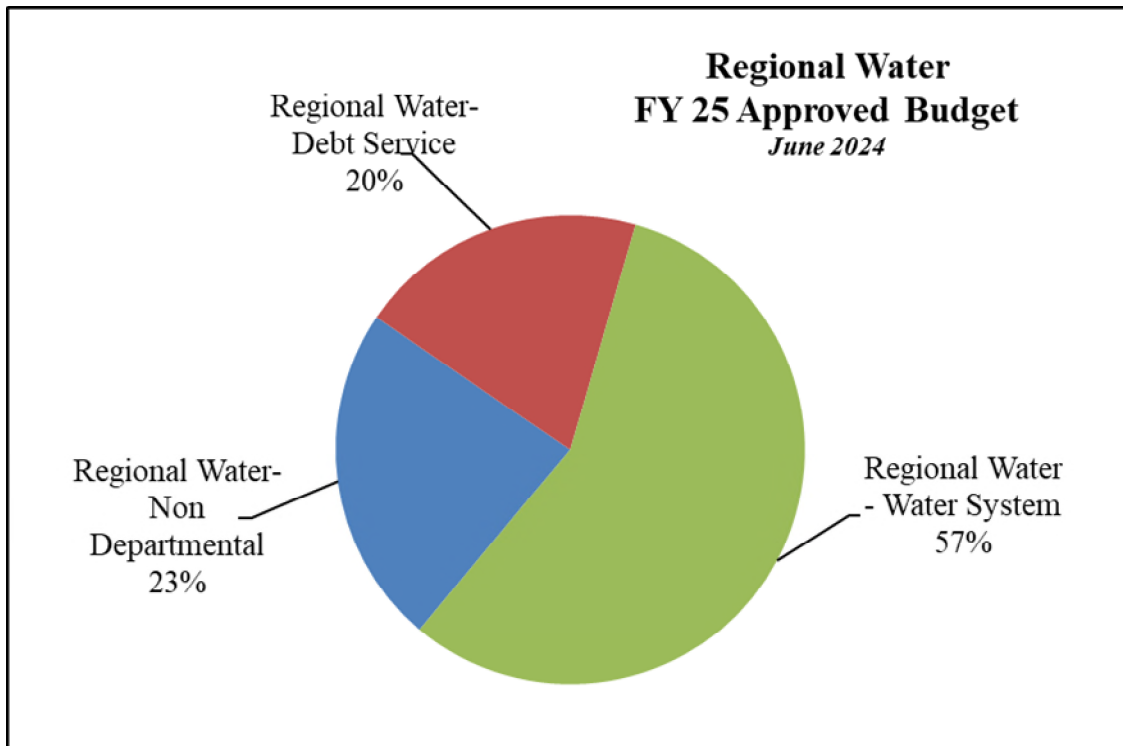
REGIONAL WATER FUND

REGIONAL WATER FUND DEPARTMENTS

1. Non-Departmental
2. Debt Service
3. Water Plant

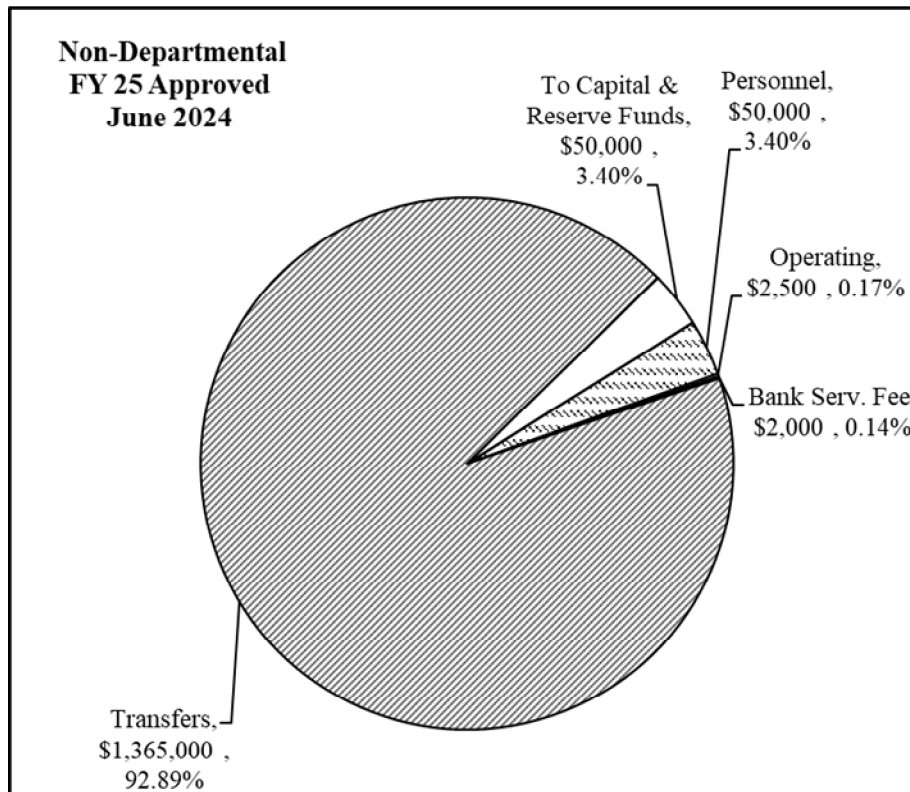
REGIONAL WATER FUND

Department	2024 Council Amended Budget	2025 Department Requested Budget	2025 Council Approved Budget	% Increase or Decrease
Regional Water- Non Departmental	\$1,823,300	\$ 2,019,500	\$ 1,469,500	-19.40%
Regional Water- Debt Service	\$ 48,450	\$ 1,251,081	\$ 1,251,090	2482.23%
Regional Water - Water System	\$3,754,375	\$ 4,180,400	\$ 3,549,760	-5.45%
Total Regional Water	\$5,626,125	\$ 7,450,981	\$ 6,270,350	11.45%



**FY 24-25 BUDGET
ENTERPRISE FUNDS
64-660: REGIONAL WATER FUND NON-DEPARTMENTAL**

64-660: NON-DEPARTMENTAL SUMMARY						
	Actual 21-22	Actual 22-23	Budget 23-24	Requested 24-25	Recommended 24-25	Approved 24-25
Personnel	\$ 42,010	\$ 45,000	\$ 45,000	\$ 50,000	\$ 50,000	\$ 50,000
Operating	\$ 2,370	\$ 2,500	\$ 2,500	\$ 2,500	\$ 2,500	\$ 2,500
Bank Service Fees	\$ 1,200	\$ 1,200	\$ 1,200	\$ 2,000	\$ 2,000	\$ 2,000
Contingency	20,000	20,000	20,000	-	-	-
Cost Allocation	-	-	-	-	-	-
Transfers	2,213,380	2,215,000	1,715,000	1,865,000	1,365,000	1,365,000
To Capital & Reserves	15,480	-	39,600	100,000	50,000	50,000
Total Expenditures	\$ 2,294,440	\$ 2,283,700	\$ 1,823,300	\$ 2,019,500	\$ 1,469,500	\$ 1,469,500



The Non-Departmental Budget group provides for a better accounting of inter-fund transfers and other expenditures that should not be located in an operating budget group. No personnel are assigned to the Non-Departmental budget group; however, some personnel related expenditures such as retiree health insurance and the fund's share of the recommended pay and classification study are accounted for in this budget department.

The largest expenditure center for the non-departmental budget is the transfer to the Capital Reserve Fund.

FY 24-25 BUDGET
ENTERPRISE FUNDS
64-680: REGIONAL WATER DEBT SERVICE

64-680: DEBT SERVICE SUMMARY						
	Actual 22-23	Budget 23-24	Estimated 30-Jun-24	Requested 24-25	Recommended 24-25	Approved 24-25
Long-Term Debt Service P&I	\$ 49,050	\$ 48,450	\$ 48,450	\$ 1,251,081	\$ 1,251,090	\$ 1,251,090
Lease Purchase Debt Service P&I	-	-	-	-	-	-
Total Expenditures	\$ 49,050	\$ 48,450	\$ 48,450	\$ 1,251,081	\$ 1,251,090	\$ 1,251,090

PURPOSE

The purpose of the debt service budget department is: 1) to provide for the payment of the Fund's long-term and short-term debt interest and principal; and 2) to provide long-term information and understanding as to the Fund's debt service requirements and how that might impact utility rates as well as day-to-day operations.

KEY BUDGET ISSUES

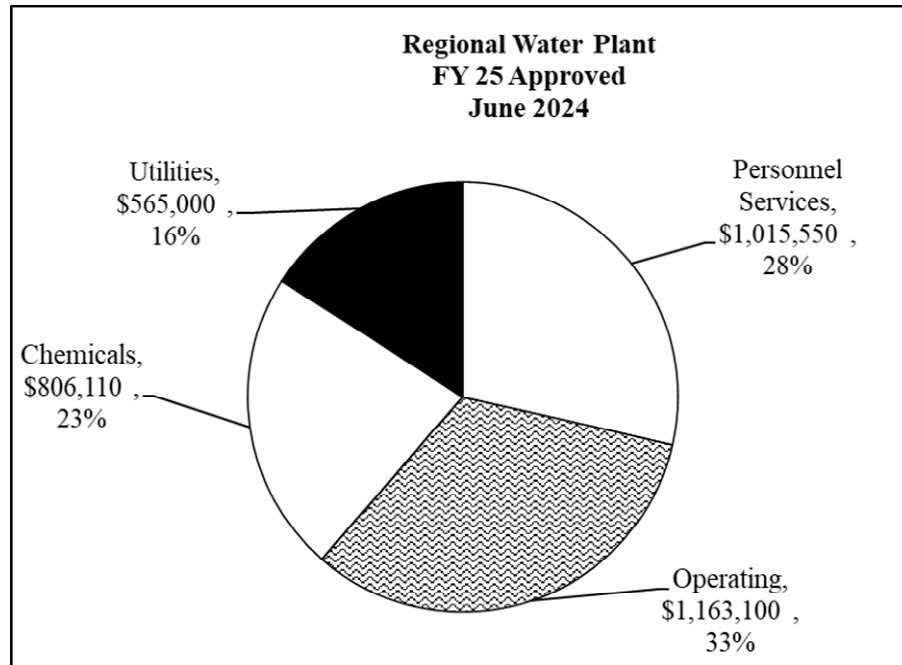
- Upcoming Debt Service will be necessary for the 20 MGD upgrade.
- City has secured funding for rehabilitation and expansion of KLRW Plant.

**FY 24-25 BUDGET
ENTERPRISE FUNDS
64-680: REGIONAL WATER DEBT SERVICE**

64: Regional Water Fund Debt Service Payment Log											
Paid To: DENR (1263)											
Type of Debt: State Revolving Loan											
Description:			Code	P/I	FY 22 - 23		FY 23 - 24		FY 24 - 25		FY 25 - 26
					Amount	Date	Amount	Date	Amount	Date	Amount
High Speed Pump - 0% interest - (20 yr) Beg. FY 15			64-680-508100	P	48,431		48,431		48,431		48,431
ending FY 33 - Total project \$1,129,000 revised to				I	0		0		0		0
\$968,618											

FY 24-25 BUDGET
ENTERPRISE FUNDS
64-900: REGIONAL WATER FUND WATER PLANT

64-900: REGIONAL WATER PLANT SUMMARY							
	Actual	Actual	Budget	Estimated	Requested	Recommended	Approved
	21-22	22-23	23-24	30-Jun-24	24-25	24-25	24-25
Personnel Services	\$ 824,310	\$ 872,100	\$ 934,825	\$ 934,825	\$ 992,800	\$ 1,015,550	\$ 1,015,550
Operating	1,073,400	1,051,240	1,140,450	1,141,425	1,170,500	1,163,100	1,163,100
Chemicals	440,000	460,000	806,300	806,300	806,300	806,110	806,110
Utilities	486,400	489,400	565,800	565,800	565,800	565,000	565,000
Capital Outlay	41,000	107,000	307,000	307,000	645,000	-	-
Total Expenditures	\$2,865,110	\$ 2,979,740	\$3,754,375	\$3,755,350	\$ 4,180,400	\$ 3,549,760	\$ 3,549,760



AUTHORIZED POSITIONS							
FY 23-24	FY 24-25	CLASSIFICATION	GRADE	MINIMUM	MAXIMUM		
1	1	Treatment Plant Director	28	\$65,488	\$98,232		
1	1	Chief Operator	18	\$40,784	\$61,176		
1	1	Plant Maintenance Supervisor	17	\$38,913	\$58,370		
1	1	Laboratory Analyst	15	\$35,434	\$53,151		
1	1	Plant Maintenance Mechanic	12	\$31,200	\$46,221		
7	7	Treatment Plant Operator	12	\$31,200	\$46,221		
1	1	Administrative Support Specialist	11	\$31,200	\$44,126		
13	13						
HISTORY OF POSITIONS							
	FY 20-21	FY 21-22	FY 22-23	FY 23-24	Requested FY 24-25	Recommended FY 24-25	Approved FY 24-25
Authorized Positions	13	13	13	13	13	13	13
New Requests	0	0	0	0	0	0	0
Total Funded Positions	13	13	13	13	13	13	13

**FY 24-25 BUDGET
ENTERPRISE FUNDS
64-900: REGIONAL WATER FUND WATER PLANT**

PURPOSE

To provide safe and aesthetically pleasing water to approximately 55,000 customers in the cities of Henderson, Oxford and Warren County by continuously meeting all state and federal regulations.

GOALS & OBJECTIVES

- Goal 1:** Continue with Duke Energy Time-of-Use Program.
Objective 1: The high service pumps at the plant are operated during off-peak times as established by the Time-of-Use Program. KLRWS is looking at further ways to reduce power cost.
- Goal 2:** Meet and exceed EPA regulations.
Objective 1: Meet all state and federal regulations throughout the year thus providing high quality water to all customers.
- Goal 3:** Continue working to complete the 20MGD upgrade.
Objective 1: Meet future growth projections and demands of the regional water partners and customers.
- Goal 4:** Devise a consumer education plan.
Objective 1: Meet state mandates and keep the public informed and educated about conservation and water regulations.
- Goal 5:** Increase staff training.
Objective 1: Meet state mandates and keep the public informed and educated about conservation and water regulations.

FY 24 ACCOMPLISHMENTS

- Saved approximately \$46,245 on the electric bill by participating in the Time-of-Use Program.
- Continuously provided a supply of safe, clean drinking water to all customers of KLRWS.
- Met or exceeded regulations as they were promulgated and became law.
- 20MGD upgrade is moving forward.

KEY BUDGET ISSUES

- Chemical costs and fuel remain volatile and unstable which may lead to higher costs during the year.
- Continue funding to develop the knowledge and skill of all employees.
- Continue to secure funding for needed upgrades.

FY 24-25 BUDGET
ENTERPRISE FUNDS
64-900: REGIONAL WATER FUND WATER PLANT

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CAPITAL IMPROVEMENT PROJECTS

1. GENERAL FUND CIP

2. POWELL BILL CIP

3. WATER FUND CIP

4. SEWER FUND CIP

5. REGIONAL WATER FUND CIP

Capital Improvement Projects Funds projects are not considered to be part of the annual budget process since these projects remain “open” for the life of the project. At times a project may only be “open”, or active, for several months and in other cases the project remains active for several years. With this said, the annual operating and capital budget must provide a summary of the capital improvement fund projects for information purposes.

The following charts provide information on each of the active and proposed capital improvement projects.

4/20/2023 13:41		GENERAL FUND SUMMARY																			
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL						
EXPENDITURES																					
Outdoor Pavilion & Market	\$ 20,000	\$ 10,000	\$ 220,000			\$ 30,000									\$ 280,000						
Fire-Concrete Aprons/Apparatus Floor							\$ 95,000								\$ 95,000						
Henderson Laundry						\$ 20,000									\$ 20,000						
Roof Top Structure Repairs/HVAC				\$ 37,000											\$ 37,000						
Food Truck Court							\$ 51,480								\$ 51,480						
Total Expenditures															\$ -						
Police Station-Carpeting, Cubicles, Mortar							\$ 73,953								\$ 73,953						
Operations Center-Roof															\$ -						
Resurfacing at the Operations Center						\$ 25,915									\$ 25,915						
Aycock Restrooms															\$ -						
Overlay of Basketball Court-Chestnut Street					\$ 18,750										\$ 18,750						
Resurfacing at Fox's Pond															\$ -						
Street Resurfacing															\$ -						
City Hall Sewer Line															\$ -						
Redevelopment-Land Acquisition			\$ 38,640	\$ 100,000			\$ 414,210								\$ 552,850						
Fire Station Study				\$ 15,000											\$ 15,000						
McGregor Hall Welcome Signs				\$ 20,000		\$ 5,000		\$ 5,000							\$ 30,000						
UNC SOG Consult./Appraisal, etc.							\$ 35,600								\$ 35,600						
Elmwood Cemetery Master Plan- Phase IV															\$ -						
Total Expenditures	\$ 20,000	\$ 10,000	\$ 258,640	\$ 172,000	\$ 18,750	\$ 80,915	\$ 618,763	\$ 56,480	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 1,235,548						
RESOURCES																					
FUND BALANCE			\$ 225,500	\$ 354,500		\$ 89,915									\$ 669,915						
USDA GRANT		\$ 133,000													\$ 133,000						
USDA LOAN		\$ 474,000													\$ 474,000						
ARPA GRANT							\$ 2,431,000	\$ -	\$ 200,000						\$ 2,631,000						
PRIVATE PLACEMENT LOAN															\$ -						
TOTAL RESOURCES	\$ -	\$ 607,000	\$ 225,500	\$ 354,500	\$ -	\$ 89,915	\$ 2,431,000	\$ -	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 3,907,915						

		POWELL BILL SUMMARY																								
4/20/2023 13:41																										
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL											
EXPENDITURES																										
Street Resurfacing	\$ 200,000	\$ 400,000		\$ 400,000			\$ 425,000	\$ 425,000							\$ 1,850,000											
Pavement Assessment					\$ 30,000										\$ 30,000											
Bridgers Street Widening															\$ -											
Alexander Ave Phase III						\$ 376,838									\$ 376,838											
Cypress Drive Widening										\$ 458,820					\$ 458,820											
Denver Street Extension					\$ 81,250										\$ 81,250											
Granite Street Storm Sewer		\$ 85,000													\$ 85,000											
High Street Connector															\$ -											
Dorsey Place Cul-de-Sac					\$ 24,500										\$ 24,500											
TOTAL EXPENDITURES	\$ 200,000	\$ 400,000	\$ 85,000	\$ 400,000	\$ 135,750	\$ 376,838	\$ 425,000	\$ 425,000	\$ -	\$ -	\$ 458,820	\$ -	\$ -	\$ -	\$ 2,906,408											
RESOURCES																										
Redevelopment																										
Powell Bill Funds	\$ 200,000	\$ 400,000	\$ 85,000	\$ 400,000	\$ 135,750	\$ 576,838	\$ 425,000	\$ 425,000	\$ 200,000	\$ 200,000	\$ 658,820	\$ 200,000	\$ 200,000	\$ 200,000	\$ 4,306,408											
TOTAL RESOURCES	\$ 200,000	\$ 400,000	\$ 85,000	\$ 400,000	\$ 135,750	\$ 576,838	\$ 425,000	\$ 425,000	\$ 200,000	\$ 200,000	\$ 658,820	\$ 200,000	\$ 200,000	\$ 200,000	\$ 4,306,408											

4/20/2023 13:56															
WATER FUND SUMMARY															
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL
EXPENDITURES															
Beckford Dr/Loop				\$ 48,100											\$ 48,100
Young Ave Water Line Replacement		\$ 1,578,960													\$ 1,578,960
Industrial Park Water & Sewer Ext	\$ 165,356														\$ 165,356
Beckford Dr. Loop Waterline		\$ 200,000													\$ 200,000
Ross Mill Rd. Water Line Ext		\$ 16,000													\$ 16,000
Resurfacing Ops Center						\$ 19,435								\$ 700,000	\$ 719,435
2" Water Line Replacement Railroad Street		\$ 10,000													\$ 10,000
Thomas Lane Area-2" WL Replacements					\$ 850,000										\$ 850,000
Valves in vault at each overhead tank					\$ 30,000										\$ 30,000
Parrot Road, W. Ridge & Eileen Ct														\$ 790,000	\$ 790,000
Weybosset Neighborhood												\$ 340,000			\$ 340,000
Allen Road & Neighborhood										\$ 330,000					\$ 330,000
Hospital Second Feed				\$ 40,000	\$ 325,000										\$ 365,000
Insert-a Valves			\$ 40,000												\$ 40,000
Elevated Water Storage Tank (1MGD)								\$ 3,500,000							\$ 3,500,000
Water Meter Replacement Project						\$ 800,000									\$ 800,000
Wesley Drive Tie in to 24" Pipe				\$ 90,000											\$ 90,000
Loop At Walgreens up to US 1 BUS			\$ 52,400												\$ 52,400
* Ross Mill Road-Vance Charter to Haywood				\$ 320,000											\$ 320,000
Water Tap to larger WL abandon 2" WL															\$ -
Downtown Waterline replacement					\$ 100,000	\$ 900,000		\$ 900,000			\$ 100,000	\$ 900,000			\$ 2,900,000
Automatic Water Meter Infrastructure									\$ 750,000						\$ 750,000
Painting of Stand Pipe				\$ 50,000											\$ 50,000
Franklin Co. Electric Valve					\$ 20,000										\$ 20,000
Service Changeover - Vicksboro Rd.				\$ 54,000											\$ 54,000
TOTAL EXPENDITURES	\$ 165,356	\$ 1,804,960	\$ 92,400	\$ 602,100	\$ 1,325,000	\$ 1,719,435	\$ -	\$ 900,000	\$ 3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$ 1,490,000	\$ 14,019,251
RESOURCES															
OPERATING REVENUE		\$ 10,000	\$ 92,400		\$ 20,000	\$ 1,719,435	\$ -	\$ 900,000		\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$ 1,490,000	\$ 6,651,835
INC INDUSTRIAL DEV. FUND GRANT/Goldenleaf	\$ 165,356			\$ 320,000											\$ 485,356
TRANSFER FROM WATER		\$ 16,000		\$ 282,100											\$ 298,100
STATE REVOLVING LOAN		\$ 1,578,960			\$ 1,305,000										\$ 2,883,960
TRANSFER FROM RATE STABILIZATION		\$ 200,000							\$ 3,500,000						\$ 3,700,000
TOTAL RESOURCES	\$ 165,356	\$ 1,804,960	\$ 92,400	\$ 602,100	\$ 1,325,000	\$ 1,719,435	\$ -	\$ 900,000	\$ 3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$ 1,490,000	\$ 14,019,251

4/20/2023 13:41		SEWER FUND SUMMARY																	
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL				
EXPENDITURES																			
Newton Dairy Pump Project		\$ 47,900													\$ 47,900				
HWRP Improvements	\$ 18,597,470														\$ 18,597,470				
Elmwood Cemetery Outfall		\$ 1,880,300													\$ 1,880,300				
SandyCreek Pump Station Impr	\$ 1,749,074														\$ 1,749,074				
Newton Dairy/Birch/Bobbitt CDBG Sewer Ext		\$ 1,950,630													\$ 1,950,630				
ROBCO Water & Sewer Line Ext		\$ 217,272													\$ 217,272				
Andrews Avenue-Pinkston Street															\$ -				
WW Pump Stations Generators (6 stations)					\$ 390,000										\$ 390,000				
Upgrade Old Sludge Handling Tank						\$ 375,000									\$ 375,000				
Demolish Abandoned Processes at HWRP			\$ 479,950							\$ 200,000					\$ 679,950				
By Pass at Influent Bar Screen WRF								\$ 156,250							\$ 156,250				
Goose Neck at Emergency Pump Bypass		\$ 20,000													\$ 20,000				
Move 4" Water Line Non- Potable		\$ 11,000													\$ 11,000				
SandyCreek Force Main								\$ 250,000	\$ 1,530,000						\$ 1,780,000				
Air Release on Force Main Rehab			\$ 35,000												\$ 35,000				
Resurfacing Ops Center						\$ 19,435									\$ 19,435				
Montgomery St.					\$ 690,000										\$ 690,000				
Hughes Farm Road															\$ -				
Influent Mechanical Grease Remover						\$ 90,000									\$ 90,000				
VFD for Non-Potable Water pumps				\$ 40,000											\$ 40,000				
I & I Tank for Sandy Creek					\$ 400,000										\$ 400,000				
HWRP Filter Building control Panels						\$ 120,000									\$ 120,000				
I and I Repairs				\$ 216,370											\$ 216,370				
TOTAL EXPENDITURES	\$ 20,346,544	\$ 4,127,102	\$ 514,950	\$ 256,370	\$ 1,480,000	\$ 604,435	\$ -	\$ 406,250	\$ 1,530,000	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ 29,466,651				
RESOURCES																			
CAPITAL RESERVES			\$ 35,000	\$ 50,000											\$ 85,000				
OPERATING REVENUES				\$ 56,370		\$ 585,000		\$ 406,250		\$ 200,000					\$ 1,247,620				
STATE REVOLVING LOAN	\$ 20,346,544	\$ 4,127,102			\$ 1,480,000				\$ 1,530,000						\$ 27,483,646				
STATE GRANT															\$ -				
STATE REVOLVING GRANT															\$ -				
EDA GRANT															\$ -				
TRANSFER FROM RATE STABILIZATION			\$ 479,950	\$ 150,000											\$ 629,950				
TOTAL RESOURCES	\$ 20,346,544	\$ 4,127,102	\$ 514,950	\$ 256,370	\$ 1,480,000	\$ 585,000	\$ -	\$ 406,250	\$ 1,530,000	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ 29,466,216				

		REGIONAL WATER FUND SUMMARY													
4/20/2023 13:41															
PROJECT TITLE	PRIOR YEARS BUDGET	BUDGET YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEARS 2019-2020	PLANNING YEARS 2020-2021	PLANNING YEARS 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL
EXPENDITURES															
KLRW INTERBASIN TRANSFER															\$ -
SCADA SYSTEM		\$ 523,000													\$ 523,000
20 MGD EXPANSION-PHASE I-A															\$ -
KLRW IMPROVEMENT PROJECT-PHASE 1															\$ -
20 MGD EXPANSION-PHASE I-B			\$ 39,863,000												\$ 39,863,000
Move Oxford 1 Water Meter									\$ 153,000						\$ 153,000
Oxford 1 Pump Station (PHASE 1)				\$ 614,000											\$ 614,000
24" REINFORCED CONCRETE TO OXFORD ALONG															\$ -
36" TRANSMISSION WATER LINE-W/PTO									\$ 9,680,000						\$ 9,680,000
12" Line from Satterwhite Rd. to Nutbush			\$ 750,000	\$ 1,650,000											\$ 2,400,000
TOTAL EXPENDITURES	\$ -	\$ 523,000	\$ 40,613,000	\$ 1,650,000	\$ 614,000	\$ -	\$ -	\$ -	\$ 9,833,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 53,233,000
Redevelopment															
RESOURCES															\$ -
CAPITAL RESERVES					\$ 614,000										\$ 614,000
OPERATING REVENUES		\$ 523,000	\$ 750,000	\$ 1,650,000											\$ 2,923,000
STATE LOAN			\$ 39,863,000						\$ 9,833,000						\$ 49,696,000
															\$ -
TOTAL RESOURCES	\$ -	\$ 523,000	\$ 40,613,000	\$ 1,650,000	\$ 614,000	\$ -	\$ -	\$ -	\$ 9,833,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 53,233,000

4/20/2023 13:56		TOTAL RESOURCES SUMMARY													
REVENUE SOURCES	PRIOR YEARS BUDGET	PLANNING YEAR 2017-2018	PLANNING YEAR 2018-2019	PLANNING YEAR 2019-2020	PLANNING YEAR 2020-2021	PLANNING YEAR 2021-2022	PLANNING YEARS 2022-2023	PLANNING YEARS 2023-2024	PLANNING YEARS 2024-2025	PLANNING YEARS 2025-2026	PLANNING YEARS 2026-2027	PLANNING YEARS 2027-2028	PLANNING YEARS 2028-2029	PLANNING YEARS 2029-2030	TOTAL
General Fund															
Operating Revenues	\$ 20,000	\$ 10,000	\$ 38,640	\$ 354,500	\$ 147,550	\$ 12,000		\$ 56,480	\$ 200,000						\$ 839,170
USDA GRANT		\$ 133,000	\$ -	\$ -	\$ -										\$ 133,000
USDA LOAN		\$ 474,000	\$ -	\$ -	\$ -										\$ 474,000
ARPA GRANT							\$ 2,341,000								
Fund Balance		\$ -	\$ 225,500			\$ 135,150									\$ 360,650
Total General Fund	\$ 20,000	\$ 617,000	\$ 264,140	\$ 354,500	\$ 147,550	\$ 147,150	\$ 2,341,000	\$ 56,480	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 1,806,820
Powell Bill Fund															
Powell Bill	\$ 200,000	\$ 400,000	\$ 85,000	\$ 400,000	\$ 135,750	\$ 576,838	\$ 425,000	\$ 425,000	\$ 200,000	\$ 200,000	\$ 658,820	\$ 200,000	\$ 200,000	\$ 200,000	\$ 4,306,408
Total Powell Bill	\$ 200,000	\$ 400,000	\$ 85,000	\$ 400,000	\$ 135,750	\$ 576,838	\$ 425,000	\$ 425,000	\$ 200,000	\$ 200,000	\$ 658,820	\$ 200,000	\$ 200,000	\$ 200,000	\$ 4,306,408
Water Fund															
OPERATING REVENUE		\$ 10,000	\$ 92,400					\$ 900,000	\$ 3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$ 1,490,000	\$ 8,412,400
NC INDUSTRIAL DEV. FUND GRANT/Gold	\$ 165,356			\$ 320,000	\$ 1,305,000										\$ 1,790,356
TRANSFER FROM WATER		\$ 16,000													\$ 16,000
STATE REVOLVING LOAN		\$ 1,578,960			\$ 20,000	\$ 1,700,000	\$ -								\$ 3,298,960
TRANSFER FROM RATE STABILIZATION		\$ 200,000		\$ 282,100											\$ 482,100
Total Water Fund	\$ 165,356	\$ 1,804,960	\$ 92,400	\$ 602,100	\$ 1,325,000	\$ 1,700,000	\$ -	\$ 900,000	\$ 3,500,000	\$ 750,000	\$ 430,000	\$ 900,000	\$ 340,000	\$ 1,490,000	\$ 13,999,816
Sewer Fund															
CAPITAL RESERVES			\$ 35,000												\$ -
OPERATING REVENUES				\$ 50,000		\$585,000		\$406,250		\$200,000					\$ 35,000
STATE REVOLVING LOAN	\$20,346,544	\$4,127,102		\$ 56,370					\$1,530,000						\$ 26,060,016
STATE GRANT															\$ -
STATE REVOLVING GRANT					\$ 1,480,000										\$ 1,480,000
EDA GRANT															\$ -
TRANSFER FROM RATE STABILIZATION			\$ 479,950	\$ 150,000											\$ 629,950
TOTAL RESOURCES	\$ 20,346,544	\$ 4,127,102	\$ 514,950	\$ 256,370	\$ 1,480,000	\$ 585,000	\$ -	\$ 406,250	\$ 1,530,000	\$ 200,000	\$ -	\$ -	\$ -	\$ -	\$ 29,446,216
Regional Water Fund															
CAPITAL RESERVES					\$ 614,000										\$ 614,000
STATE LOAN			\$ 39,863,000	\$ -	\$ -				\$ 9,833,000						\$ 49,696,000
OPERATING REVENUES		\$ 523,000	\$ 750,000	\$ 1,650,000	\$ -										\$ 2,923,000
TRANSFERS FROM CR			\$ -	\$ -	\$ -										\$ -
Total Reg. Water Fund		\$ 523,000	\$ 40,613,000	\$ 1,650,000	\$ 614,000	\$ -	\$ -	\$ -	\$ 9,833,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 53,233,000
Other															
Old Municipal Building Project															
State Loan		\$ -	\$ -	\$ -	\$ -										\$ -
Private Bank Placement		\$ 830,000	\$ -	\$ -	\$ -										\$ 830,000
Total Other Fund		\$ 830,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 830,000
Total Resources	\$ 20,731,900	\$ 8,302,062	\$ 41,569,490	\$ 3,262,970	\$ 3,702,300	\$ 3,008,988	\$ 2,766,000	\$ 1,787,730	\$ 15,263,000	\$ 1,150,000	\$ 1,088,820	\$ 1,100,000	\$ 540,000	\$ 1,690,000	\$ 103,622,260

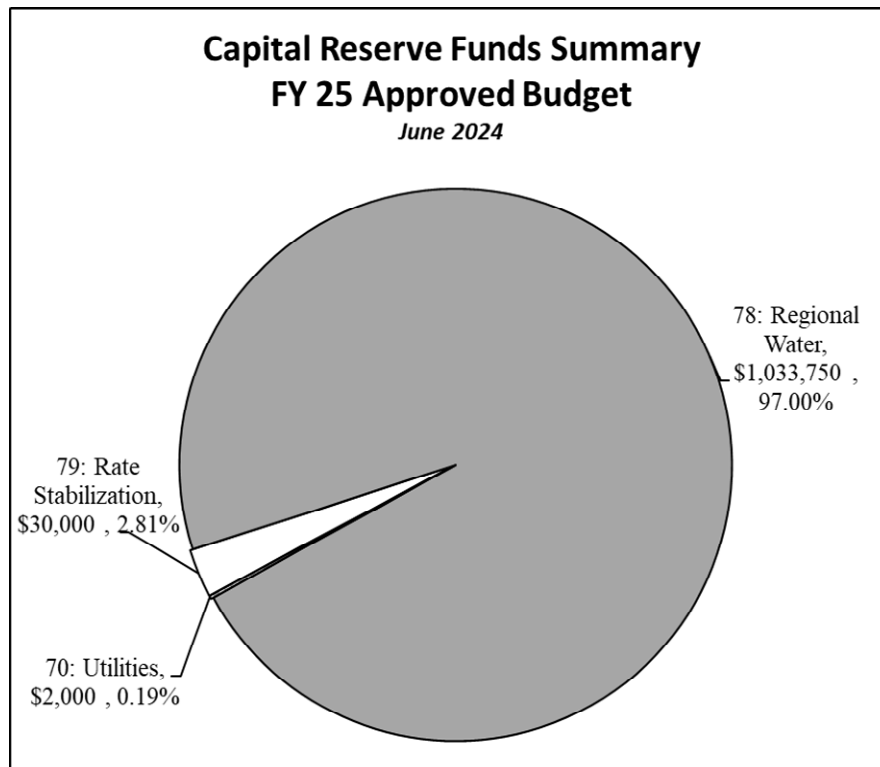
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**FY 24-25 BUDGET
CAPITAL RESERVE FUNDS
ALL FUNDS SUMMARY**

SUMMARY

The Capital Reserve Funds are considered to be part of the annual fiscal budget and operate on a fiscal year basis. More detailed information on each capital reserve fund can be found in the following pages.

SUMMARY OF CAPITAL RESERVE FUNDS						
ALL FUNDS		FY 22	FY 23	FY 24	FY 25	
		Prior Year Actual	Prior Year Actual	Current Year as amended	Manager Recommended	Council Approved
Revenues						
70	Capital Reserve Utilities Fund	\$ 175,300	\$ 400	\$ 1,200	\$ 2,000	\$ 2,000
73	Capital Reserve Economic Development Fund	\$ -	\$ -	\$ -	\$ -	\$ -
78	Capital Reserve Regional Water Fund	\$ 1,852,335	\$ 2,121,735	\$ 1,526,500	\$ 1,033,750	\$ 1,033,750
79	Capital Reserve Rate Stabilization Fund	\$ 200,340	\$ 300	\$ 20,000	\$ 30,000	\$ 30,000
Total Revenues		\$ 2,227,975	\$ 2,122,435	\$ 1,547,700	\$ 1,065,750	\$ 1,065,750
Expenditures						
70	Capital Reserve Utilities Fund	\$ 175,300	\$ 400	\$ 1,200	\$ 2,000	\$ 2,000
73	Capital Reserve Economic Development Fund	\$ -	\$ -	\$ -	\$ -	\$ -
78	Capital Reserve Regional Water Fund	\$ 1,852,335	\$ 2,121,735	\$ 1,526,500	\$ 1,033,750	\$ 1,033,750
79	Capital Reserve Rate Stabilization Fund	\$ 200,340	\$ 300	\$ 20,000	\$ 30,000	\$ 30,000
Total Expenditures		\$ 2,227,975	\$ 2,122,435	\$ 1,547,700	\$ 1,065,750	\$ 1,065,750
<i>Variance of Revenues to Expenditures</i>		<i>\$ -</i>	<i>\$ -</i>	<i>\$ -</i>	<i>\$ -</i>	<i>\$ -</i>



FY 24-25 BUDGET
CAPITAL RESERVE FUNDS
ALL FUNDS SUMMARY

70: Capital Reserve Utilities Fund

The basic purpose of the Capital Reserve Utilities Fund is to accumulate revenues and hold them in reserve for future expansion and/or construction of the water distribution and sewer collection systems improvements and related improvements. The City's original Capital Reserve Funds were established in 1970 for the purpose of reserving revenue to construct or assist in the financing of major improvements to the City's utility system or to purchase major capital equipment for other operating departments/divisions. During the intervening years, the fund has served the purpose for which it was intended by providing resources for construction of major water and sewer projects at the Council's discretion following specific authorization.

In FY13, the fund was restructured to provide for separate accounting of water and sewer revenues to be held in reserve for future water and sewer projects. Prior to FY13, the funds had been comingled.

The revenue sources for this fund are the inter-fund transfers from the parent funds—30: Water and 31: Sewer, investments and periodic transfers of project reversions from the capital projects funds 43: Water and 44: Sewer. In short, the primary revenue source is from the water and sewer user rates.

A tremendous amount of work has been funded from this fund during the past several years for smaller water and sewer main improvement projects that are typically designed by the City Engineering Department. At the end of FY18 the Capital Reserve Utility Fund was \$357,416.

72: Capital Reserve General Fund

The Capital Reserve General Fund accumulates revenues and holds them in reserve for future large capital equipment purchases, such as fire trucks, sanitation vehicles, etc. and for the purchase and/or construction of facilities normally funded through General Fund resources, including infrastructure components, such as streets, sidewalks, storm drainage systems, public buildings, etc. This fund has been inactive for several years and no activity is planned for FY19. There is no activity at this time, but it is recommended to start allocating funds for this in the future for large purchases such as fire trucks and other large pieces of equipment. A possible stormwater fee could provide revenue for this fund.

73: Capital Reserve Economic Development Fund

This fund was established in FY12 as a means to 'house' funding for future economic development incentive grant matches, such as funding from the Rural Center. Funding is provided via inter-fund transfer from the General Fund's general revenues. The budget is divided into two main expenditure categories: capital reserve for future allocation by City Council and economic incentives allocated by Council for specific projects. All funds not utilized roll over into the fund balance. The undesignated fund balance for FY18 is \$15,828. Since no transfers from General Fund are budgeted for FY19, no growth is expected in the Fund.

78: Capital Reserve Regional Water Fund

This fund was created in March 2012 in order to consolidate three Regional Capital Reserve Funds into one. 75: Capital Reserve Regional Water COE, 76: Capital Reserve Regional Water 20 MGD and 77: Capital Reserve Regional General, were merged to form 78: Capital Reserve Regional Water System Fund. Reserves are established for these Regional Water system needs: 911: Corp of Engineer Reserve; 922: 20 MGD Plant Expansion Reserve and 865: General Capital Reserve.

The funding source for this fund is the inter-fund transfer from the 64: Regional Water Fund. Revenues are derived from charges for water to the Regional Partners of Oxford, Warren County and Henderson. All funds are held in reserve until needed. When needed, the funds are transferred to a capital project established in 46: CIP Regional Water Fund.

79: Capital Reserve Rate Stabilization Fund

This fund was established for the purpose of reserving City funds for major water system infrastructure needs, and major upgrades completed at the Water Reclamation Facility (Sewer Plant).

The funding source for the sewer plant rate stabilization reserve is the sewer rate transferred from 31: Sewer Fund. The initial transfer to establish this fund was made from 70: Capital Reserve Utilities Fund during FY12.

The 30: Water Fund has several sources of income to fund its rate stabilization reserve as follows: Investments and transfers of other revenue sources from 30: Water Fund.

FY 24-25 BUDGET
CAPITAL RESERVE FUNDS
ALL FUNDS SUMMARY

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APPENDIX A

GLOSSARY OF TERMS

ABC: Alcoholic Beverage Control Commission.

Account Number: A system of numbering or otherwise designating accounts, entries, invoices, vouchers, etc., in such a manner that the symbol used quickly reveals certain required and/or desired information. This is also referred to as the Budget/Accounting Line Item.

Accounts Payable: A liability account reflecting amounts of open accounts owing to private persons or organizations for goods and services received.

Accounts Receivable: An asset account reflecting amounts owing on open accounts from private persons or organizations for goods and services provided.

Accrual Basis: A basis of accounting in which revenues are recognized when they are earned rather than received and expenses are recognized when incurred rather than paid.

Activity Classification: A grouping of expenditures based on specific lines of work performed by organizational units, i.e., public safety.

Actuals: The actual expenditures, which are historically verifiable in the City's Accounting System.

ADA: Americans with Disabilities Act.

Adaptability: The flexibility of the system or process to handle future changing customer expectations to meet today's special needs and future requirement changes.

Ad Valorem Taxes: A tax based on the assessed value of real estate or personal property and the tax rate. Property ad valorem taxes are the major source of revenue for state and municipal governments.

Administrative Support: A calculated amount of money transferred from one fund to another to offset administrative or related support.

Adopted Budget: A budget that has been prepared and reviewed in accordance with State law and has been duly adopted by the City Council.

Allocate: To set aside portions of budgeted expenditures that are specifically designated to organizations, departments, etc.

Allowance for Doubtful Accounts: A contra account, related to accounts receivable, that holds the estimated amount of collection losses.

Annual Budget: A budget covering a single fiscal year (1 July – 30 June).

Annual Routine Debt: Bond debt issued on an annual basis to fund routine needed capital improvements such as street improvements, storm drainage, facilities renovation, etc.

Appendices: Supplemental material.

Appropriations: An authorization made by the City Council permitting the City to incur obligations and make expenditures.

Appropriation Ordinance: An official enactment by the City Council to establish legal authority for City officials to obligate and expend resources.

Assessed Valuation: The value of real estate and/or personal property and equipment as determined by tax assessors and used as a basis for levying property taxes.

Assessment: The process for determining values of real and personal property for taxation purposes.

Agency Fund: A fund consisting of resources received and held by the governmental unit as an agent for others.

Audit: A methodical examination of the utilization of resources it concludes in a written report of its findings to the governing body. An audit is a test of management's accounting system to determine the extent to which the internal accounting controls are both available and being used. In Henderson, an independent auditor is hired to examine the City's financial records.

Austerity: Rigorous, self-disciplined life; life without excess.

Authorized Positions: These are employee positions which are authorized in the adopted budget to be filled during the fiscal year.

BALI: Budget/Accounting Line Item.

Balanced Budget: A budget in which anticipated revenues are equal to planned expenditures.

Bond: A long-term promise to pay a specified amount of money on a particular date. Bonds are used primarily to finance capital projects.

Bonds Issued: Bonds that have been sold.

Budget/Accounting Line Item: A system of numbering or otherwise designating accounts, entries, invoices, voucher, etc., in such a manner that the symbol used quickly reveals certain required and/or desired information. This is also referred to as the Account Number.

Budget Amendment: A procedure used by the City staff and the City Council to revise a budget appropriation.

Budget Document: A financial plan containing projected expenditures and resources covering a fiscal year prepared by the City Manager and his staff and enacted by the City Council.

Budget Calendar: The schedule of key dates, which a government follows in the preparation, and adoption of its budget.

Budget Message: An overview of the recommended budget, written by the City Manager to the City Council that discusses the major budget items and the City's present and future financial condition.

Budget Ordinance: The official enactment by the City Council to establish legal authority for City staff to obligate and expend resources.

Capital Expenses: Appropriations for the purpose of satisfying one-time expenses for new value added projects such as new roads, buildings, utility lines and facilities, recreation facilities, etc., and large capital maintenance expenses such as street milling and resurfacing, re-roofing and new windows for buildings, repairs to major facilities. Capital expenses are generally financed in one of two methods: annual cash appropriations or bonded indebtedness. The former is generally associated with routine projects such as street milling and resurfacing, facility maintenance such as roofing, etc. The latter is generally associated with very large projects such as renovation of 134 Rose Avenue (new City Hall), construction of a major new road, etc.

Capital Improvement Budget (CIP): A plan of proposed capital expenditures and the means of financing them. The capital budget is usually enacted as part of the complete annual budget, which includes both operating and capital outlays.

Capital Outlay: Expenditures that result in the acquisition of or addition to fixed assets.

Capital Reserve: An account used to indicate that a portion of fund balance is legally restricted for a specific capital purchase and is therefore not available for general appropriation.

Capitalized Interest: An equity account reflecting the accumulated earnings from bonds/loans while in escrow.

Cash Basis: A basis of accounting in which revenue is recorded only when cash is received and expenses are recorded when the cash is paid.

Cash Management: The management of cash necessary to pay for governmental services, while investing temporary cash excesses in order to earn interest revenue. Cash management refers to the activities of forecasting the inflows and outflows of cash, mobilizing cash to improve its availability for investment, establishing and maintaining banking relationships.

CBO: Community Based Organization.

CIP: Capital Improvements Plan.

CDBG: Community Development Block Grant, a federal entitlement program designed to benefit low and moderate-income persons, specifically in the areas of housing and quality of life.

City Manager: The chief executive officer of the City of Henderson, appointed by the City Council.

CMO: City Manager's Office.

COE: Corps of Engineers.

COG: Council of Governments.

COLA: Cost of living adjustment.

Commodities: Supplies; anything bought and sold.

Contingency: A budgetary reserve set aside for emergencies or unforeseen expenditures not otherwise budgeted.

Contractual Services: Services rendered to a government by private firms, individuals, or other government entities. Examples include utilities, rent and consulting services.

COPS: Certificate of Participation.

Crime Clearance Rate: The percentage of crimes cleared/solved compared to those reported.

Data Response Time: The time it takes to respond to a call for service from the time it is received until a response has been made, i.e., the time it takes to dispatch a fire engine from the station to a house fire after the call has been received.

DCA: Department of Community Assistance.

DDC: Downtown Development Commission.

Debt Ceiling: See debt limit.

Debt Limit: The maximum amount of gross or net debt that is legally permitted. In Henderson, the legal debt limit for tax-supported debt (General Fund) is 8% of assessed value of property.

Debt Management Policy: A policy dealing with the issues of debt, how it is managed, and the manner in which debt is issued.

Debt Reduction Plan: A strategic plan and policy designed to eliminate the need for annual bond issues for annual capital projects while, at the same time, increasing the amount of annual cash appropriations for capital projects.

Debt Service: The City's obligation to pay principal and interest on bonds and other debt instruments according to a pre-determined payment schedule.

Debt Service Fund: Governmental fund type used to account for the accumulation of resources for, and the payment of, general long-term debt principal and interest.

Debt Service Ratio: The ratio of total liabilities to total assets. This tells the proportion of a government's assets that it has financed with debt.

Deficit: An excess of expenditures over revenues or expense over income.

Department: The highest levels of operation in the structural organization of the City, which indicates overall management responsibility for a division or a group of related operational divisions.

Depreciation: A decrease in value of property through wear, deterioration, or obsolescence.

Dillon's Rule: A rule of judicial interpretation of the legal powers of local government

Discretionary General Funds: Funds that the City Council has full control over and authority to appropriate in support of general fund activities.

Distinguished Budget Presentation Awards Program: A voluntary program administered by the Government Finance Officers Association (GFOA) to encourage governments to publish efficiently organized and easily readable budget documents and to provide peer recognition and technical assistance to the fiscal officers preparing them.

Diverse: In addition to race, nationality, gender, culture, what part of the United States one may be from and the like, this concept has to do with the way we think, the respect we have for each other's opinions turning differences into advantages and similar concepts.

Draconian: unusually severe or cruel.

Efficiency: The extent to which resources are minimized and waste is eliminated in the pursuit of effectiveness. Productivity is a measure of efficiency. Efficiency is not customer driven but rather controlled by the process – resources are minimized and waste eliminated.

Effectiveness: The extent to which the outputs of the system or process meet the needs and expectations of the customers (A synonym for effectiveness is quality). Effectiveness influences the customer. The individuals who receive the output (internal and external customers) should set the effectiveness standards.

Encumbrance: The commitment of appropriated funds for future expenditures of specified goods or services.

Enterprise Funds: A governmental accounting fund in which the services provided are financed and operated similarly to those of private business. The rate schedules for these services are established to insure that revenues are adequate to meet all necessary expenditures.

Estimated Revenue: The amount of projected revenue to be collected during the fiscal year.

Expenditure: The outflow of funds paid or to be paid for an asset obtained or goods and services. Regardless of when the expense is actually paid, this term applies to all funds.

External Customer: People that live within the City of Henderson, citizens, people that receive services from the City but live outside of the City and people that live outside of the City but work here, shop and trade here, and use the City for recreational and cultural activities.

Fiscal Year (FY): The time period signifying the beginning and ending period for the recording of financial transactions. The City of Henderson's Fiscal Year begins July 1 and ends June 30, of the following year.

Fixed Assets: Assets of a long-term character intended to continue to be held or used, such as land, buildings, machinery, furniture, and other equipment.

Fund: An accounting entity which has a set of self-balancing accounts and where all financial transactions for specific activities or governmental functions are recorded.

Fund Balance: Refers to the excess of assets over liabilities and is therefore also known as a surplus fund. The portion of Fund Equity which is available for appropriation.

GAAP: Generally Accepted Accounting Principles; uniform minimum standards for financial accounting and recording, encompassing the conventions, rules and procedures that define accepted accounting principles.

General Fund: One of five governmental fund types. The general fund typically serves as the chief operating fund of a government. The general fund is used to account for all financial resources except those required to be accounted for in another fund.

General Ledger: An accounting file which is a grouping of accounts in which the activities of the City are recorded.

General Obligation Bonds: Bonds issued by a government that are backed by the full faith and credit of its taxing authority.

GFOA: The acronym used for Government Finance Officers Association of the United States and Canada.

GIS: Geographical Information System.

GO Debt: General obligation debt.

Goal: A broad/general statement of direction based on the needs of the community and government.

Governmental Funds: A generic classification adopted by the National Council on Governmental Accounting to refer to all funds other than proprietary and fiduciary funds.

GPD: Gallons per day.

Grants: A contribution or gift in cash or other assets from other government units to be used for a specific purpose.

High Performance Organization: An organization that seeks continuous improvement, strong customer service, and best practices in the delivery of public services.

Impacts: The effects which would exist as a result of making one decision or another.

Infrastructure: Streets, bridges, water and sewer lines and treatment facilities, storm drainage, traffic signals, etc.

Interest and Penalties Receivable on Taxes: Uncollected interest and penalties on property taxes.

Interest Income: Revenue earned on investments with a third party. The City uses a pooled cash system, investing the total amount of cash regardless of fund boundaries. The interest earned is then allocated back to the individual funds by average cash balance in that fund.

Inter-fund Accounts: Accounts in which transactions between funds are reflected.

Inter-fund Recoveries: Charges from the General Fund to enterprise funds to recover the cost of general government's support of the enterprise funds. Examples would be financial accounting management, data processing services, purchasing, legal and general government management, etc.

Interfund Transfers: Flows of assets (such as cash or goods) between funds of the governmental unit without equivalent flows of assets in return and without a requirement for repayment.

Inter-governmental Revenues: Revenues from other governments that can be in the form of grants, entitlements, or shared revenues.

Internal Customers: Employees and agencies of the City of Henderson that seek services and assistance from other parts of the City and its agencies.

Internal Service Fund: A proprietary fund type that may be used to report any activity that provides goods or services to other funds, departments, or agencies of the primary government.

Investments: Securities held for the production of revenues in the form of interest, dividends, and rentals or lease payments.

ISO: International Organization for Standardization.

Justifications: A defensible explanation for making one decision or another.

Lease Purchase Agreements: A contractual agreement by which capital outlay, usually equipment, may be purchased over a period not exceeding 60 months through annual lease payments.

Legal Debt Margin: Excess of the amount of debt legally authorized over the amount of debt outstanding.

LEO: Law Enforcement Officer.

Levy: The amount of tax, service charges and assessments imposed by a government.

Local Government Budget and Fiscal Control Act: An act which governs all agencies of local government in the State of North Carolina. It spells out how all monies received or expended by local governments must be budgeted, disbursed, and accounted for. It requires that certain types of funds be maintained depending on the functions and activities performed by local governments and how those functions and activities are financed.

Metric: Performance measures and indicators – numerical information that quantifies input, output, and performance dimensions of processes, products, programs, projects, services, and the overall organization (outcomes).

Long-term Debt: Debt with a maturity of more than one year after the date of issuance

Mandate: A requirement imposed upon a local government by the federal and/or state governments to provide certain levels of service.

Merit Pay System: See Performance Pay System.

MGD: Million gallons per day.

Modified Accrual Basis of Accounting: Basis of accounting used in conjunction with the current financial resources measurement focus that modifies the accrual basis in accounting in two important ways 1) revenues are not recognized until they are measurable and available, and 2) expenditures are recognized in the period in which governments in general normally liquidate the related liability rather than when that liability is first incurred (if earlier).

Municipal Bonds: A bond issued by a unit of local government.

NCDOT: North Carolina Department of Transportation.

Non-Departmental: Items of expenditure essential to the operation of the City government that do not fall within the function of any department, or which provide for expenditures related to more than one department.

Non-Operating Expenses: Expenses that are not directly related to the provision of services such as debt service.

Non-Operating Revenues: Revenues that are generated from other sources, such as interest income, and are not directly related to service activities.

Objective: A specific statement about that which is to be accomplished or achieved for a particular program during the fiscal year.

Object/Element Codes: An expenditure category, such as salaries, supplies, or professional services.

Obligations: Amounts that a government may be required legally to meet from its resources; i.e., liabilities and encumbrances.

Operating Expenses: Appropriations for the purpose of satisfying recurring annual expenses. Examples of such expenses include salaries and wages, fringe benefits, vehicle maintenance and supplies, utilities, insurance, facility maintenance and supplies, contractual services, annual appropriation to capital improvements plan, etc. Such expenses are routine expenses associated with the operations of the business. Capital expenditures can impact the operating budget in the form of debt service payments and maintenance expenses for infrastructure additions. Additionally, some capital projects can have the effect of lowering annual operating expenses.

Operating Budget: The expenditure plan for continuing everyday service programs and activities. Generally, operating expenditures are made in a single fiscal year. Expenditures include personnel services, contractual services, commodities, minor capital outlay, and debt service requirements.

Operating Transfers: Legally authorized interfund transfers from a fund receiving revenue to the fund that is to make the expenditures.

O & M: Operation and Maintenance of the Water and Waste Water Systems.

OP Ratio: The Operating Ratio is determined by comparing the cost of the goods sold and other operating expenses with net sales. The formula used to calculate the operating ratio is $[(\text{Cost of goods sold plus operating expenses divided by net sales})] \times 100$. This ratio is a test of the efficiency of management in their business operation.

Ordinance: A formal legislative action enacted by a majority vote by the City Council. It has the effect of law within the community and it must not conflict with federal and/or state law.

Overtime: Extra time worked beyond an employee's normal work schedule. This can be affected by holidays, sick and annual leave.

People: A demographically balanced population in which all of its segments that comprise the whole are valued for their contributions, diversity, and strengths.

Performance Pay System: An established system to recognize and financially reward employee performance that exceeds the City's standards for a classification.

Personnel Services: Expenditures for salaries, wages, and fringe benefits of a government's employees.

PIT: Process Improvement Team.

Planned: Forward-thinking, innovative, and dynamic actions resulting in a sustainable, well-balanced community where the natural environment, businesses, and residential developments work in harmony resulting in an exceptionally high quality of life.

Postemployment healthcare benefits: Medical, dental, vision, and other health-related benefits provided to terminated employees, retired employees, dependents, and beneficiaries.

Powell Bill Street Allocation: Funding from state-shared gasoline tax made to incorporated municipalities which establish their eligibility and qualify as provided by General Statutes. These funds shall be expended only for the purposes of maintaining, repairing, constructing, reconstructing or widening of local streets that are the responsibility of the municipalities or for planning, construction, and maintenance of bikeways or sidewalks along public streets and highways.

Premise: An assumption that is a foundation or basis for submission.

Prodigious: Enormous, beyond capacity.

Program: A distinct, clearly identifiable activity, function, cost center or organizational unit.

Property Tax: A tax levied on the assessed value of real and personal property.

Proprietary Funds: Funds that focus on the determination of operating income, changes in net assets (or cost recovery), financial position, and cash flows. There are two different types of proprietary funds: enterprise funds and internal service funds.

Public Hearing: An open meeting of the City Council specifically for the purpose of obtaining public comment and input on a particular issue.

Rate Stabilization Fund: A fund created to set aside reserves in order to help smooth out anticipated annual increases in service rates.

Regional Center: A well planned community whose economic, cultural, and demographic strengths are such that it attracts people and business opportunities well beyond its geo-political boundaries to take advantage of its health care services, tourism, diversified employment, and entrepreneurial opportunities, and leisure and cultural offerings.

Reserve: An account designated for a portion of the fund balance that is to be used for a specific purpose.

Resources: Resources are the people, buildings, equipment, and funds required to produce a product and/or perform services.

Retained Earnings: An equity account reflecting the accumulated earnings of an enterprise or internal service fund

Revenues: Funds the government receives as income. It includes items such as tax payments, fees from certain services, fines and forfeitures, grants, shared revenue, and interest income.

Risk Management: An organized effort to protect a government's assets against accidental loss by the most economic method.

SCADA: Supervisory Control and Data Acquisition.

Service Area: A generic title for the grouping of departments according to common areas of service; i.e., information services.

Special Assessments: A compulsory levy made against certain properties to defray part or all of the cost of a specific improvement or service which is presumed to be a general benefit to the public and of special benefit to such properties.

Special Revenue Fund: Governmental fund type used to account for the proceeds of specific revenue sources (other than for major capital projects) that are legally restricted to expenditure for specified purposed.

State Shared Revenue: Revenues levied and collected by the State of North Carolina but shared with its localities on a predetermined method.

Strategic Plan: A Strategic Plan is the product of an organization's strategic planning process that defines its strategy, or direction, and making decisions on allocating resources to pursue this strategy, including its capital and people. Strategic planning is the formal consideration of an organization's future course. All strategic planning deals with at least one of three key questions: 1) what do we do?, 2) for who do we do it?, and 3) how do we excel?.

Tax Base: The assessed valuation of all taxable real and personal property within the City's corporate limits.

Tax Levy: The total amount of revenue to be raised by property (ad valorem) taxes.

Transfers: Amounts transferred from one fund to another fund to assist in financing the services of the recipient fund.

Trust and Agency Fund: Fiduciary funds which are used to account for many of the more significant amounts of resources that a government receives and holds in a trust or agency capacity for the benefit of others. Trust Funds are used if the government is acting in the capacity of a trustee. Agency funds are used to account for assets received and held by a government in an agency relationship for the benefit of others.

Un-audited: Accounts or numbers that have not been verified for their accuracy.

Unencumbered Balance: The amount of an appropriation that is neither expended nor encumbered. It is the amount of money still available for future purposes.

Vibrant: Robust, energetic, alive, enthusiastic, vitality.

Work Budget: A balanced budget prepared by the City Manager's Office and Finance Department and presented to the governing body.

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City Hall
R. G. (Chick) Young, Jr. Council Chambers
134 Rose Avenue
Henderson, North Carolina



Monday, May 20, 2024

6:00 PM

Mayor and City Council Members

Mayor Melissa Elliott, Presiding

Councilmember Geraldine Champion
Councilmember Sara M. Coffey
Councilmember Lamont Noel
Councilmember Sam Seifert

Councilmember Michael Venable
Councilmember Garry D. Daeke
Councilmember Ola Thorpe-Cooper
Councilmember Tami Walker

City Officials

E. Terrell Blackmon, City Manager
D. Rix Edwards, City Attorney
Tracey Kimbrell, City Clerk

CALL TO ORDER

ROLL CALL

OPENING REMARKS

The Henderson City Council values the public trust and transparency in the governance and operations of the City. If any Council Member knows of any conflict of interest, or appearance of conflict, with respect to matters before the City Council, they shall inform the Mayor prior to or at the beginning of the meeting.

REVIEW AND DISCUSSION OF:

- a) Regional Water Funds**
- b) Water Funds**
- c) Sewer Funds**
- d) Capital Reserve and CIP Funds**

GUIDANCE FOR STAFF

ADJOURNMENT

City Council Minutes

Budget Work Session #1

May 20, 2024

PRESENT

Mayor Melissa Elliott, Presiding, Councilmembers Geraldine Champion, Sara M. Coffey, Lamont Noel, Sam Seifert, Michael Venable, Garry D. Daeke, and Tami Walker

ABSENT: Ola Thorpe-Cooper

STAFF PRESENT

City Manager Edward T. Blackmon, City Clerk Tracey Kimbrell, Water Resources Director Christy Lipscomb, Development Services Director Corey Williams, Finance Director Joey Fuqua, Customer Services Manager Shay Bennett, Downtown Development Manager Tracy Madigan and Public Works Director Lee Owen

CALL TO ORDER

The May 20, 2024 Henderson City Council Budget Session #1 was called to order by Mayor Melissa Elliott at 6:04 a.m.

ROLL CALL

The City Clerk called the roll. A quorum was present.

OPENING COMMENTS

Mayor Elliott welcomed everyone to the first Budget Work Session and turned the meeting over to City Manager Blackmon.

Mr. Blackmon began by disclosing that the City had just received word that it had been awarded a grant in the amount of \$5000,000 from the Southeast Crescent Regional Commission for the City of Henderson low pressure pump station project. He then invited Finance Director Joey Fuqua to begin summarizing some of the key budget issues.

REGIONAL WATER FUNDS

Mr. Fuqua began by passing out the budget matrix to Council that is completed each new budget season by every department. It contains all budget codes for each department. This year, budget spreadsheets, on the whole, were almost identical to last year.

Non-departmental funds were discussed, and it was explained that this fund contains various budget codes needed for offsetting departmental spending. Transferring reserve funds to other funds, closing fees, and legal or engineering costs are examples. Also, when funds need to be allocated but don't have a specific line item, it may be assigned to a non-departmental line. Regional Water reserves about \$800,000 to a \$1 million to take care of situations that may arise.

The Regional Water budget is very similar to last year's, with only minor salary adjustments for staff certifications. All departments have experienced some inflationary costs related to goods and services. The Regional Water fund had an increase of \$25,000 in maintenance and repair of equipment. In Capital Outlay, a 20-inch control valve for a high service pump in the amount of \$138,00 is needed. Revenue bonds would take care of a needed \$500,000 raw pump with added variable frequency drive (VFD). The current pump is a straight start pump and must be run constantly. The VFD allows the pump to start and stop as needed which helps to save on energy costs. Two of the major debt service items for Regional Water are the revenue bond and a HIC pump which is about \$40,000 per year. It was noted that chemical costs and utilities are fairly stable right now compared to the rising costs of the last couple of years. The overall increase for the Regional Water fund is largely due to the revenue bond and the original KLRW debt service for the expansion project.

WATER FUNDS

There are no notable increases in operations and supplies. \$100,000 is in reserve. Capital Outlay consist of a new computer.

Engineering

Two new positions for Engineering are budgeted for FY 25. An Engineering Tech and an Administrative Assistant would be aimed at upcoming Stormwater initiatives.

Customer Service

Mr. Fuqua said Customer Service is very similar to last year's budget. \$48,000 is included in the budget for a meter reader truck. Councilmember Coffey asked the status of the meter reader replacements. Customer Service Manager Shay Bennett said the department currently had 63% of the meters replaced.

Water Distribution System

Mr. Fuqua said contracted services had increased from \$168,000 last year to \$220,000 this year for anticipated inflation of goods and services. There has been a substantial increase in purchase for resale; therefore, the budget was increased from 3.8 million to 4.2 million. \$12,500 is requested in Capital Outlay in this department for new laptops, hydraulic trash pump and a lead detector. Some of the bigger ticket items, such as backhoes and dump trucks, will be requested in FY 26.

SEWER FUNDS

Mr. Fuqua informed that due to a small hike in chemicals, operational lines increased from \$207,000 to \$220,000. The Capital Outlay budget for Water Reclamation includes a submersible pump, gas detector, boat, and a Gator. \$9,000 is needed in the Sewer Collection capital outlay budget for laptop technology, drill, and manhole blower.

Sewer Collection Inflow and Infiltration (I & I) includes a laptop in capital outlay with the rest of the budget very similar to last year. Councilmember Daeke, referencing the staff shortage in I & I, asked if I & I is a daily effort or completed only as needed. Public Works Director Lee Owen responded that in the Utilities division there are effectively four (4) crews, with two dedicated to water, one to sewer collection, and one to sewer I & I. In actuality, I & I issues are dealt with as they come and are

normally not a daily task. Mr. Daeke mentioned past overflow issues and inquired if I & I is manageable with the current manpower or if recruiting efforts need to be intensified. Mr. Owen explained that although Water and Sewer are currently six short and would like to increase personnel, overflows have improved. Approximately a year ago, a broken ten-inch sewer pipe submerged in a culvert was discovered and repaired at the Sandy Creek Basin. This issue alone created an overflow of 600,000 gallons a day and was a big find by department staff.

Councilmember Daeke asked if the City was responsible for grease trap inspections for businesses. Water Resources Director Christy Lipscomb responded that the City was responsible, and in particular, her staff. Half of the City inspections have been completed and are ongoing. Mr. Daeke asked if the City ensures that new businesses are informed of the City's ordinances regarding this issue. Ms. Lipscomb replied that Development Services Director Corey Williams and his staff help with this. Also, upcoming, public education events will be conducted to help get the word out to citizens regarding ordinances that affect them concerning water, sewer, and the cemetery. Councilmember Coffey asked if automotive repair shop grease is regulated by the City. Ms. Lipscomb responded that it is not.

CAPITAL RESERVE AND CIP FUNDS

Mr. Fuqua identified several costly projects including William and Montgomery Street Park, TIF District redevelopment, Embassy Block and McGregor Hall. Mr. Blackmon said he had submitted three projects to Representative Frank Sossamon for funding and the City was awarded \$1 million for the William and Montgomery Street Park project because of its downtown proximity and the S-Line. There is \$300,000 left in the PARTF grant that can be accessed.

The Manager gave an example that if a \$500,000 line of credit was secured, half would be reimbursed to the City since PARTF is a matching grant. The City and County share costs of Recreation and Parks, so 45% would be billed to the County. He was optimistic that the project could be finished at a cost of \$100,000 to \$200,000, potentially by next Spring. Councilmember Daeke inquired whether money would be allocated from the County's budget this year and whether they were aware of the expenses they would be responsible for. Mr. Blackmon said they were aware and the County has always been diligent about reimbursing funds owed to the City for Capital projects.

Assistant City Manager Paylor Spruill referenced the revolving credit line mentioned at the last meeting. The revolving credit line would mainly be for properties in the Urban Redevelopment Area (URA) and especially around King Daughters Park. He suggested that the Embassy Block properties should be a separate loan as this project has a longer timeline attached and will be done in phases. The appraisal for these properties was \$255,000 last April but after the revaluation, the properties have almost doubled in value. He pointed out that this would be a good way to provide needed funds requested by McGregor Hall.

Mayor Elliott asked if municipal bonds had ever been considered. There was a brief discussion surrounding the feasibility of municipal bonds. Mr. Spruill said it was a possibility if multiple projects could be involved, and he felt the Local Government Commission would recommend a minimum amount. Mr. Blackmon said it was something that could be looked at a little deeper.

Partnering with another community to use a Community Development Finance Institution (CDFI) was also mentioned as a resource that may be helpful. A CDFI serves to help economically

disadvantaged areas with solutions tailored for individual communities.

Councilmember Champion asked if the City had a grant writer on staff. Mr. Blackmon said there was a person on staff that did grant writing, but she is currently out on medical leave. In addition, the City hires consultants to help with grant writing and Kerr Tar COG has been utilized at times depending on the type of grant. The City also subscribes to a service that enables staff to search for grant opportunities.

Mr. Spruill suggested the City apply for an upcoming grant that would help fund underground pedestrian and bicycle zones that will be necessary when the S-Line is here. Depending on where the tax rate is set, the TIF district, which has increased 149%, has the potential to support a revolving credit line of \$3 to \$4 million. This would give the City the capability to set up multiple projects in the URA and downtown.

Development Services Director Corey Williams came forward to describe some of the projects for funds requested to be set aside to handle downtown issues. Mr. Williams said after doing survey inspections on Garnett Street, a series of buildings were identified that were in need of repairs such as awning and roof replacements and window repairs. Some buildings are dilapidated enough that they would need to be torn down. However, demolitions are costly and making repairs on buildings that are salvageable is much more cost effective when feasible. \$150,000 in capital reserve is the amount that is needed to complete the repair work. Mr. Spruill added that with the S-Line coming, Henderson is a great investment right now.

City Manager Blackmon thanked Mr. Spruill, Mr. Williams and Mr. Fuqua and staff for their contributions. He advised that the budget hearing would be on Tuesday, May 28, 2024, and asked if Council had any further questions.

Council Salaries - Councilmember Champion said more training opportunities and salary increases for Council had been discussed at the Strategic Planning Retreat. She requested a 25% salary increase for Councilmembers and the Mayor. Mr. Blackmon passed out information showing current Council salaries for Henderson and the average salaries for Mayor, Mayor Pro Tem and the Governing Board. According to the data, current Council salaries are very competitive. Councilmember Noel said he would prefer any salary recommendation to be given by the City Manager. Mr. Blackmon said he would look into this and discussions could continue at the next meeting.

Outdoor Pavilion - Councilmember Daeke asked about the progression of the Outdoor Pavilion and when it would be completed. Mr. Blackmon reached out to the donor/contractor regarding the engineered drawings and there has been conversation relative to landscaping and construction, but electrical elements involved need more clarity. He said he would make inquiries and get back to Council at one of the upcoming budget meetings. Mr. Fuqua said there is \$200,000 in CIP funds that can be used at Council's discretion.

Street Paving - Mr. Daeke asked about Powell Bill funds and the probability of street paving this year. Mr. Blackmon responded that after the tax rate is set, it will be easier to prioritize funds to be used for street paving. Powell Bill funds have been used for maintenance such as pot holes and intersections.

With no further questions, Mayor Elliott asked if Council was ready to adjourn.

ADJOURNMENT

Councilmember Coffey moved for adjournment. Motion seconded by Councilmember Champion and unanimously approved. The meeting adjourned at 7:53 p.m.

Melissa Elliott, Mayor

ATTEST:

Tracey Kimbrell, City Clerk

City Hall
R. G. (Chick) Young, Jr. Council Chambers
134 Rose Avenue
Henderson, North Carolina



Thursday, May 23, 2024

6:00 PM

Mayor and City Council Members

Mayor Melissa Elliott

Councilmember Geraldine Champion
Councilmember Sara M. Coffey
Councilmember Lamont Noel
Councilmember Sam Seifert

Councilmember Michael Venable
Councilmember Garry D. Daeke
Councilmember Ola Thorpe-Cooper
Councilmember Tami Walker

City Officials

E. Terrell Blackmon, City Manager
D. Rix Edwards, City Attorney
Tracey Kimbrell, City Clerk

CALL TO ORDER

ROLL CALL

OPENING REMARKS

REVIEW AND DISCUSSION OF:

General Fund

Other as Needed

ADJOURNMENT

The Henderson City Council values the public trust and transparency in the governance and operations of the City. If any Council Member knows of any conflict of interest, or appearance of conflict, with respect to matters before the City Council, they shall inform the Mayor prior to or at the beginning of the meeting.

City Council Minutes

Budget Work Session #2

May 23, 2024

PRESENT

Mayor Pro Tem Garry D. Daeke, Presiding, Councilmembers Geraldine Champion, Lamont Noel, Sam Seifert, Michael Venable, and Tami Walker

(Clerk's Note: Mayor Melissa Elliott was able to view the proceedings via Zoom.)

ABSENT: Sara M. Coffey and Ola Thorpe-Cooper

STAFF PRESENT

City Manager Edward T. Blackmon, City Clerk Tracey Kimbrell, Assistant City Manager Paylor Spruill, Finance Director Joey Fuqua, Water Resources Director Christy Lipscomb, Development Services Director Corey Williams, Customer Service Manager Shay Bennett, Police Chief Marcus Barrow, Fire Chief Tim Twisdale, Public Works Director Lee Owen, and Downtown Development Manager Tracy Madigan

CALL TO ORDER

The May 23, 2024 Henderson City Council Budget Work Session #2 was called to order by Mayor Pro Tem Garry D. Daeke at 6:03 a.m.

ROLL CALL

The City Clerk called the roll. A quorum was present.

OPENING COMMENTS

Mayor Pro Tem Daeke gave a warm welcome to all present for the second Budget Work Session and then turned the meeting over to the City Manager.

Mr. Blackmon began by presenting an example of a street sign that the Council has resolved to install in honor of Eddie Hicks. It was unique in that it was purple like Mr. Hicks' alma mater East Carolina University (ECU) and also displayed the logos of the teams he played for; ECU and the New York Giants. The sign was made at the Operations Center with new equipment capable of making signs on request.

After going through the General Fund, the City Manager said the next thing on the list will be setting the tax rate. He then turned the time over to Finance Director Joey Fuqua.

Mr. Fuqua explained that the General Fund is the most challenging part of the budget to balance. The General Fund is \$25,000,000 and comprises 24 departments.

The Non-Departmental budget in the General Fund is reserved for things like contingencies, insurance for over 65 retirees, economic development incentives, and safety nets for hardware and software.

\$200,000 for discretionary spending in CIP funds could, potentially be used for McGregor Hall, downtown initiatives or providing the Development Services Department with an additional inspector.

The General Fund contains shared programs with the County such as 911, Tax Office, Board of Elections and Perry Memorial Library. It also consists of local agencies the City contributes to like the Boys and Girls Club, Vance County Arts Council, and Crime Stoppers.

An aggressive approach to revenue building was strongly encouraged during last year's budget. Council responded with an increase in property taxes from \$.712 to \$.75 and a sanitation fee increase. As a result, Mr. Fuqua highlighted strong property tax revenue growth. Projected property tax revenue last year was \$5.5 million. Current values have already reached over \$6 million. Sales tax was cited as the City's second largest revenue. Revenue projections are expected from potential growth with new retail developments.

Administration, Finance, and Cemetery departments are virtually unchanged from last year's budget. Governing Body's travel budget was increased to accommodate training opportunities for new councilmembers.

Human Resources is exploring software platforms to automate payroll and benefits with time clock software. \$28,000 is budgeted for this improvement. \$2,600 is budgeted in capital outlay for laptop, monitors and scanner. Human Resources Director Jamie Dittmeyer is working on an initiative to enhance staff experience and retention. A pay classification study is underway. Councilmember Daeke noted the 50% increase in the Human Resources budget and asked if this was attributed to the software. Mr. Fuqua said the software was a large part of it. Paycor is the HR/Payroll software being considered. It helps to eliminate a lot of the manual work and integrates onboarding employees and payroll functions to streamline the process.

IT needs have been identified by NCOL. \$87,000 has been set aside in capital outlay for items such as computer parts, cyber plan, hardware/software and data storage. One of the most important initiatives in IT will be upgrading a very old phone system to a VoIP system.

Downtown - The City used to allocate the Downtown Development Commission (DDC) \$25,000 a year, but recently the DDC has pushed some of their expenses back on the City. This year the City will use the \$25,000 for needs such as downtown planters, plants, banners, cleaning services, and maintenance.

Development Services - A new inspector position for the Development Services Department has been budgeted. This position will focus on the downtown area. CIP funds are being set aside for downtown façade improvements. Mr. Daeke asked if the budget includes funds for tearing down houses. Development Services Director Corey Williams replied that \$110,000 had been included for demolition purposes. Mr. Daeke followed up by asking if Vance County pays their share when the property is in the ETJ. Mr. Williams said they do when persuaded. The agreement may need to be adjusted a bit. Mr. Blackmon added that he would be meeting with the County Manager next week and would make some inquiries.

Public Buildings has allocated \$30,000 in capital for a perimeter fence and two City Hall side doors. The perimeter fence is needed due to encroachment issues of nearby residents using the parking lot on the left side of the building when facing it from Rose Avenue. The side doors are very old and have become a security issue as they do not always close properly. Alarm calls are increasing and

police officers are having to respond each time to false alarms.

The Police Department is in need of six new vehicles along with computer equipment upfitted for each car to replace older models that no longer operate efficiently. The required amount for these replacements is \$423,340. In contracted services, are funds for the Flock Camera system and projected inflationary increases. Ammo, in particular, has had a huge rise in cost. Councilmember Noel asked if the approved Police IT position had been filled. Police Chief Marcus Barrow said they had hired a candidate. He was previously with the NCDOT. Mr. Fuqua added that it is an ongoing struggle to retain police workforce because of ever increasing compensation for new officers.

The Fire Department has similar struggles, but currently is fully staffed. Fire Chief Tim Twisdale has worked with the City Manager to get Fire Department salaries more competitive, so he is able to retain the staff he has in place. Capital outlay items encompass a new roof for Station No. 1, replacing bay doors, washer and dryer, rescue gear, camera and communications equipment. Councilmember Daeke asked about staffing a new Fire Station and how that would work. Chief Twisdale said he would need to start from scratch and hire a group of six new people.

Public Works has \$17,000 budgeted in the data internet line item for installation of fiber optic cable in various areas throughout the City. \$5,000 is assigned to capital outlay for a security camera system. In the garage department, \$500,000 is planned for fuel expenditure, an increase from \$479,000 the previous year, as prices are expected to rise. The street department had an increase in storm drain improvements from \$18,000 to \$30,000. \$10,000 is in capital outlay for laptops and a chainsaw. Waste Industries increases it's pricing every year, so Sanitation will increase from \$465,000 to \$490,000 this year. Capital outlay in Sanitation consists of backpack blowers and laptops. Public Works, in general, are investing in laptops so employees in the field will have access to real time information.

Recreation and Parks is increasing part-time salaries from \$130,000 to \$179,000. Mr. Fuqua commented on the impressive and expansive list of activities offered by the Recreation and Parks Department and noted that it is a revenue producing department. Increases in this department are to accommodate building maintenance, repairs of equipment, and a fiber optic install. These items increase their budget from \$70,000 last year to \$98,000 this year. To be in compliance, \$4,000 was added to this budget for a new fire alarm system for Aycock Recreation Center. Mr. Blackmon clarified that there was a two-way split between the City and County for contributions to the Recreation and Parks Department. Mr. Fuqua said the split was 55% City and 45% County.

Councilmember Champion asked about the mapping in the cemetery. Public Works Director said the mapping system in the cemetery is handled by Ian Harshberger and Logan Tyndall in the Engineering Department. They use paper maps and index cards to help determine plot locations. Mr. Owen said Mr. Harshberger and Mr. Tyndall have done great work in merging the paper map data into a GIS system. Mr. Blackmon said cemetery funds are available and can be utilized when it is decided exactly what type of software is needed. Several different ideas are being considered.

Councilmember Daeke asked for the amount of the City trust fund. Funds were donated to the City for the benefit of the cemetery. Mr. Fuqua responded it was between \$350,000 and \$400,000. He contacted the State regarding how the funds can be used. The money can be used for maintenance, beautification or any type of needed structures to enhance its functionality. Mr. Daeke felt the funds should be used since they are available.

Councilmember Walker asked Assistant City Manager Paylor Spruill to go over the recommendation he gave at the last meeting. Mr. Spruill reviewed the recommendation to establish a separate line of credit to purchase the Embassy Block to begin the cleanup of a blighted area. This in turn would aid McGregor Hall with much needed funds. Some of the cleanup on this block would involve demolishing structures. After these lots are cleared, it would provide space for a needed parking lot and possibly a pocket park. Mr. Daeke asked if the City needed to put anything in the budget for this venture. Mr. Blackmon said it would need to be in the budget, and it would be set up as a revenue and expense account like any other loan. Mr. Daeke inquired if Young Avenue was wide enough to accommodate parking on both sides. Mr. Spruill replied that the street is not quite wide enough to have parking on both sides.

Mr. Blackmon summarized some of the key issues to revisit at the next budget work session as the Embassy Block, redevelopment and setting the tax rate.

Mr. Daeke added that he wanted to include McGregor Hall as one of the issues to discuss. Ms. Champion noted that the amount McGregor Hall requested from the City is different than what was requested from the County and she also questioned if McGregor Hall was asking for \$75,000 in addition to the sale of the Embassy Block properties. Mr. Daeke commented he had a conversation regarding this issue, and that McGregor Hall was asking for both the funds and sale of the properties. Their last donor fell through and they have a 32-year loan left. He said McGregor Hall makes money for everyone but themselves – the City and County, hotels, restaurants and Vance County Tourism. He feels McGregor Hall is a huge cultural asset with all kinds of talent showcased and feels strongly the City should provide the needed funding.

Councilmember Champion conveyed her concern regarding a lack of diversity at McGregor Hall, expressing disappointment over instances where individuals were denied the opportunity to host programs there.

For clarification, Mr. Blackmon summarized that if the Embassy Block properties are bought at the asking price of \$255,000, it would provide the equivalent of three (3) years of the amount requested. Councilmember Venable said he liked the idea of buying Embassy Block properties to help McGregor Hall and then coming back in three years to reassess. It is an advantage to both the City and McGregor Hall and is still more than the County's contribution. Mr. Daeke said he has always felt the County should be contributing more because they benefit more. Mr. Spruill communicated the possibility of going to the General Assembly to request a local sales tax as done several years ago. The request was first sent to a committee and the committee said if the City was willing to have a local vote by citizens, and the citizens concurred, for instance, to a fraction of a cent tax on sales of restaurant or fast food, the funds could then be appropriated to a non-profit such as McGregor Hall. Mr. Daeke stated the idea made sense since McGregor Hall is bringing in a lot of revenue for the food industry.

Referring to setting the tax rate, Councilmember Daeke asked the City Manager to prepare some type of report showing various home values and corresponding tax rates set at different levels to be brought back to the next budget session. Councilmember Noel asked for examples of the tax rate set at different levels and the revenue it would generate. Mr. Blackmon said he would provide the requested information.

Councilmember Venable asked the Manager if he came up with an amount for Councilmember Champion's request for a City Council salary increase. Mr. Blackmon said he did not have a

recommendation because Council is in the top percentage of earned wages of 42 municipalities in Henderson's population range (10,000-24,999), reporting to the North Carolina League of Municipalities (NCLM). He also clarified that Council received a 5% increase in the FY 19 budget.

Less than half of municipalities on the NCLM list offer insurance. Ms. Champion asked if governing boards had to pay for insurance for the cities that offered insurance. Mr. Blackmon responded that only a few of the cities paid for insurance and the majority did not even offer it. Mr. Daeke mentioned he had conducted research as well and was surprised that many communities don't even allow the governing board to purchase into their benefits, so the City surpasses the efforts of most in giving the choice to opt in.

Councilmember Seifert expressed that he was not supportive of a salary increase for Council and would rather see the increase go to City employees. There was a discussion regarding travel and gas when attending functions and it was noted that a portion of Council's salary is specifically for travel. Mr. Blackmon asked for clarification of whether the request was for a salary increase or more funds for travel and training.

Councilmember Venable stated he didn't think anyone on the Council chose to serve for the pay. Councilmember Noel stated that he previously felt Council was underpaid but after seeing the data indicating the City of Henderson paid more than most cities, he no longer supported an increase. He felt that the funds would be better spent on one of the many City projects that needed funding.

Councilmember Champion stated she wanted to bring the discussion back to the full Council because some councilmembers were not present. She also requested a list of all the cities and their salaries so a comparison could be made. Mr. Blackmon assured he would provide the requested information at the next meeting and indicated that the City of Henderson would be found at number four (4) on that list.

Councilmember Walker inquired about the newly created Henderson Downtown Advisory Board and asked how citizens will submit an application. Mr. Blackmon replied that the application is found on the City's website on the Boards and Commissions page. The application for the Downtown Advisory Board may be revised later, but the application found on the website is sufficient for now.

With no further business, Mayor Pro Tem Daeke asked if Council was prepared to adjourn.

ADJOURNMENT

Councilmember Champion moved for adjournment. Motion seconded by Councilmember Venable and unanimously approved. The meeting adjourned at 7:48 p.m.

Garry D. Daeke, Mayor Pro Tem

ATTEST:

Tracey Kimbrell, City Clerk

City Hall
R. G. (Chick) Young, Jr. Council Chambers
134 Rose Avenue
Henderson, North Carolina



Monday, June 3, 2024

6:00 PM

Mayor and City Council Members

Mayor Melissa Elliott, Presiding

Councilmember Geraldine Champion
Councilmember Sara M. Coffey
Councilmember Lamont Noel
Councilmember Sam Seifert

Councilmember Michael Venable
Councilmember Garry D. Daeke
Councilmember Ola Thorpe-Cooper
Councilmember Tami Walker

City Officials

E. Terrell Blackmon, City Manager
D. Rix Edwards, City Attorney
Tracey Kimbrell, City Clerk

CALL TO ORDER

ROLL CALL

REVIEW AND DISCUSSION OF:

McGregor Hall
Non-profit Funding
KARTS
Redevelopment

ADJOURNMENT

The Henderson City Council values the public trust and transparency in the governance and operations of the City. If any Council Member knows of any conflict of interest, or appearance of conflict, with respect to matters before the City Council, they shall inform the Mayor prior to or at the beginning of the meeting.

City Council Minutes

Budget Work Session #4

June 3, 2024

PRESENT

Mayor Melissa Elliott, Presiding, Councilmembers Geraldine Champion, Sara M. Coffey, Sam Seifert, Michael Venable, Garry D. Daeke, Ola Thorpe-Cooper and Tami Walker

ABSENT: Councilmember Noel

STAFF PRESENT

City Manager Edward T. Blackmon, City Attorney D. Rix Edwards, City Clerk Tracey Kimbrell, Assistant City Manager Paylor Spruill, Finance Director Joey Fuqua, Water Resources Director Christy Lipscomb, Development Services Director Corey Williams, Recreation and Parks Director Kendrick Vann, Human Resources Director Jamie Dittmeyer, Customer Service Manager Shay Bennett, Fire Chief Tim Twisdale, and Police Chief Marcus Barrow

CALL TO ORDER

The June 3, 2024 Henderson City Council Budget Session #4 was called to order by Mayor Melissa Elliott at 6:05 a.m.

INVOCATION AND PLEDGE OF ALLEGIANCE

Councilmember Ola Thorpe-Cooper led the prayer and the Pledge of Allegiance.

ROLL CALL

The City Clerk called the roll. A quorum was present.

OPENING COMMENTS

Mayor Elliott welcomed everyone to the fourth Budget Work Session and said final decisions related to the budget needed to be made before being approved at an upcoming meeting in June. She then turned the time over to the City Manager.

McGregor Hall and Redevelopment

City Manager Blackmon summarized that at the last budget session on May 28, 2024, there was a consensus by Council on a tax rate of \$.55 and of acquiring the Falkner Building Supply building. He updated that a CAF had been prepared to bring before Council at the upcoming June 10, 2024, regular meeting to finance \$275,000 for this purchase. He explained that the discussed \$255,000 had been increased to \$275,000 for possible contingencies. A decision was not made on the requested \$75,000 except that whatever amount was decided on, it should be in the form of a one-year grant.

Councilmember Walker proposed a \$5,000 grant for McGregor Hall to be renewed annually with the condition of one person representing the City on their Board and for the City to be informed of how the \$5,000 is allocated.

Mr. Blackmon informed that McGregor Hall Director Mark Hopper had shared that requested funds would be used for debt service on the building. The mortgage, currently has a 2.75% interest rate with a 32-year remaining term and annual payment of \$124,620. Also, Mr. Hopper and the Board Chair were agreeable to adding a voting seat appointed by the City.

Councilmember Walker asked if the \$3 million contributed by the City when McGregor Hall was first established, was applicable now. Mr. Blackmon said the \$3 million was used in the initial phases for things such as land surveys and excavation and are considered sunk costs at this point.

Councilmember Coffey inquired about the promotional strategies for McGregor Hall and expressed her disapproval of allocating substantial funds without the City reaping significant benefits.

Councilmember Champion commented that revenue generated from hotels and restaurants go to the County. She was concerned about diversity and service to the overall community. She also expressed interest in seeing McGregor Hall's 990 tax form.

Councilmember Daeke clarified that the \$3 million referenced previously by Ms. Walker was used by the City to build Breckenridge Commons. The Police Department, Outdoor Pavilion, Library and Performing Arts Center are all located on it. Many buildings were demolished, houses were moved and water and sewer were installed by the City. He said it would be a great loss to the City if the Performing Arts Center had to close in a few years or was sold, because it didn't get the help it needed now. Mr. Daeke felt strongly that the City should support McGregor Hall with the requested \$75,000.

Councilmember Seifert also expressed strong support in providing requested funding to McGregor Hall. He felt the City would be short sighted to not fund and recognize the value of the Performing Arts Center. He read an excerpt from the McGregor Hall economic study that described it as "one of the most identifiable and popular amenities in Henderson." He pressed that investing in the arts would be an investment in economic growth.

Councilmember Venable expressed support for buying the Embassy Block properties as a start in helping to fund McGregor Hall. Funding in excess of this, he considered extra.

Councilmember Daeke moved to fund McGregor Hall at the \$75,000 requested. Motion was seconded by Councilmember Seifert and was not approved by a vote of 2-5. YES: Seifert and Daeke. NO: Champion, Coffey, Venable, Thorpe-Cooper and Walker.

Councilmember Daeke then moved to fund McGregor Hall in the amount of \$60,000. Motion was seconded by Councilmember Seifert and was not approved by a vote of 2-5. YES: Seifert and Daeke. NO: Champion, Coffey, Venable, Thorpe-Cooper and Walker.

Councilmember Coffey moved to fund McGregor Hall in the amount of \$5,000. Motion was seconded by Councilmember Champion and was approved by a vote of 5-2. YES: Champion, Coffey, Venable, Thorpe-Cooper and Walker. NO: Seifert and Daeke.

Mayor Elliott asked if there was a consensus for an additional \$250,000 for the William and Montgomery Street Park and \$3 million for redevelopment efforts to include strategic acquisitions and downtown projects such as roofing and window replacements and demolitions. All Councilmembers were in favor.

Non-profit Funding

Mr. Blackmon asked the Council to note the funding proposals it had received tonight. He explained that although the time period had passed to submit proposals, in the future, the list that goes out to non-profit organizations will be expanded. Mr. Daeke recommended obtaining 990 tax forms from each agency as suggested previously by Ms. Champion.

KARTS

Randy Chancelor, the Director at KARTS stated that the KARTS downtown shuttle would no longer be available without additional funding. He asked for \$37,500 from the County and from the City. Without this support, most likely the shuttle would be shut down as of June 30, 2024. KARTS is working on grant funding for a study on micro transit that would be similar to Uber. Currently, the County Manager is not sure what its position will be. The City Manager said this funding is not in the budget and he did not recommend it at this time. The Mayor concluded that the City would keep this in mind and gather more details since transportation is a key factor in determining health outcomes.

121 Motel Families

The City Manager updated that all but 22 families had found some type of alternative housing. These 22 families would be homeless again tomorrow. The Schools were concerned because some of the children have EOG tests and other exams this week. Mayor Elliott said the State has exhausted its resources. They have spent \$144,000 in just hotel stays. The Mayor suggested giving a one-time \$2,000 displacement voucher to half of the families and asking the County to take responsibility for the other half. She advised she had talk to some County Commissioners and they expressed willingness to assist.

Ms. Coffey was concerned that the County Commissioners may not commit to helping. Mr. Blackmon informed he had spoken to the County Manager today and she and the Commissioners are in conversation over this matter. He believed they would help, but was not yet certain. On request from the Mayor, City Attorney Rix Edwards clarified that tax dollars can go to this type of project. On the possibility that the County does not reimburse the City, Mr. Edwards suggested taking care of all 22 families now, so that no one is left unassisted.

Based on the advisement, Councilmember Coffey moved to assists all 22 families with a \$2,000 displacement voucher (\$44,000) and ask for reimbursement for 11 families (\$22,000) from the County. Motion seconded by Councilmember Walker and unanimously approved.

Cemetery

Ms. Champion asked about cemetery maintenance issues that need to be addressed in this budget. Mr. Blackmon said this would be a good discussion for the Public Works or Land Planning Committee and he would line this up.

Mr. Daeke asked about budget provisions for street paving. After the budget is adopted, the Manager felt there would be additional revenue that could be set aside for this purpose and agreed to the City getting on track with this.

There was conversation regarding growing homelessness in the community and limited resources. Mr. Venable asked if the City had funds set aside for the displacement of families or a shelter. Mr. Blackmon responded that funds are not set aside for emergency housing relocation, but it may be a possibility to find funding for programming. He explained it is more difficult to obtain funding for brick-and-mortar projects.

ADJOURNMENT

Councilmember Venable moved for adjournment. Motion seconded by Councilmember Champion and unanimously approved. The meeting adjourned at 7:17 p.m.

Melissa Elliott, Mayor

ATTEST:

Tracey Kimbrell, City Clerk